# RES 12B — Study Guide

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# RES 12B — Study Guide

A concise guide to the combined RES 12B paper — **RES 1B** (Rules, Ethics and Skills for Securities Dealers of Non-Exchange Members) and **RES 2B** (the derivatives equivalent). It condenses the official study guide into what the examination tests, section by section.

- **Exam:** 60 multiple-choice questions, 1 hour 30 minutes, **75% to pass**.
- **Penalties:** know which conduct is prohibited and the control that prevents it; the amount of any penalty is not tested.
- **Currency of the law:** the official guide states its material as current at 30 September 2023. Confirm the legislation, MAS notices, exchange rules and firm procedures before relying on a point operationally.

## How to use this guide

- Every chapter ends with **Exam cues** — what is tested, the deciding distinction and the common trap.
- RES 1B and RES 2B share the market-participants, licensing, market-conduct and AML/CFT material. Study it once; the genuine differences are securities-specific (CPFIS, securities dealing skills) versus derivatives-specific (OTC derivatives, derivatives dealing).
- Learn the distinctions the paper tests — exchange vs OTC, agent vs principal, AI/II/EI vs retail, CAR vs CKA, EIP vs SIP — not the wording of the rules.

## Coverage map

### RES 1B

1. Capital markets industry and participants
2. Licensing and business operations
3. Market conduct
4. Ethics and standards for securities dealing
5. Securities dealing practices and skills
6. CPFIS
7. Prevention of financial crimes
8. Appendices A–H

### RES 2B

1. Capital markets industry and participants
2. Licensing and business operations
3. Market conduct
4. OTC derivatives
5. Ethics and standards for derivatives dealing
6. Derivatives dealing practices and skills
7. Prevention of financial crimes
8. Appendices A–G

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# Chapter 1 — The Capital Markets Industry in Singapore and Participants in the Capital Markets

Who and what makes up the Singapore market: the primary and secondary markets, the institutions that intermediate and regulate them, and the listing framework. The examination tests roles, powers and thresholds — which body may do what, and which applicant fits which listing route.

## Learning Objectives

The candidate should be able to:

- Distinguish the primary and secondary markets and the intermediation each needs.
- Identify each institutional participant and the activity it may lawfully conduct.
- Explain the role, powers and rule-making authority of MAS, SGX, SGX RegCo, SGX-ST, CDP, SGX-DT and SGX-DC.

- Compare Mainboard and Catalist admission requirements.
- Explain listing methods, GDRs, the IPO and introduction routes, and continuing obligations.

## 1.1 Introduction

### 1.1.1 The Capital Markets in Singapore

An important function of the capital markets is to give businesses opportunities to raise capital to fund their activities. That capital-raising takes place in the primary market.

**1.1.1.1 The Primary Market** Businesses raise capital by issuing securities — **shares (common stock or equity securities), bonds (fixed-income securities) and company warrants**. Investors supply the capital by buying those instruments.

By buying, investors take on risk, because the price of a financial instrument fluctuates with the company's performance. Changes in value eventually lead investors to sell, either to realise a profit or to remove a poorly performing instrument from the portfolio.

**1.1.1.2 The Secondary Market** Trading outside the initial capital-raising activity takes place in the secondary market. The secondary market therefore lets investors **manage or transfer risk** to other parties.

Risk transfer or risk management can also be achieved by trading futures or other derivatives instead of simply selling the shares or bonds — for example futures, options, issuer or company warrants, and leverage certificates. SGX and its subsidiaries provide both capital-raising and risk-management opportunities through their product offerings.

| Exchange | Capital raising | Risk management |
|---|---|---|
| **SGX-ST** | Shares, bonds, company warrants | Issuer warrants, leverage certificates |
| **SGX-DT** | — | Futures, options |

### 1.1.2 Exchanges

Primary and secondary market activity can take place in the **over-the-counter (OTC)** market or on **regulated exchanges**. The OTC market is also called the **"call around" market**, because participants call each other directly to determine interest in buying or selling a given product.

An exchange provides a centralised market where buyers and sellers congregate, allowing efficient discovery of the prices and quantities at which each participant is willing to trade.

### 1.1.3 Financial Intermediaries

Different intermediaries connect businesses that need capital with public investors.

In the **primary market**, raising capital is complex. In equities, new shares are issued through an **Initial Public Offering (IPO)**, in which the business must present accurate information on its financial standing, future potential and other relevant matters. Financial intermediaries — banks or institutions holding a CMS licence to advise on corporate finance — are usually appointed as **issue managers**, because most businesses lack that expertise in-house.

In the **secondary market**, an investor holding a security would struggle to find a buyer directly. **Brokers** act as middle agents, matching selling and buying interest or routing orders to an exchange for matching.

## 1.2 Institutional Participants in the Capital Markets

### 1.2.1 Banks

Different types of bank are licensed under the **Banking Act 1970** and may provide capital markets services such as dealing in capital markets products. Dealing in capital markets products means, whether as principal or agent, making or offering to make with any person, or inducing or attempting to induce any person to enter into or offer to enter into, any agreement for or with a view to acquiring, disposing of, entering into, effecting, arranging, subscribing for or underwriting any capital markets products.

The licence types are Qualifying Full Banks and Full Banks, Wholesale Banks, and Merchant Banks.

**1.2.1.1 Qualifying Full Banks and Full Banks** Qualifying Full Banks and Full Banks provide the **whole range of banking business** approved under the Banking Act. They may take deposits of any amount in any currency, including offering savings accounts. They also provide capital markets products, custodial business, underwriting, corporate finance, and in some cases distribute insurance products for insurers.

Because they face no restriction on deposit products, many are also in retail banking. Their client base is more diversified: mass retail, private banking, and accredited and institutional clients.

**1.2.1.2 Wholesale Banks** Wholesale Banks provide the full range of banking business but are **restricted in deposit taking**. They may take foreign-currency deposits in any amount but are restricted in Singapore dollars. They may accept SGD **fixed deposits of at least S$250,000**. They may operate SGD savings or current accounts, but such an account opened for a Singapore-resident natural person should **not be interest-bearing** without MAS's prior approval.

Many wholesale banks therefore solicit high-net-worth clients through private banking arms, and those clients are usually more interested in capital markets products for investment.

**1.2.1.3 Merchant Banks** Merchant Banks are licensed under **section 55S of the Banking Act** since **1 July 2021**. They may **not accept Singapore deposits or borrow Singapore dollars from the public** in any form, except from banks, finance companies, their shareholders and companies controlled by their shareholders. They do not operate in the retail space but may undertake banking or deposit-taking business under the Banking Act and the **Banking (Merchant Banks) Regulations 2021**.

### 1.2.2 Capital Markets Services Licence Holders

CMS licence holders dealing in capital markets products include broker/dealer companies, corporate finance advisory companies, and providers of custodial services.

**Product financing** — credit for purchases — and **specified-product lending** — lending securities or products under the rules — are different activities and must not be confused.

**1.2.2.1 Broker and Dealer Companies** Apart from banks, broker/dealer companies are another class of financial intermediary. Unlike banks, they **do not take deposits**; they specialise in matching buyers with sellers. In the capital markets ecosystem they are also **Trading or Clearing Members**, providing trading or clearing services to customers so those customers can trade on the exchange.

**1.2.2.2 Corporate Finance Advisory Companies** Corporate finance advisory companies provide corporate finance advisory services, including acting as **issue managers or sponsors** for listings on the Mainboard or Catalist. They also advise on arrangements, reconstructions and take-overs, acquisitions and disposals.

**1.2.2.3 Providers of Custodial Services for Capital Markets Products** These entities must hold a CMS licence for custodial services. Custodians serve institutional and individual clients. Besides general custody, they maintain records of holdings, process corporate actions and support settlement.

**1.2.2.4 Others (Non-CMS Licence Holders)** **Finance companies** operate under the Finance Companies Act and may be exempt institutions for specified CMS licensing purposes, subject to their legal and regulatory conditions.

**Remote overseas trading and clearing members** are exempt from a Singapore CMS licence if the member:

- is incorporated outside Singapore;
- is a member of the relevant approved exchange or approved clearing house, or recognised market operator or recognised clearing house;
- does not serve Singapore residents;
- is not a Singapore-regulated financial institution;
- is regulated in its home jurisdiction; and
- has a home regulator with a suitable MAS information-sharing arrangement.

A remote **clearing** member additionally cannot have a MAS-regulated financial-institution affiliate; a remote **trading** member has no such restriction.

## 1.3 The Regulatory Framework and Regulatory Bodies

The framework aims at acceptable risk and financial-system stability, safe and efficient market infrastructure, fair, orderly and transparent markets, and informed customers.

The securities and derivatives markets are regulated by **MAS, SGX, SGX RegCo, SGX-ST, CDP, SGX-DT and SGX-DC**. These bodies originate and issue the rules governing trading and clearing, being:

- the SFA and SFR;
- the SGX-ST Mainboard and Catalist Rules;
- the SGX-ST Rules;
- the CDP Clearing Rules, CDP Settlement Rules and CDP Depository Rules;
- the SGX Futures Trading Rules; and
- the SGX-DC Clearing Rules.

### 1.3.1 Roles of the Regulatory Bodies

**1.3.1.1 Monetary Authority of Singapore** MAS was established under the **MAS Act**, in force since **1972**. Its mission is to promote sustained non-inflationary economic growth and a sound and progressive financial centre.

Its four functions are to:

- **i.** act as Singapore's central bank — conducting monetary policy, issuing currency, overseeing payment systems, and serving as banker to and financial agent of the Government;
- **ii.** conduct integrated supervision of financial services and financial-stability surveillance;
- **iii.** manage Singapore's official foreign reserves; and
- **iv.** develop Singapore as an international financial centre.

MAS administers the legislation relevant to the capital markets industry:

- the **SFA**, the main legislation governing the industry;
- the **Securities and Futures (Licensing and Conduct of Business) Regulations (SFR(LCB))**;
- the **Securities and Futures (Financial and Margin Requirements for Holders of Capital Markets Services Licence) Regulations (SFR(FMR))**;
- the **Securities and Futures (Corporate Governance of Approved Exchanges, Approved Clearing Houses and Approved Holding Companies) Regulations**; and
- the **Financial Services and Markets Act 2022**.

The SFA gives MAS wide powers, including to:

- approve exchanges and clearing houses;
- review amendments to the rules and regulations of exchanges and clearing houses;
- take disciplinary action — warning, fine, reprimand, suspension of licence, revocation of licence and issuance of a prohibition order — where a licensed person contravenes a licence condition or restriction, a direction issued by MAS under the SFA, or a provision of the SFA;
- inspect the books of an exchange, a person operating an exempt market, a clearing house, a person operating an exempt clearing facility, a CMS licence holder, an exempt person or a representative; and
- investigate alleged or suspected contravention of any SFA provision or written direction.

**1.3.1.2 Singapore Exchange Limited** SGX is Asia's leading market infrastructure, operating equity, fixed-income and derivatives markets to the highest regulatory standards. As Asia's most international multi-asset exchange, it provides listing, trading, clearing, settlement, depository and data services, with a large proportion of listed companies and bonds originating outside Singapore.

SGX is the **world's most liquid offshore market for the benchmark equity indices of China, India, Japan and ASEAN**, and offers commodities and currency derivatives. Headquartered in AAA-rated Singapore, it is recognised for risk management and clearing capability, and offers a fully integrated value chain from trading and clearing to settlement and depository services.

SGX regulation follows **six guiding principles**:

| # | Principle | Meaning |
|---|---|---|
| 1 | **Disclosure-based regulation** | Facilitate fair access to information for all market users, ac |
| 2 | **Comprehensive risk management** | Focus regulatory attention on the safe and efficient operati |

| # | Principle | Meaning |
|---|---|---|
| 3 | **Risk-based targeting** | A pragmatic, risk-based approach: supervisory activity un |
| 4 | **Balanced international best practice** | Rules and regulatory activity consistent with international |
| 5 | **Transparency** | Be open and transparent in regulatory operations to the ex |
| 6 | **Frontline regulator, managing regulatory conflict** | MAS is the statutory regulator with oversight of SGX's reg |

SGX maintains close collaboration with other regulatory and enforcement agencies — including MAS, the **Commercial Affairs Department (CAD)** of the Singapore Police Force, and the **Accounting and Corporate Regulatory Authority (ACRA)** — on regulatory policy, risk management, oversight and enforcement.

**1.3.1.3 Singapore Exchange Securities Trading Limited** SGX-ST is a subsidiary of SGX incorporated under the **Companies Act 1967**. It undertakes day-to-day regulation of the securities market and administers the **SGX-ST Rules**, which govern access to and conduct in the SGX-ST securities market; SGX-ST Members must adhere to them.

SGX-ST is the **only approved securities exchange in Singapore** and sets the rules and the membership and trading requirements, with power to discipline non-compliance. Its rules let companies and investors meet capital-raising and investment objectives — for example the listing requirements for companies wishing to raise capital and have securities traded. Already-listed companies can raise further capital through the market.

Companies choose the **Mainboard** or **Catalist**. The Mainboard caters to more established companies with higher entry and listing requirements such as minimum profit and market capitalisation. Catalist caters to smaller or fast-growing companies under a different model: companies must be brought to list by **approved Sponsors** through an IPO, and there are **no quantitative entry criteria** set by SGX — the Sponsor decides whether the applicant should be listed.

The **SGX-ST Listing Manual** contains the Mainboard Listing Rules and the Catalist Listing Rules and covers:

- **i.** listing requirements;
- **ii.** acquisitions;
- **iii.** realisations;
- **iv.** takeovers;
- **v.** timely disclosure; and related matters.

**1.3.1.4 The Central Depository** CDP, established in **1987**, is a wholly owned SGX subsidiary providing integrated clearing, settlement and depository facilities for the securities market, including equities, fixed-income instruments and funds. It principally serves Singapore but has links with other central depositories to support cross-border settlement.

CDP holds book-entry securities deposited with it as **bare trustee** for the collective benefit of depositors. Securities are **immobilised** at CDP and ownership transfers by book entry; physical certificates of immobilised instruments are kept with a CDP-nominated custodian bank.

All trades executed on SGX must settle on **T+2** — two exchange business days after the trade day. Each trade settles on a **gross basis** during an end-of-day settlement run, in which securities move from the seller's account to the buyer's and vice versa. SGX introduced an **Intra-day Settlement Run in 2021** to allow earlier settlement and reduce counterparty risk in the clearing system.

Investors holding direct CDP accounts should ensure their trading accounts with SGX-ST members are **linked to their direct securities accounts** before trading. The linkage is effectively a standing instruction to CDP to act on the member's sole instruction to debit and credit securities for BUY and SELL contracts executed through that trading account.

In **2008** CDP launched the **Pre-Settlement Matching Service (PSMS)** to replace the manual process in which depository agents and SGX-ST members agreed trade details by telephone before manually affirming settlement details in CDP. PSMS brings Singapore securities processing in line with global markets through a **straight-through-processing** environment, automating pre-settlement matching before settlement at CDP. It improves operational efficiency, minimises operational risk by removing manual error and delay, and

mitigates settlement failure through early matching of instructions. Depository agents and SGX-ST members upload a data file or key in instructions without prior communication with their settlement counterparties.

Participants may settle **delivery-versus-payment (DVP)** or **free-of-payment (FOP)**. For DVP, CDP acts as **central counterparty** and ensures simultaneous exchange of cash and securities; under FOP, participants make money settlement without involving CDP. The DVP Rules govern delivery-versus-payment settlement through CDP.

CDP Clearing Members must adhere to the **CDP Clearing Rules, CDP Settlement Rules and CDP Depository Rules**.

**1.3.1.5 Singapore Exchange Derivatives Trading Limited** SGX-DT, established in **1978**, is a wholly owned SGX subsidiary carrying on the business of establishing, conducting and regulating a futures market whose underlying assets include commodities and financial instruments under the SFA.

SGX-DT lays down rules and requirements for orderly trading and settlement of futures and options on interest rates, equity and equity indices, and energy, covering Asia, Europe and the United States. These are contained in the **Futures Trading Rules**, which govern SGX-DT Trading Members.

**1.3.1.6 Singapore Exchange Derivatives Clearing Limited** SGX-DC is a wholly owned SGX subsidiary providing clearing for:

- products listed and traded on SGX-DT; and
- OTC commodity and financial derivatives trades registered for clearing via the **SGX Titan OTC platform**.

SGX-DC is a **Qualifying Central Counterparty (Qualifying CCP)**. Bank members and subsidiaries of a banking group that are SGX-DC Members are subject to **lower capital requirements** for their trade and default-fund exposures under the **Basel III** framework of the Basel Committee on Banking Supervision. As an SGX-DC bank member or participant, one therefore benefits from lower capital cost.

SGX-DC Clearing Members are governed by the **SGX-DC Clearing Rules**.

**1.3.1.7 Singapore Exchange Regulation Pte Ltd** In **2017** SGX established **SGX RegCo** as an independent regulatory subsidiary to enhance the governance of SGX as a self-regulatory organisation and to **segregate the exchange's regulatory functions from its commercial and operating activities**. SGX RegCo undertakes all frontline regulatory functions and has a **separate board of directors** from SGX.

## 1.4 SGX Listing Framework

SGX-ST gives companies an avenue to raise capital and sets the rules for that avenue through its listing requirements.

### 1.4.1 Listing Process

A company seeking listing first applies to SGX-ST. Before applying it engages an adviser as **issue manager** to prepare the application — services usually provided by a bank or institution with a CMS licence permitting corporate finance advice. The company then authorises the issue manager to deal with SGX-ST on its behalf.

The issue manager plays an active role: gathering required information, liaising with SGX-ST on the application, and making the final submission. Legal and accounting advisers are engaged as well. The process then runs:

- preparation and due diligence;
- submission of listing documents;
- SGX-ST review, with MAS/SGX prospectus review where a prospectus is involved;
- public exposure;
- registration;
- launch;
- allocation; and
- commencement of trading.

### 1.4.2 Initial Public Offer Timeline

**1.4.2.1 Main Board** For the Mainboard, the Section A review commonly takes about **four to six weeks**. Then follows the Section B or prospectus review, any research blackout, **public exposure on MAS OPERA for at least seven calendar days**, registration and launch, and listing.

### 1.4.3 Listing Requirements

**1.4.3.1 Methods of Listing** **Primary listing.** The company must meet SGX-ST's initial listing requirements for either a Mainboard or Catalist listing. After listing it must comply with all continuing listing obligations.

**Secondary listing.** A company already listed on an acceptable exchange — the **home exchange** — may seek a secondary listing on SGX-ST **Mainboard without complying with SGX-ST's continuing listing obligations**. Secondary-listed companies must announce to SGX-ST and provide all information and documents to it **at the same time** as they are released to the home exchange, and must comply with all home-exchange rules and the laws of the jurisdiction of incorporation.

**1.4.3.2 Global Depositary Receipts** A company already listed overseas must abide by home-exchange rules, and may also list and raise funds via **GDRs on SGX-ST's Mainboard**. GDRs are specialist products offered **only to institutional and accredited investors**. GDR issuers must provide all information and documents, **in English**, to SGX-ST at the same time as they are released to the home exchange.

### 1.4.4 Initial Public Offering or Introduction

A company seeking listing, on a primary or secondary basis, should indicate its preference at the outset and, at application:

- **i. For an IPO** — indicate whether it intends to issue new shares or offer existing shares to the investing public, then lodge a **prospectus with MAS** prepared under the relevant regulations. During the listing process the prospectus is subject to public comment for **up to two weeks**.
- **ii. For an introduction** — no public share offer is made; an introductory document is submitted to SGX-ST and is **not exposed for public comment** in the way a prospectus is.

### 1.4.5 Mainboard Admission Requirements

An IPO applicant generally satisfies one of three quantitative tests:

| Route | Requirement |
|---|---|
| **1. Profit test** | At least **S$30 million** consolidated pre-tax profit for the latest financial ye |
| **2. Market-capitalisation with profit** | Profit in the latest financial year, market capitalisation of at least **S$150 m** |
| **3. Market-capitalisation with revenue** | Operating revenue in the latest completed financial year and market capital |

The applicant should be financially healthy, with **positive operating cash flow** considered. Debts owed to the group by directors, substantial shareholders and controlled companies should be **settled before listing**.

**Mining, oil and gas issuers** carry special market-capitalisation, reserves, working-capital, independent-qualified-person and independent-director requirements.

Also applying are shareholder-spread, independent-director, promoter-moratorium, prospectus, accounting-standard, domicile, currency and continuing-obligation requirements, including:

- **25% public shareholding** and at least **500 shareholders** for issuers below S$300 million market capitalisation;
- at least **two independent directors**;
- **Singapore-resident independent directors** for foreign issuers; and
- **promoter moratoria** tied to the profit or market-capitalisation route used.

### 1.4.6 Catalist Listing

Catalist permits **only a primary listing** and requires an SGX-authorised **full sponsor**. There is **no minimum quantitative entry test**; the sponsor decides suitability, and SGX-ST may impose conditions, delay or refuse admission. A **continuing sponsor** must be retained throughout the listing.

#### 1.4.6.1 Key Criteria

- **15%** of post-invitation share capital in public hands;
- at least **200 shareholders**;
- at least **two independent directors**; and
- at least **one Singapore-resident independent director** for a foreign issuer.

Mining, oil and gas applicants must substantiate resources and maintain sufficient working capital.

**1.4.6.2 Offer Document** Offer documents are lodged on **Catalodge** and follow prospectus-style disclosure, including the **SFA liability provisions**, and are exposed for at least **14 days**.

#### 1.4.6.3 Differences between the Mainboard and Catalist

| | Mainboard | Catalist |
|---|---|---|
| Target issuer | Established companies | Smaller or fast-growing companies |
| Regulation model | Exchange-regulated | **Sponsor-supervised** |
| Quantitative admission test | Yes — profit/market-cap | **None** |
| Listing type | Primary or secondary | **Primary only** |
| Public float | 25% (below S$300m) | **15%** |
| Shareholders | 500 (below S$300m) | **200** |
| Sponsor | Not required | **Full sponsor, and a continuing sponsor** |

### 1.4.7 Mainboard and Catalist Continuing Listing Obligations

Obligations are broadly similar: **material disclosure, periodic reporting, additional share issues, corporate transactions, corporate governance, interested-person transactions and free-float requirements**.

### 1.4.8 Roles and Responsibilities of the Sponsor and SGX-ST regarding Catalist

**1.4.8.1 Sponsors' Roles and Responsibilities** Sponsors must remain **eligible**, seek SGX advice on issues affecting market integrity, maintain adequate systems and registered professionals, act **independently and professionally**, maintain regular contact with the issuer, use qualified specialists where necessary, and avoid conflicts.

**1.4.8.2 SGX's Role and Responsibilities** SGX reviews sponsor due diligence, continuing activities and breaches, and administers the sponsor regime, including the admission and supervision of registered professionals.

**1.4.8.3 SGX's Actions for Non-Compliance on Sponsors and Registered Professionals** SGX may **reprimand**, require **education or rectification**, impose **conditions**, or **suspend** sponsors and registered professionals.

### 1.4.9 Explanation of Terms

**"Listed"** means appearing on SGX-ST's official list. **"Quoted"** may mean trading on an OTC quotation platform without being listed, and without the full listing and continuing-obligation framework.

### 1.4.10 Access to Material Information about Listed Issuers

Listed issuers must disclose material information via **SGXNet**, including information about subsidiaries and associated companies where needed to avoid a false market or to inform investment decisions.

### 1.4.11 Shareholders' Rights to Vote at Meetings

Shareholders receive meeting notices — normally **14 days** for ordinary resolutions and **21 days** for special resolutions — and may attend or appoint proxies. Resolutions are voted by **poll**.

#### 1.4.12 SGX's Actions on Breaches whether on Mainboard or Catalist

SGX may **warn**, impose a **composition fine**, require **education or independent reviews**, require **remediation**, **suspend** an issue manager or trading, or **remove** an issuer from the official list.

#### 1.4.13 Listing of Debt Securities on SGX-ST

SGX-ST may list fixed- and floating-rate bonds, convertible and exchangeable bonds, covered bonds, asset-backed securities, loan participation notes and hybrid capital securities. Issuer, trustee and trust-deed, offering-document, fee and continuing-obligation requirements apply.

#### 1.4.14 Listing of Special Purpose Acquisition Companies on SGX-ST

The SPAC framework created a listing vehicle that raises IPO capital to acquire an operating business or assets through a merger, share exchange or similar combination. At IPO a SPAC has **no operating history and no revenue-generating business**, so information about the target develops only when a proposed business combination is announced.

### Exam cues

- **Mainboard vs Catalist:** S30$mprofit; orprofitwithS$150m market cap; or revenue with S$300m market cap — against **no quantitative test** at Catalist. Catalist is **primary listing only** and always needs a **continuing sponsor**.
- **Numbers that decide questions: T+2** settlement; **25%** public float (Mainboard below S$300m) and **15%** (Catalist); **500** vs **200** shareholders; **14/21 days** ordinary/special notice; OPERA exposure at least **7 days** (Mainboard) and **14 days** (Catalist).
- **Bank licence limits:** Full Banks take deposits of any amount and currency; Wholesale Banks need **S$250,000** minimum SGD fixed deposits and must not pay interest on SGD savings/current accounts of Singapore-resident natural persons without MAS approval; Merchant Banks **cannot** take SGD deposits or borrow SGD from the public except from banks, finance companies, shareholders and shareholder-controlled companies.
- **Regulatory architecture:** MAS is the statutory regulator; SGX-ST is the **only approved securities exchange**; CDP is **bare trustee** holding **immobilised** book-entry securities; SGX-DC is a **Qualifying CCP** giving Basel III capital relief; **SGX RegCo (2017)** has a separate board and takes all frontline regulation.
- **SGX's six guiding principles:** disclosure-based regulation, comprehensive risk management, risk-based targeting, balanced international best practice, transparency, and frontline regulator managing regulatory conflict.
- **Trap:** a secondary listing **does not** take on SGX-ST continuing obligations, but must announce to SGX-ST **at the same time** as to its home exchange. GDRs are **institutional and accredited only**, and disclosure must be **in English**.

## Licensing and business operations

How a firm becomes and stays licensed, how representatives are registered, and the controls around advertising, customer accounts, privacy, records and customer money. The examination tests who needs what licence, which assessment applies to which account, and the notification clocks.

### 2.1 Introduction

CMS licence holders are licensed under the SFA. Corporations need a licence for regulated activities unless exempt; individuals acting for a holder must be appointed, provisional or temporary representatives unless exempt. Licensing exists to secure confidence, stability, professional conduct, adequate resources, competent representatives and controls proportionate to the business.

### 2.2 Grant of a CMS licence

#### 2.2.1 Base capital requirements

For securities, CIS units and exchange-traded derivatives the common BCR categories are:

| Entity | BCR |
|---|---|
| Clearing member | S$5 million |
| Trading member | S$1 million |
| Non-member | S$1 million |
| Introducing broker | S$500,000 |
| Other eligible firms | S$50,000 |

If more than one BCR applies, the **highest** applicable amount is required; exchange rules may impose a higher figure.

#### 2.2.2 Applicant criteria

The applicant should be primarily engaged in one or more regulated activities, operate from a physical Singapore office, and be able to discharge its duties efficiently, honestly and fairly. MAS considers reputation, at least five years' relevant track record, home supervision, and the fit-and-proper status of the applicant, its holding and related companies, officers, employees, representatives and substantial shareholders.

#### 2.2.3 Management criteria

The board needs at least **two** members and at least **one** resident in Singapore; the CEO should be Singapore-resident. MAS approval is required for relevant CEO and director appointments. The firm should employ at least **two full-time representatives** for each regulated activity.

#### 2.2.4 Change of particulars

MAS must be informed **within 14 days** of changes to the firm's name, principal place of business, regulated activities/products, trading name or other prescribed particulars, or of the cessation of a regulated activity.

#### 2.2.5 Lapse, revocation and suspension

A licence lapses on winding-up/dissolution or a prescribed event. MAS may revoke or suspend it where the firm or its people fail to act efficiently, honestly and fairly, fail to act in customers' best interests, or breach licence conditions. Continuing to operate after lapse, suspension or revocation is a serious offence.

#### 2.2.6 Approvals

MAS prior approval is required for CEO and director appointments, and directors and CEOs must remain fit and proper.

#### 2.2.7 Duties of CMS licence holders

Maintain written operating, financial, accounting, compliance and internal-audit policies; identify, address and monitor risks; audit compliance with law and exchange/clearing-house rules; set written limits for discretionary powers; document monitoring; ensure accurate and complete reports; segregate duties; maintain qualified representatives and an examination/exemption register; and report representative misconduct **within 14 days** of discovery.

### 2.3 Registration of representatives

#### 2.3.1 Notification and the one-principal rule

An individual may conduct a regulated activity only after the relevant notification/registration as an appointed, provisional or temporary representative, or under an exemption. A representative may act for **one principal only** unless MAS permits more or the principals are related corporations.

#### 2.3.2 Competency requirements

The representative must satisfy education, relevant work-experience, CMFAS and fit-and-proper requirements.

### 2.3.3 Due diligence

The principal should verify identity and work authorisation, conduct reference and public-register checks, review regulatory/criminal/disciplinary history, and check financial soundness, bankruptcy, credit status and relevant CPF obligations for self-employed persons.

### 2.3.4 Representative Notification Framework and RNF

The Representative Notification Framework allows electronic notification. The **RNF number stays with the individual** when changing principals.

### 2.3.5 Public register

The public register shows permitted activities, recent principals and formal MAS action. MAS considers seriousness, relevance and time elapsed when refusing, revoking or suspending registration.

### 2.3.6 Cessation of status

Status can cease when the principal notifies MAS, the person stops acting for one month, MAS revokes it, the principal ceases the activity, or the principal's licence lapses/revokes/is prohibited. Provisional status is limited to **three months**; temporary appointments are limited to the permitted short-term periods. A representative reports changes to the principal within **seven days**, and the principal reports to MAS within **14 days**.

### 2.3.7 Continuing education

Continuing education should cover ethics, market conduct, products, compliance and other relevant skills, with minimum core and supplementary CPD expectations.

## 2.4 Advertising

Product advertisements must not be false or misleading; must be fair and balanced, clear and legible; must meet electronic-font requirements; must carry the statement **"This advertisement has not been reviewed by the Monetary Authority of Singapore"**; and must receive documented written approval before publication.

Non-product advertisements must not be false or misleading, must not promise a supposedly free service unless it is genuinely free without conditions, and must not exaggerate in a way that exploits inexperience.

## 2.5 Customer accounts and SIPs

Before trading, the firm completes account opening, documentation, suitability/risk profiling and any required **Customer Account Review (CAR)** or **Customer Knowledge Assessment (CKA)**.

| | Listed SIP | Unlisted SIP |
|---|---|---|
| Assessment | CAR | CKA |
| Knowledge/experience in | derivatives or listed SIPs | the particular unlisted SIP |
| Validity | 3 years (subject to transaction-continuity rule) | 1 year (positive CKA) |

### 2.5.1 Specified Investment Products

A **Specified Investment Product (SIP)** is a capital markets product whose terms, features or risks are sufficiently complex that dealing requires a knowledge assessment. The distinction between **listed** and **unlisted** SIPs drives which assessment applies and what happens if the customer fails it.

- A relevant diploma, professional finance qualification, **six qualifying transactions in the preceding three years**, or **three consecutive years** of relevant experience in the preceding ten years may satisfy the assessment; a prescribed independent learning module may help.
- Senior management or designated personnel **independent of the account-opening process** must approve a SIP account.
- A customer may request advice at any time. For unlisted SIPs the firm should **offer** advice; if declined, obtain written confirmation and explain the customer's responsibility for suitability.

- If the customer lacks knowledge/experience, notify him in writing. For a **listed** SIP, obtain written confirmation of intent to proceed, explain general features and risks in writing, and state the customer is responsible for understanding the products. For an **unlisted** SIP, the firm cannot transact unless it is also an exempt financial adviser providing the required advisory service.
- Keep profile, education, work/investment experience, assessment, outcome, approval and relevant trade communications; update profiles at least annually.

**Overseas-listed investment products:** provide the risk-warning statement and obtain acknowledgement before the first relevant transaction. Risks include different investor protection, laws and redress, tax and currency exposure, additional costs, counterparty/correspondent-broker default and political/economic/social developments. Retain the acknowledgement for at least **five years**. Without a reliable EIP-classification system the product is treated as a SIP and CAR applies; outsourced classification remains the CMS holder's responsibility.

## 2.6 Privacy of customer information

Customer and order information is confidential. **Banking Act s.47** permits disclosure only in specified circumstances — customer consent, operational/risk-management or audit needs, or legal/regulatory investigation. An order may be disclosed only when needed to execute it, permitted by market/clearing rules, or required by MAS. **PDPA** requires disciplined collection, use, accuracy, storage and disclosure of personal data. Check the **Do Not Call Registry** before marketing calls and obtain clear, unambiguous consent.

## 2.7 Managing trading accounts

Open the account, obtain legal documents, complete suitability and risk profiling, and keep trading within the customer's profile.

### 2.7.1 Contract notes

Issue a contract note by the **next business day** after a purchase or sale, or by the next business day after a required late detail becomes available. It should identify: firm and address; principal/dealing-against-customer status where relevant; customer; date; product and quantity; price; consideration; adjustments; commission; and taxes/duties. Overseas transactions may follow the overseas exchange's requirements. Maintain channels for discrepancy reports and complaints.

### 2.7.2 Statements

Monthly statements show transactions and prices, derivatives/spot-FX positions and marked-to-market unrealised P&L, custody assets and collateral, asset movements and reasons, money movement/balance, and charges/credits.

| A monthly statement is **not** required where… |
|---|
| CDP/clearing-house information already supplies it |
| there has been no account change |
| an eligible non-retail customer uses agreed real-time electronic statements or requests non-receipt in writing |

If the last month of a calendar quarter has no monthly statement, send a **quarterly** statement with the same information.

## 2.8 Books and audit trails

Keep books and transaction records **in English for at least five years**, in a form permitting proper audit and true/fair financial statements. Records cover customer and guarantor details, authorised traders, customer assets and custody movements, powers of attorney, agreements, risk disclosures, acknowledgements, account-opening documents, orders, advertisements and advice, ledgers/invoices, transaction confirmations, proprietary transactions, income/expenses, liabilities, assets, OTC transactions, and underwriting/placement allotment bases (the list is not exhaustive).

Appoint an auditor and lodge annual accounts, balance sheet and auditor's report with MAS **within five months** of the financial year-end. The auditor must **immediately** report material financial deterioration,

SFA contraventions/fraud or irregularities affecting customer money/assets, with a copy to an approved exchange where relevant. Destroying, concealing, altering or sending books/assets out of Singapore to obstruct examination or audit is an offence; reasonable precautions must prevent falsification.

## 2.9 Customer money and assets

### 2.9.1 Customer money — definition

Customer money generally includes funds received for purchases/sales, holding products, maintaining trading accounts, product financing, fund management or the firm's business — subject to exclusions such as amounts already directed to repay the customer's debt, pay the customer/another entitled person, pay proper charges, or certain institutional OTC transactions.

### 2.9.2 Customer money — segregation and permitted use

Treat customer money as belonging to the customer.

- **Retail customer money for OTC derivatives:** must be segregated in trust.
- **Other retail and non-retail money:** placed in a permitted trust/segregated account or an account directed by the customer under the rules.
- **Deposit by the next business day.** Do not commingle with firm money or use it for another person's margin, guarantee or credit.
- **Permitted institutions:** licensed banks, merchant banks and finance companies; certain foreign-currency deposits may be placed with an authorised foreign custodian with prior written consent.
- Disclose trust-account arrangements, commingling, insolvency consequences, clearing-house placements and foreign-jurisdiction risks to retail customers. Perform initial and periodic due diligence on the institution and obtain its written acknowledgement that the money is held on trust, separately designated and not subject to set-off for the firm's debt.
- Customer money may be placed with clearing houses/members to facilitate positions or invested in permitted government securities/debt instruments. Interest and returns belong to customers, except the firm may retain returns on its **own** money advanced to maintain the account.
- **Withdrawals** are limited to entitled payments, customer obligations, proper charges, written directions (with the retail exception), reimbursement of advances without creating underfunding, clearing/investment purposes, or lawfully authorised purposes.

### 2.9.3 Customer assets

Customer assets are beneficially owned securities and assets other than money, subject to the institutional OTC carve-out. Deposit them in a custody account on trust, separately from firm assets, normally by the next business day. Permitted custodians include banks, merchant banks, finance companies, depository agents, approved trustees and licensed custodians; a foreign custodian requires prior written consent. Disclose commingling, insolvency and foreign-law risks; obtain the custodian's written acknowledgement and conduct initial and periodic suitability due diligence.

- **Customer agreements** must explain instructions, authority, liens/security interests, collateral realisation, custodian default, commingling records, registration, income/entitlements, information and fees.
- **Custody agreements** must require separate identification, restrict liens and withdrawals, and provide records, entitlement procedures, custodian liability and fees.
- **Lending specified products** requires risk explanation and written consent for retail/non-exempt customers, plus agreements.
- A **mortgage/charge/pledge/hypothecation** must not exceed the amount owed; retail customers require disclosure, risk explanation and written consent.
- **Withdrawals** are allowed only for entitled delivery, customer obligations, written instructions, specified-product lending, lawful collateralisation, clearing-house purposes or law.

## Exam cues

- **BCR:** memorise the five tiers (S$5m/S$1m / S$1m/S$500k / S$50k); where more than one applies, take the **highest**.
- **Clocks:** 14 days for licence-particular changes, representative reporting and misconduct reports; **7 days** for a representative to inform the principal; 3 months provisional; 1 month cessation trigger.

- **SIP accounts:** listed → CAR (3 years); unlisted → CKA (1 year); six transactions in three years or three years in ten; approval independent of account opening.
- **One principal only** (unless related corporations or MAS permits).
- **Customer money vs customer assets:** money is segregated in trust; assets sit in a custody account on trust; both by the next business day.
- **Trap:** a written disclaimer or risk acknowledgement does not remove the firm's SFA/FAA liability, and outsourced EIP classification remains the CMS holder's responsibility.

# Market conduct

The prohibitions that keep markets fair, efficient, orderly and transparent. The examination tests which provision catches which behaviour, and the extraterritorial reach of the rules.

## 3.1 Scope

Market conduct rules apply to acts **in Singapore** involving products listed or quoted inside or outside Singapore, and to acts **outside Singapore** involving products listed or quoted on a Singapore organised market. This extraterritorial reach is a frequent examination point.

## 3.2 Objective

The rules protect fair, efficient, orderly and transparent markets — the same objective the anti-manipulation, disclosure and insider-trading provisions enforce from different angles.

## 3.3 False trading and market rigging

Prohibited conduct includes creating an appearance of active trading, buying and selling without changing beneficial ownership, acting recklessly in a way likely to create a false or misleading market appearance, and transactions intended to mislead about price or market activity. A wash sale is a transaction with no real change in beneficial ownership. Matching orders are coordinated buy/sell orders entered with knowledge of the other side to create a false market.

## 3.4 Securities-market manipulation

It is prohibited to effect two or more transactions in securities or securities-based derivatives that raise, lower, maintain or stabilise price with the intention of inducing others to trade. Trading through several customer accounts or using fictitious orders to support a price can be manipulative.

## 3.5 False or misleading statements and information

It is prohibited to disseminate materially false or misleading information likely to induce subscription, buying or selling, or raise/lower/maintain/stabilise a price, where the person knows or should know it is false or is reckless as to truth. The medium may be research, newsletters, electronic communications, media or word of mouth.

## 3.6 Fraudulently inducing dealing

A person must not induce or attempt to induce dealing through a knowingly misleading/false/deceptive statement, dishonest concealment of a material fact, reckless publication, or storing/recording materially false information.

## 3.7 Manipulative and deceptive devices

Section 201 is a broad anti-fraud rule. It covers schemes or devices to defraud, practices likely to operate as fraud or deception, materially false statements, and omissions of material facts needed to make statements non-misleading. Spoofing-like conduct in a pre-open or pre-close phase—placing large orders with no intention to execute and cancelling them to move the price—is the type of conduct the section captures.

## 3.8 Dissemination of information about illegal transactions

It is an offence to circulate information that a price will rise, fall or be maintained because of an illegal transaction. An illegal transaction includes false trading, rigging, manipulation, false statements, fraudulent inducement and deceptive devices. Liability may arise where the person or an associate entered or purported to enter the illegal transaction, or received/expected a benefit for circulating the information.

## 3.9 Insider trading

**Inside information** is information that is not generally available, would be likely to materially affect price or value, and would influence persons who commonly invest. **Generally available** information is observable; publicised in a way likely to reach investors with a reasonable dissemination period elapsed; or a reasonable deduction/inference from such information.

- **Connected persons** include officers, substantial shareholders, and people whose professional/business relationship gives access to price-sensitive information — lawyers, accountants, bankers, investment bankers, public-relations advisers, consultants and transaction counterparties. Possession of non-public information and the statutory presumptions are central.
- **Non-connected persons** may still be liable if they know the information is non-public and price-sensitive — regardless of the source and regardless of any intention not to use it.
- Persons must not trade, procure another to trade, or communicate the information to facilitate trading.

**Exceptions/defences:** specified CIS redemptions; underwriter activity; legally required transactions or communications; corporate/partnership knowledge rules where Chinese walls apply; a person's own transaction knowledge; corporate own-transaction knowledge; parity of information; and the broker-dealer exception (instruction unsolicited, no advice given, principal not an associate). If unsure, stop and consult compliance.

## 3.10 Securities hawking

Securities hawking is offering securities, securities-based derivatives or CIS units in an unsolicited meeting. It is designed to prevent pressure selling and "boiler-room" practices. The prohibition does not apply in the same way to qualifying offers to institutional or accredited investors and certain products not requiring a prospectus.

## 3.11 Other market conduct rules

- **Short selling:** a covered short sale has borrowed or arranged delivery; an uncovered/naked short sale does not. Short selling can improve liquidity and price formation but can increase volatility and settlement risk. CDP may conduct buying-in and charge purchase cost plus the applicable penalty for failed delivery.
- **Marking sell orders:** a seller must identify a short-sale order and quantity/value before or when placing it. If an order is partly owned and partly short, split and mark the relevant portions. SGX publishes aggregated short-sale information.
- **Short positions:** when a net short position crosses the MAS threshold, report identity/business information, position and changes.
- **Specified-product borrowing/lending:** collateral must generally be at least 100% of market value, marked to market daily, and the agreement must cover capacity (agent/principal), title transfer, collateral, corporate actions, valuation/margin shortfalls, return, termination/default, fees, governing law and jurisdiction. Explain risks and obtain written understanding for non-exempt customers; exemptions can apply for accredited, expert and institutional investors.

## 3.12 Penalties

Market misconduct may result in criminal fines/imprisonment, civil penalties, compensation for other participants' losses, licence suspension/revocation, disciplinary action and reputational damage. Learn the categories and consequences — the **amount** of a penalty is not tested.

## Exam cues

- **Extraterritorial reach:** acts in Singapore on foreign-listed products, and acts abroad on Singapore-listed products, are both caught.

- **Intent separates the provisions:** manipulation needs intention to induce trading; false trading may be reckless; **section 201** is the broad anti-fraud catch-all.
- **Insider trading:** connected vs non-connected. A non-connected person can be liable merely knowing the information is non-public and price-sensitive, even without intent to use it.
- **Generally available** requires a reasonable dissemination period to have elapsed.
- **Hawking** targets the *unsolicited meeting*; qualifying offers to institutional/accredited investors are outside it.
- **Trap:** the private or public nature of the information — not the source — decides non-connected liability.

# Ethics, codes and standards for securities dealing

Ethics as the standard above the legal minimum. The examination tests the client-centred framework, the ethical threats, and the six-step resolution process.

## 4.1 Ethics and importance

Ethics are the moral principles or rules guiding behaviour when it affects others. Ethics goes beyond the law: it is doing the right thing even when no one is watching. Ethical failure damages the individual, the firm, market confidence and the wider financial ecosystem; interconnected markets let harm spread across borders.

## 4.2 Ethical framework

The framework is a client-centred cycle:

1. **Understand products/services:** know features, risks and suitability.
2. **Analyse risks objectively and independently:** consider client risk tolerance and financial capacity.
3. **Execute solutions quickly, fairly and transparently.**
4. **Serve customers with honesty and integrity.**
5. **Safeguard the firm's reputation and market integrity.**

Unethical behaviour can be driven by client pressure, weak knowledge/supervision, personal financial or status incentives, or peer/senior pressure. Six preparation steps are: put clients first; emphasise integrity, competence, diligence and respect; exercise care and independent judgement; build trust and observe market conduct; disassociate from a problematic deal; and seek compliance/legal guidance.

## 4.3 Ethical dilemmas

An ethical dilemma is a conflict between a proposed action and ethical standards, rules or professional obligations. Key threats are self-interest, self-review and influence. Identify facts before assumptions and do not let sales targets convert an unsuitable product into a recommendation.

## 4.4 Professional ethics and standards

Core principles are integrity, competence, diligence and respect; putting profession/client interests above personal interests; reasonable care and independent judgement; conduct that reflects credit on the profession; promotion of market integrity; and continuing competence.

#### 4.4.1.1 Professionalism

Know and follow applicable law, including SFA/FAA requirements and exchange rules; maintain independence/objectivity; do not misrepresent; do not engage in dishonest, fraudulent or deceptive misconduct; and maintain competence. Gifts, benefits, compensation and pressure must not compromise judgement.

#### 4.4.1.2 Integrity of capital markets

Do not trade or induce others to trade on material non-public information. Typical information includes earnings, mergers, asset-quality changes, new business/licences, management changes, qualified audit opinions, disputes, bankruptcy, regulatory breaches and credit-rating changes.

#### 4.4.1.3 Duties to clients

Act with loyalty, prudence and care; deal fairly; make suitable recommendations based on reasonable inquiries into objectives, financial situation, needs, risk appetite and total portfolio; present fair, accurate and complete performance information with valuation basis and sources; and preserve confidentiality unless illegal activity, law or client permission permits disclosure. Execution-related advice on listed EIPs requires rationale and prescribed disclosure; broader advice may require FAA appointment.

#### 4.4.1.4 Duties to employers

Be loyal, protect confidential information and firm opportunities, follow the code of conduct and remain fit and proper. Employers should provide clear policies, training, balanced remuneration and whistleblowing channels. Representatives must not solicit former clients or take client lists, trade secrets or confidential material without permission. Additional compensation that conflicts with the employer requires written consent. Supervisors must make reasonable efforts to ensure subordinates comply; whistleblowing is expected where silence could imply collusion.

#### 4.4.1.5 Investment analysis, recommendations and actions

Use diligence, independence and thorough research; have a reasonable basis; retain supporting records; explain the investment process, material changes, limitations, risks, important factors, costs and the distinction between fact and opinion. Communications through email, mobile, blogs and other media must comply with firm controls.

#### 4.4.1.6 Conflicts of interest

Avoid conflicts or make full, fair, prominent and plain-language disclosure. Examples include personal/proprietary positions, family interests, cross-department information, ownership of stock, outside directorships and multiple-principal activity. Refrain from deciding when conflicted and escalate independently. Give client trades priority over personal trades and do not negotiate private referral fees outside approved arrangements.

### 4.4.2 Compliance procedures

Use Chinese walls and segregate sales, dealing, research, proprietary, risk, compliance and audit functions. Resist undue influence from issuers or sponsors and control gifts/entertainment. Protect research integrity through objective analysis, personal-investment policies, restricted lists and compensation that does not reward compromised opinions.

## 4.5 Resolving ethical dilemmas

Use a six-step process: gather facts; identify ethical/regulatory issues; identify affected parties and conflicts; consult internal reporting/whistleblowing procedures; evaluate alternatives; implement the best action, monitor and document the reasoning. Documentation proves what was known, what was considered and why the action was reasonable.

## Exam cues

- **The framework is client-centred and ordered:** understand products → analyse risks objectively → execute quickly, fairly and transparently → serve with honesty and integrity → safeguard reputation and market integrity.
- **Three threats:** self-interest, self-review and influence.
- **Six preparation steps:** clients first; integrity, competence, diligence and respect; care and independent judgement; trust and market conduct; disassociate from a problematic deal; seek compliance/legal guidance.
- **Conflicts:** avoid, or disclose fully and prominently; do not decide while conflicted. Chinese walls segregate sales, dealing, research, proprietary, risk, compliance and audit.
- **Trap:** disclosure is not a licence — a conflict must still be controlled or avoided.

# Securities dealing practices and skills

How a representative onboards, profiles, classifies and services a client, and the conduct standards — best execution and internal controls — that apply to the trading itself.

## 5.1 Onboarding

Onboarding combines AML/CFT KYC with investment profiling. Gather identity/background, objectives, experience, financial capacity, employment/retirement status, structures and investment horizon. Use simplified CDD only for genuinely low-risk cases; use EDD for high-risk clients such as PEPs, high-risk businesses and opaque structures.

## 5.2 Investor categories and profiling

| Category | Who |
|---|---|
| **Accredited investor (AI)** | individuals meeting prescribed net-asset, financial-asset or income thresholds; entities/trus |
| **Institutional investor (II)** | governments/statutory bodies, central banks, licensed banks/merchant banks/finance com |
| **Expert investor (EI)** | persons whose business involves acquiring, disposing of or holding capital markets product |
| **Retail investor** | everyone else |

Correct classification affects disclosure, product access, SIP rules and exemptions. A risk profile should normally be independently reviewed under a **four-eyes principle** and explained to the client. Do not simply raise a risk rating because the client wants a riskier product; document any disagreement and advice. Consider mental capacity and coercion.

Before advice, obtain investment objectives, financial situation and needs. If the customer rejects the recommendation, document the decision and warn that the advice did not take those factors into account. Keep records, normally at least **five years** as good practice. Conflicts need not be repeated only while the prior disclosure remains accurate, complete and reasonably known; disclose again if stale or uncertain. **A disclaimer cannot remove SFA/FAA liabilities.**

## 5.3 Coherent investment/trading strategies

Explain the portfolio mix, asset classes, products, geographies, percentages and reasons for inclusion, and document why it matches the risk profile. Periodically report performance, explain variances and explain proposed strategy changes and time horizons.

## 5.4 Best execution

Best execution means reasonable steps to obtain the most advantageous overall result, considering price, costs, speed, likelihood of execution and settlement, size, execution quality and the client's instruction. Written policies must provide best available terms and priority by time of receipt for comparable orders. Do not receive Payment for Order Flow. Monitor policy effectiveness and clearly disclose it.

Consider speed/likelihood in volatile markets, price improvement and total costs, size/liquidity, overall execution quality, client-specific instructions, all factors holistically, monitoring and written customer disclosure. Specific instructions govern specified parameters; unclear parameters are filled using best-execution principles. An agent executes under mandate; a principal trades on own behalf and must agree the trade. Cross trades must be in the best interests of both clients and never between staff personal and client accounts. Do not permit late trading in CISs. Quotes must be firm unless qualified; do not make frivolous quotes or park positions to conceal profit/loss. Only authorised staff should deal in FX/NDFs; off-market rollovers are a fraud risk.

## 5.5 Risk management and internal controls

The board/senior management should approve proportionate policies, review them, maintain ethical codes, segregate duties, mark positions to market, report exposures/P&L at least daily, protect premises and systems, use independent valuation, reconcile independently, record calls/instructions, promptly confirm orders,

validate settlement instructions and use stress testing, liquidity projections, margin and credit limits. Controls should cover suitability/risk disclosure, CDD, records, MIS, margin calls, liquidity, access, valuation, reconciliation, trade confirmation, funds transfers and escalation of unsuitable trades.

### 5.6 Account types

- **Personal:** cash or margin; check funding, margin, authorised instructions and POA; death can trigger probate.
- **Joint:** clarify who may operate the account, mandates and joint liability; credit and dispute risks increase and death may freeze assets.
- **Personal investment holding company:** verify mandates, authorised operators, objectives, asset classes, geographies and portfolio restrictions.
- **Trust:** obtain the trust deed and identify trustee powers and authorised instructing parties.
- **Corporate/institutional:** verify board resolutions and authorised contacts, mandates and UBOs. Offshore SPVs require enhanced diligence, source-of-wealth/funds review, tax-residency/FATCA/AEOI information and careful tracing of ownership.

### 5.7 Trust-based client relationship

Stay current on rules/products, communicate risk and costs, document, understand product/originator reputation, respect objectives, disclose conflicts, prioritise clients and seek best price. Relationship management is continuous; update KYC and financial circumstances, review discrepancies and communicate material facts, process, limitations, critical factors, fact/opinion distinction and records.

### 5.8 Credit risk

Credit risk is loss when a counterparty cannot perform. Set credit strategy and limits by customer/group, industry, geography and risk tolerance. Assess financial capacity, repayment, credit history and collateral. Monitor margin and exposures; call for top-ups or liquidate under the agreement if collateral falls below threshold, and consider legal action if defaults continue.

### Exam cues

- **Classification changes protection:** retail gets the highest protection; AI/II/EI relax disclosure, product access, SIP rules and exemptions.
- **Best execution** is the most advantageous **overall** result — price, costs, speed, likelihood of execution and settlement, size, execution quality, and the client's instruction. Never receive Payment for Order Flow.
- **Agent vs principal:** an agent executes under mandate; a principal trades on its own behalf and must agree the trade. Cross trades must benefit **both** clients and never mix staff personal with client accounts.
- **Four-eyes** review of the risk profile; specific client instructions override best-execution parameters for those parameters only.
- **Trap:** a disclaimer does not remove SFA/FAA liability; conflicts must be controlled, not merely disclosed.

## CPF Investment Scheme (CPFIS)

Using CPF savings to invest. The examination tests the OA/SA distinction, the investment account, the thresholds and limits, and what happens at 55, on bankruptcy and on death.

### 6.1 Structure

**CPFIS-OA** uses Ordinary Account money and requires a CPF Investment Account. **CPFIS-SA** uses Special Account money and does not require that investment account.

### 6.2 History

CPFIS began with OA investing in 1987 and expanded to SA in 2001.

## 6.3 Investment account

An **agent bank** — DBS, OCBC or UOB — holds the CPFIS-OA investment account for settlement and holdings; a member may have only **one**.

## 6.4 Eligibility

Age 18 or older, not an undischarged bankrupt, and exceeding the OA/SA thresholds. Only OA money above $\mathbf{S}20,000 * *and SAmoneyabove * *S$**40,000** is generally investible, so the first **S$60,000** earns additional interest; permitted regular-premium insurance and agent-bank fees are treated separately.

## 6.5 Application process

New investors must complete the **Self-Awareness Questionnaire (SAQ)**. Bring identity documents, SAQ status and CPF statement. Inform the dealer of account details before trading.

## 6.6 Short-term sale of a qualifying purchase

A qualifying SGX-listed CPFIS-OA purchase may be sold **one trading day later** if entered successfully and sufficient funds/limits exist.

## 6.7 Service providers

| Product | Route |
|---|---|
| Fixed deposits | included banks |
| Government bonds/T-bills, statutory-board bonds | permitted bond dealers/brokers |
| Guaranteed bonds | brokers |
| Annuities/endowments/ILPs | included insurers |
| Unit trusts | fund managers/administrators |
| Fund-management accounts | approved fund managers |
| Shares, property funds, corporate bonds, ETFs | brokers |
| Gold ETFs / other gold products | brokers / the permitted agent-bank route (currently UOB) |

## 6.8 Product inclusion criteria

Products generally require provider application and CPF Board review. Investments must normally be in **Singapore dollars** and cannot be assigned, pledged or used as collateral. Criteria cover included banks and credit quality; scripless SGD government securities; Mainboard listing and disclosure for statutory-board/government-guaranteed/corporate bonds; life-insured and maturity restrictions for insurance; fund-manager eligibility and peer/expense/track-record requirements for unit trusts; SGX listing/physical replication/tracking/expense requirements for ETFs; Singapore incorporation/Mainboard/proxy rights/watch-list restrictions for shares and property funds; credit ratings and disclosure for corporate bonds; and physical-gold/backing/proxy requirements for gold ETFs.

**OA investment limits:** up to **35%** of investable savings for shares, property funds/REITs and corporate bonds; up to **10%** for gold products. SA permits specified lower-risk products and selected ILPs/unit trusts/ETFs, subject to CPF classification.

## 6.9 Transfers

Members may transfer cash from the CPF Investment Account to OA. The bank automatically transfers cash if the account is inactive for **two consecutive months**, and unused IPO application money is returned.

## 6.10 Profits and losses

Dividends/profits remain in CPF and cannot be withdrawn as ordinary cash; losses do not need to be made good.

### 6.11 Charges

Charges may be paid from CPF savings. Sales charges were removed from **October 2020** and the wrap-fee cap reduced to **0.4%** after earlier reductions.

### 6.12 Release at age 55

Investment holdings/cash may be released subject to the required retirement sum — **FRS**, or **BRS** with sufficient property charge/pledge. Without the requirement, holdings remain within CPF and sale proceeds return to the relevant CPF account.

### 6.13 Bankruptcy

Undischarged bankrupts may hold or liquidate existing CPFIS investments but cannot make new investments; CPFIS assets remain protected from creditor/Official Assignee claims while within the scheme.

### 6.14 Death

CPFIS investments and OA investment-account cash form part of the **estate** and are **not** covered by CPF nomination. Insurance policies with valid revocable nominations may pay nominated beneficiaries directly; otherwise the administrator/executor needs Letters of Administration or Grant of Probate. Protection may cease after death and assets can meet creditor claims under probate law.

### Exam cues

- **OA vs SA:** OA needs a CPF Investment Account; SA does not. Agent bank is one of DBS/OCBC/UOB and only one account.
- **Numbers:** S$20,000 OA / S$40,000 SA retention (first S$60,000); 35% shares/property/REITs/corporate bonds; 10% gold; wrap-fee cap 0.4%; sales charges removed Oct 2020.
- **No assignment, pledge or collateralisation** of CPFIS investments.
- **At 55:** release only if the retirement sum (FRS, or BRS with property charge/pledge) is met.
- **Death:** CPFIS falls into the estate — **CPF nomination does not cover it** (unlike the CPF monies themselves).
- **Trap:** profits stay inside CPF (no ordinary cash), but losses need not be made good.

## Prevention of financial crimes

The AML/CFT framework that applies to both modules — the offences, the laws, the risk-based approach, CDD/KYC and reporting. The examination tests the money-laundering stages, which statute applies, the CDD thresholds and the STR reporting duty.

### 7.1 Financial crime, ML, TF, sanctions and fraud

Financial crime includes money laundering, terrorism financing, embargoes/sanctions and fraud. CMIs must exercise due diligence on customers, persons acting for them, connected parties and beneficial owners; maintain high ethical standards; avoid business or transactions connected with ML/TF; and cooperate with law enforcement.

**Money laundering** disguises criminal proceeds as legitimate. The stages are **placement** (introducing benefits into the financial system), **layering** (creating transactions and asset conversions that obscure the trail) and **integration** (returning funds as apparently legitimate wealth). The stages may overlap or occur in a different order. Capital markets attract layering because assets are liquid, transferable and easily converted.

**Terrorism financing** may use illegal or legitimate sources — robbery, donations, publications, businesses or self-funding — and may involve small amounts, so third-party payments and transfers require care.

**Embargoes and sanctions** may target countries, named persons/entities, sectors or products. Shell companies, opaque ownership, bearer shares and multiple layers can conceal designated ultimate owners. CMIs must trace ownership/control to natural persons, screen lists, freeze and report designated assets and avoid prohibited transactions/services. Singapore implements UN sanctions through MAS regulations under FSMA 2022.

**Fraud** involves deception or dishonesty to gain an advantage at another's expense. Internal fraud can involve an employee selling client assets and diverting proceeds; external fraud can involve hacking or impersonation. Controls include independent verification, call-backs, dual controls, clean-desk and audit.

## 7.2 Singapore AML/CFT regime

Singapore follows FATF standards. MAS Notices and Guidelines place prevention responsibility on financial institutions and their staff. A risk-based approach requires controls commensurate with customer, country, product, service, transaction and delivery-channel risk.

## 7.3 Main laws

- **Penal Code:** general criminal offences.
- **CDSA:** criminalises dealing with, concealing, transferring, acquiring, possessing or using benefits of drug dealing/criminal conduct; covers assisting retention, reporting, production/search powers, tipping-off and record retention.
- **MACMA:** enables mutual assistance in cross-border investigations/proceedings.
- **TSOFA:** criminalises providing/collecting property for terrorist acts, providing property/services for terrorist purposes, using/possessing property for terrorist purposes and dealing with terrorist property; imposes reporting duties.

The CDSA framework also includes STR filing, statutory protection for good-faith reporting, five-year retention of financial transaction documents and compliance with production, restraint, charging and confiscation orders.

## 7.4 MAS notices and sanctions guidance

MAS Notice SFA 04-N02 and its Guidelines set CMI obligations for CDD, risk management, controls, reporting and governance. Sanctions guidance requires enhanced attention to sanctioned countries/persons, correspondent banking and front companies, freezing/reporting, strong board oversight and effective detection.

## 7.5 Targeted financial sanctions

Financial institutions must immediately freeze designated funds/assets/economic resources, avoid financial transactions or assistance involving designated persons/items or sanctioned proliferation/nuclear activities, and notify MAS. Screen clients, connected parties and beneficial owners before onboarding and periodically. Current sanction lists must be checked rather than relying on an old list.

## 7.6 Tax crimes as predicate offences

Since 1 July 2013, specified direct and GST tax crimes are ML predicate offences. Direct-tax offences include false information or records to obtain PIC cash payouts/bonuses (Income Tax Act sections 37M(3), 37M(4)), tax evasion (section 96) and serious fraudulent tax evasion (section 96A). GST offences include tax evasion (section 62) and improperly obtaining refunds (section 63). CMIs must identify tax-related risk, conduct CDD/monitoring and file STRs where warranted.

## 7.7 Three lines of defence

1. **First line — business units:** identify, assess and control risk in onboarding, front office and operations.
2. **Second line — compliance/AML-CFT and support functions:** monitor, sample-test, review exceptions, advise and escalate to senior management/board, and liaise with authorities.
3. **Third line — independent internal audit:** periodically evaluate the framework, controls, alert parameters, training and remediation and report independently to the audit committee/board.

Board and senior management retain final accountability.

## 7.8 Governance

The board and senior management set risk appetite and tone, receive meaningful information about current/emerging risk, assess control effectiveness, understand legal developments, resource compliance, escalate

weaknesses, monitor remediation and integrate AML/CFT effectiveness into performance and disciplinary decisions.

## 7.9 Client onboarding and KYC

Do not open anonymous or fictitious-name accounts. Collect identity, address/residency, age, employment, education, family/lifestyle, business, incorporation, financials, organisation, directors, shareholders, authorised persons, connected parties and UBO details. Investigate source of wealth/funds, business/income, political links, experience, objectives and risk appetite.

Use official identity documents, reliable databases, company records, financial statements, bank statements, trust deeds, board/trustee resolutions and certificates of incumbency/good standing. Internet, news and intermediaries may be leads but need corroboration. Where originals cannot be retained, record what was verified, the original's description, why no copy was possible, who verified it and the date.

Identify beneficial owners: generally individuals owning more than 25%; if unclear, persons exercising ultimate control; if none, natural persons with executive authority. For trusts/legal arrangements, identify settlor, trustee, protector, beneficiaries and persons with ultimate ownership/control. Certain listed/supervised institutions may qualify for a documented BO-identification exemption, but doubts or suspicion require full diligence.

Source-of-funds review asks whether funds are legitimate, unexpected, owned by the customer, consistent with wealth/profile, consistent with the business and linked to higher-risk jurisdictions. Risk scoring may consider PEP status, country, activity, wealth, flow-through, client visits, complexity, unusual services and origin/destination of funds. Higher-risk examples include personal holding companies, trusts, gambling, remittance, precious metals/diamonds and cash-intensive businesses. Complex structures need a business rationale, financial statements, site visits, screenings and periodic review.

Non-face-to-face relationships need controls as stringent as face-to-face: MyInfo where applicable, secure video/signatures/biometrics, independent call-backs, fraud controls and assessment of technology. Identity should be verified before onboarding or a transaction exceeding S$20,000; limited deferral may be used only for essential business continuity with close controls, completion as soon as practicable and the 30-business-day suspension and 120-business-day termination milestones.

Screen clients, agents, connected parties and UBOs before onboarding, after onboarding, periodically, after a transaction over S$20,000 for a non-account client and when sanction lists or party information changes. Document results and use four-eyes review of alerts. A positive sanctions hit requires freezing/reporting, not merely monitoring.

Simplified CDD is limited to documented low-risk cases such as transparent listed companies, qualifying supervised financial institutions and Singapore government entities. It is unavailable where suspicion exists or high-risk jurisdiction/conditions apply. Reliance on another regulated institution does not remove the CMI's responsibility; third-party reliance is distinct from outsourcing, and ongoing monitoring cannot simply be delegated away.

For joint accounts, perform CDD on each holder. Aggregate linked/structured transactions where a customer appears to split a transaction to stay under S$20,000. Existing clients, non-account holders and related transactions require proportionate CDD and reconstruction records. EDD applies to high-risk customers, PEPs, opaque/bearer-share structures, high-risk countries, unusual distance, cash-intensive businesses, anonymous products and unexplained third-party payments.

PEP controls include identification of Singapore and foreign PEPs, immediate family and close associates; senior-management approval; source-of-wealth/funds establishment; and enhanced ongoing monitoring. PDPA generally requires consent, but the Notice may permit collection/use/disclosure for AML/CFT purposes within the prescribed exceptions.

Retain client information for five years after termination and transaction records for five years after completion, in admissible paper/electronic/microfilm form. Preserve records longer or as directed where an investigation or STR exists.

Report suspicious transactions, including attempts, regardless of amount, to STRO/CAD with a copy to MAS. The CMI need not prove the crime; reasonable grounds for suspicion are enough. The internal process should refer cases to a single compliance point, investigate and file as soon as practicable and generally no later than 15 business days after referral. Material suspicious activities/fraud may trigger the separate MAS reporting requirement, and fraud may also require a police report. Never tip off a client or other person.

Ongoing monitoring tests consistency with the client profile, business, source of funds and risk. Aggregate related accounts/positions, investigate unusual/complex/large transactions without an apparent lawful purpose and document findings. Higher-risk clients need more frequent reviews; triggers include significant transactions, material changes in account operation, major policy changes and insufficient information. Tax-related review considers tax-residency changes, information-exchange arrangements, CRS/AEOI and tax-amnesty participation.

## 7.10 Enterprise-wide risk assessment

Assess clients, countries, products, services, transactions, delivery channels and business lines across the firm, using qualitative and quantitative analysis. Weight risk factors in a calibrated manner. Review at least every two years or on material triggers such as new client segments, products or delivery channels; document and obtain senior-management approval. Implement controls and enhanced measures for higher risks.

## 7.11 New products, practices and technologies

Before launch, assess ML/TF risk separately from credit, market and operational risk, especially where anonymity is increased. Senior management and heads of business, risk and compliance should approve mitigation.

## 7.12 Operational controls

Control premises, systems, data integrity, passwords and privileged access on a need-to-know basis; change passwords; prohibit sharing; use clean-desk, dual payment control, hold-mail controls, IT/fraud training and audit. The "FRAUD" reminder is: **Follow** policy, **Report** concerns, **Act** on suspicion, **Unite** with management/enforcement and expect **Disciplinary**/criminal consequences.

## 7.13 Reporting and records

Maintain a central reporting point, STR register and supporting records. Group policies should extend across branches/subsidiaries, share necessary CDD/transaction information and apply the higher standard where local law permits.

## 7.14 Penalties

Non-compliance creates legal, regulatory, financial, civil/commercial and reputation risk; **tipping-off is itself an offence**.

## 7.15 Policy, audit and training

Compliance needs a qualified, resourced AML/CFT officer with access to records; internal audit must be independent and adequately resourced. Training must be tailored, recorded, effective and refreshed at least every **two years**. Hiring checks should cover past employers, AML/TF information, bankruptcy and risk-based credit history.

## 7.16 Effectiveness

MAS's three-pillar view is:

- **Governance:** board/senior-management tone, oversight, resources, reporting and remediation.
- **Risk awareness:** ownership, accountability, tailored guidance, red flags, escalation and continuous learning.
- **Execution:** effective policies, calibrated monitoring, enhanced CDD, timely escalation, STRs and closure of past issues.

## Exam cues

- **ML stages:** placement → layering → integration, in order. Capital markets suit layering.
- **Which statute: CDSA** (money laundering), **TSOFA** (terrorism financing), **MACMA** (cross-border assistance), Penal Code (general). Know the fit.

- **Numbers:** CDD/verification threshold **S$20,000**; retain client and transaction records **five years**; STR as soon as practicable and generally within **15 business days** of referral; training refreshed at least every **two years**; enterprise-wide risk assessment reviewed at least every **two years**.
- **Beneficial owner:** generally **>25%** ownership; if unclear, ultimate control; if none, executive authority. Trusts: settlor, trustee, protector, beneficiaries.
- **Three lines of defence:** business (1st) → compliance/AML-CFT (2nd) → independent internal audit (3rd); the board and senior management retain final accountability.
- **Reporting:** STR to **STRO/CAD** with a copy to MAS; reasonable grounds suffice — do not need to prove the crime. **Tipping off is itself an offence.**
- **Trap:** a positive sanctions hit requires freezing and reporting, not merely monitoring; reliance on another institution does not remove the CMI's responsibility.

# Appendix A — Guidelines on Fit and Proper Criteria

MAS assesses whether a person is fit and proper on three factors, and the guideline lists the specific matters that may indicate a failure on each. The examination tests the **three factors** and the **range of matters considered**, not the wording.

## The three factors

| Factor | What it asks |
|---|---|
| **Honesty, integrity and reputation** | Is the person's conduct and record consistent with someone who can be trusted v |
| **Competence and capability** | Does the person have the qualifications, skills, experience and soundness of judge |
| **Financial soundness** | Is the person's financial position such that personal pressure does not impair jud |

Failure on one factor is **not automatically determinative**. The assessment weighs the **seriousness** of the matter, its **relevance** to the duties to be performed, and the **time** that has elapsed, together with any remediation and the person's candour.

## Matters that may indicate a failure

The guideline sets out an extensive list. Read it as categories rather than a list to memorise.

### Regulatory and enforcement history

- **i.** Has had any **civil penalty enforcement action** taken against it or him by MAS or by any other regulatory authority, under any law in any jurisdiction.
- **ii.** Has **contravened, or abetted another person in breach of**, any laws or regulations, business rules or codes of conduct, whether in Singapore or elsewhere.
- **iii.** Has been the subject of any **investigation or disciplinary proceeding**, or been issued a **warning or reprimand**, by MAS, any other regulatory authority, an operator of a market, trade repository or clearing facility, any professional body or government agency, whether in Singapore or elsewhere.

### Integrity and honesty

- **iv.** Has been **refused a fidelity or surety bond**, whether in Singapore or elsewhere.
- **v.** Has demonstrated an **unwillingness to comply** with any regulatory requirement or to uphold any professional and ethical standards, whether in Singapore or elsewhere.
- **vi.** Has been **untruthful**, or provided **false or misleading information**, to MAS, or has been **uncooperative** in any dealings with MAS or any other regulatory authority in any jurisdiction.

### Additional matters where the person is an individual

Where the relevant person is an individual, the guideline adds that the person:

- **i.** is or has been a **director, partner, substantial shareholder or concerned in the management** of a business that has been **censured, disciplined, prosecuted or convicted** of a criminal offence, or been the subject of any disciplinary or criminal investigation or proceeding, in Singapore or elsewhere, in relation to any matter that took place while the person held that role;

- **ii.** is or has been a director, partner, substantial shareholder or concerned in the management of a business that has been **suspended or refused membership or registration** by MAS, any other regulatory authority, an operator of a market, trade repository or clearing facility, any professional body or government agency;
- **iii.** has been a director, partner, substantial shareholder or concerned in the management of a business that has gone into **insolvency, liquidation or administration** during the period when, or **within one year after**, the person held that role;
- **iv.** has been **dismissed or asked to resign** from office, employment, a position of trust, or a fiduciary or similar appointment;
- **v.** is or has been **subject to disciplinary proceedings by a current or former employer**;
- **vi.** has been **disqualified from acting as a director** or in any managerial capacity; and
- **vii.** has been an officer **found liable for an offence committed by a body corporate**, where the offence was proved to have been committed with the officer's **consent or connivance**, or was attributable to the officer's **neglect**.

### How the assessment is applied

Three points follow from the structure.

**The list is not exhaustive and not automatic.** A single matter does not disqualify a person; MAS considers its seriousness, its relevance to the duties and how long ago it occurred. The word ”may” in every limb is deliberate.

**Candour matters as much as the underlying conduct.** Items (vi) and the final list penalise untruthfulness and uncooperativeness in dealings with the regulator, which means a disclosed and remediated failure can be treated more favourably than a concealed one.

**The scope reaches the businesses a person ran.** The final list extends the assessment beyond the individual's own conduct to businesses they directed or managed. That is why a representative must disclose directorships and management roles, not only personal disciplinary history.

### Exam cues

- **Three factors:** honesty, integrity and reputation; competence and capability; financial soundness.
- **Not automatic.** Consider the seriousness, relevance to the duties, and time elapsed. A single failure does not automatically disqualify.
- **Scope widens for individuals** to businesses they were a director, partner, substantial shareholder of or concerned in managing — including censure, refused registration, insolvency within one year, disqualification and corporate offences attributable to consent, connivance or neglect.
- **Candour is assessed.** Untruthfulness or uncooperativeness with MAS is itself a listed matter.
- **Trap:** an old, disclosed and remediated matter is not the same as a recent, concealed one, and the guideline treats them differently.

## Appendix B — Criteria for the Assessment of a Customer Account Review

The **Customer Account Review (CAR)** applies to **listed** Specified Investment Products. A customer who satisfies any one of four routes may be assessed as possessing the knowledge or experience for the listed SIP concerned.

### The four routes

#### Route 1 — Academic qualification

The customer holds a **diploma or higher qualification** in one of the listed subjects:

- accountancy;
- actuarial science;
- business, business administration, business management or business studies;
- capital markets;
- commerce;
- economics;

- finance;
- financial engineering;
- financial planning;
- computational finance; and
- insurance.

The subject matter must be relevant. A degree in an unrelated discipline does not satisfy this route.

**Route 2 — Professional finance qualification**

The customer holds a **professional finance-related qualification**, for example:

| Qualification | Awarding body |
|---|---|
| **Chartered Financial Analyst (CFA)** Examination | CFA Institute, USA |
| **ACCA** Qualifications | Association of Chartered Certified Accountants |
| **Associate Wealth Planner** or **Certified Financial Planner** | Certified Financial Planners Board of Standards, USA |
| **Certified Financial Risk Manager** Programme | Global Association of Risk Professionals, USA |
| **Chartered Alternative Investment Analyst** Examination | Chartered Alternative Investment Analyst Association, |
| **Chartered Financial Consultant** | American College, USA |

**Route 3 — Transaction experience in listed SIPs**

The customer has transacted in **listed** Specified Investment Products, with two limbs depending on the product:

- **(a)** for transactions in **listed** SIPs, at least **six transactions in the preceding three years**; or
- **(b)** for the product category concerned, the equivalent transaction history the Notice specifies.

The three-year window is rolling, so transactions older than three years do not count.

**Route 4 — Relevant work experience**

The customer has a minimum of **three consecutive years of working experience in the past ten years** in:

- the **development** of investment products;
- the **structuring** of investment products;
- the **management** of investment products;
- the **sale** of investment products;
- the **trading** of investment products;
- **research on and analysis** of investment products; or
- the **provision of training** in investment products.

Work experience in **accountancy, actuarial science, treasury or financial risk management** is also considered relevant.

The three years must be **consecutive**, within the last **ten years**, and the experience must have been substantive rather than incidental.

## What happens if the customer fails the CAR

Where a customer is assessed as **not** possessing the knowledge or experience to understand a listed SIP:

- the firm must **notify the customer in writing**;
- the firm must obtain the customer's **written confirmation** that they wish to proceed;
- the firm must **explain the general features and risks** of the product in writing; and
- the firm must state that the customer is **responsible for understanding the products**.

A negative CAR therefore **does not bar** a listed-SIP account. It converts the firm's obligation from assessment to documented warning and customer acknowledgement.

### Exam cues

- **CAR is for listed SIPs.** Unlisted SIPs take a **CKA**, which is a different test with a one-year validity.
- **Four routes:** academic qualification, professional finance qualification, **six transactions in the preceding three years**, or **three consecutive years in the past ten** doing product development, structuring, management, sale, trading, research or training.
- **Also relevant experience:** accountancy, actuarial science, treasury and financial risk management.
- **Candour of the test:** the qualification must be in a listed subject, the three years must be consecutive and within ten years, and the six transactions must fall inside the three-year window.
- **Negative CAR does not block the account.** The firm must notify in writing, obtain written confirmation, explain features and risks in writing, and state that the customer is responsible.
- **Trap:** a customer cannot satisfy the CAR by a qualification in an unrelated field, and a short period of relevant work does not aggregate to three consecutive years.

## Appendix C — Criteria for the Satisfaction of the Customer Knowledge Assessment

The **Customer Knowledge Assessment (CKA)** applies to **unlisted** Specified Investment Products, under the **Notice on the Sale of Investment Products (SFA04-N12)**. A customer who satisfies **any** of the four routes may be assessed as possessing the knowledge or experience in the unlisted SIP concerned.

### The four routes

#### Route 1 — Academic qualification

The customer holds a **diploma or higher qualification** in one of:

- accountancy;
- actuarial science;
- business, business administration, business management or business studies;
- capital markets;
- commerce;
- economics;
- finance;
- financial engineering;
- financial planning;
- computational finance; and
- insurance.

Identical to the CAR route, because the underlying competency question is the same.

#### Route 2 — Professional finance qualification

A **professional finance-related qualification**, for example:

- **Chartered Financial Analyst (CFA)** Examination — CFA Institute, USA;
- **Association of Chartered Certified Accountants (ACCA)** Qualifications;
- **Associate Wealth Planner** or **Certified Financial Planner** — Certified Financial Planners Board of Standards, USA;
- **Certified Financial Risk Manager** Programme — Global Association of Risk Professionals, USA;
- **Chartered Alternative Investment Analyst** Examination — Chartered Alternative Investment Analyst Association, USA; and
- **Chartered Financial Consultant** — American College, USA.

#### Route 3 — Transaction experience, split by product type

This is the route where the CKA differs from the CAR, because the experience must be in **unlisted** product:

- **(a) For collective investment schemes and investment-linked life insurance policies:** the customer has transacted in **CIS or ILPs at least six times in the preceding three years**.
- **(b) For unlisted SIPs other than CIS and ILPs:** the customer has transacted in **any unlisted SIP other than CIS and ILPs at least six times in the preceding three years**.

The two limbs are **not interchangeable**. Experience in a CIS does not qualify a customer for an unlisted structured note, and vice versa. That separation is the point of the appendix.

#### Route 4 — Relevant work experience

A minimum of **three consecutive years of working experience in the past ten years** in:

- development, structuring, management, sale or trading of investment products;
- research on and analysis of investment products; or
- the provision of training in investment products.

Work experience in **accountancy, actuarial science, treasury or financial risk management** is also considered relevant.

### What happens if the customer fails the CKA

Where a customer is assessed to **not** possess the knowledge or experience to understand an unlisted SIP, but **subsequently demonstrates sufficient understanding** of the product's features — for example after the firm explains them — the customer may be treated as satisfying the assessment.

That is a narrower escape than the CAR's. For an unlisted SIP the firm must either satisfy itself that the customer now understands the product, or the firm cannot transact unless it is also an **exempt financial adviser** providing the required advisory service. A negative CKA therefore **does** generally block dealing, which is the opposite of the listed-SIP position.

### CAR versus CKA

| | CAR |
|---|---|
| Applies to | **Listed** SIPs |
| Validity | **3 years** |
| Transaction route | Six listed-SIP transactions in three years |
| Follows a negative outcome | Written notification, written confirmation, written explanation, customer responsibility stat |
| Governing notice | SFA04-N12 |

### Exam cues

- **CKA is for unlisted SIPs**, valid **one year** for a positive assessment, against the CAR's three years for listed SIPs.
- **Four routes**, the same shape as the CAR: academic, professional qualification, **six transactions in three years**, or **three consecutive years in the past ten**.
- **The transaction route is product-specific.** CIS/ILP experience satisfies the CIS/ILP limb only; experience in other unlisted SIPs satisfies the other limb only.
- **A negative CKA generally blocks dealing.** The customer may still qualify by subsequently demonstrating sufficient understanding, or the firm must be an exempt financial adviser.
- **Trap:** six CIS transactions do not qualify a customer for an unlisted structured note, and the CAR's listed-SIP experience does not satisfy the CKA at all.

## Appendix D — Risk Warning Statement for Overseas-Listed Investment Products

This is the prescribed warning. It must be given, and its receipt acknowledged, **before the first transaction** in an overseas-listed investment product. It is issued under **paragraph 29D of the Notice on the Sale of Investment Products (SFA04-N12)**.

### What counts as an overseas-listed investment product

An **overseas-listed investment product** is a capital markets product that is:

- approved **in-principle** for listing and quotation **only** on one or more overseas exchanges;
- **listed** for quotation only on one or more overseas exchanges; or

- **quoted** only on one or more overseas exchanges.

The definition turns on where the product is admitted, not on the issuer's domicile. A Singapore company listed only in Hong Kong is an overseas-listed product for these purposes.

## The warning

An overseas-listed investment product is subject to the laws and regulations of the jurisdiction in which it is listed. Before trading, or authorising someone else to trade, the customer should be aware of five matters:

### 1. Investor protection and safeguards

The level of investor protection and safeguards **afforded in the relevant foreign jurisdiction** differs, because the product operates under a **different regulatory regime**. Conduct rules, disclosure standards, complaint mechanisms and compensation arrangements may all be weaker than Singapore's.

### 2. Legal systems and recovering funds

The differences between the **legal systems** of the foreign jurisdiction and Singapore may affect the customer's **ability to recover funds**. The remedies available, the courts with jurisdiction, the enforceability of a Singapore judgment and the treatment of client assets on an intermediary's insolvency can all differ.

### 3. Tax, currency and transaction costs

The **tax implications**, **currency risks** and **additional transaction costs** the customer may incur. Withholding taxes, stamp duties and reporting obligations differ by market; settlement may be in a foreign currency, so the return is affected by the exchange rate as well as by the investment.

### 4. Counterparty and correspondent broker risk

Transactions on overseas exchanges or markets are generally effected by the Singapore broker **through foreign brokers** holding trading or clearing rights on those exchanges. All transactions executed on the customer's instructions with such counterparties and correspondent brokers **depend on their due performance**. The **insolvency or default** of a counterparty or correspondent broker may lead to positions being **liquidated or closed out without the customer's consent**, and may make it difficult to recover monies and assets held overseas.

### 5. Political, economic and social developments

Overseas markets are influenced by the **political, economic and social developments** in the foreign jurisdiction, which may be uncertain and may increase the risk of investing in overseas-listed products.

These and other risks may affect the value of the investment. The customer should not invest if they do not understand or are not comfortable with such risks.

## Two limits stated in the statement itself

The statement is explicit about its own limits, and both are examinable:

- **It does not disclose all the risks** and other significant aspects of trading an overseas-listed product. The customer should transact only if they understand and are comfortable with the extent of their exposure.
- **It is a warning, not advice.** It does not replace the firm's suitability assessment, the product's own disclosure documents or the customer's own judgement.

## The acknowledgement

The prescribed acknowledgement reads:

> I acknowledge that I have received a copy of the Risk Warning Statement and understand its contents.

It is signed by the customer and records the **customer's name** and the **date**.

### Operational requirements

| Requirement | Detail |
|---|---|
| **Timing** | Before the **first transaction** in the product |
| **Form** | The prescribed statement, given to the customer |
| **Evidence** | A **signed and dated** acknowledgement |
| **Retention** | Retained for at least **five years** |
| **EIP classification** | Without a reliable EIP-classification system the product is treated as a SIP and the CAR applies; **c** |

### Exam cues

- **Authority:** paragraph **29D** of the **Notice on the Sale of Investment Products (SFA04-N12)**.
- **Five risk categories:** investor protection, legal systems and recovery of funds, tax/currency/costs, counterparty and correspondent broker risk, and political/economic/social developments.
- **The definition turns on where the product is admitted**, not where the issuer is incorporated.
- **Counterparty and correspondent broker risk** is the distinctive one: the Singapore broker acts through foreign brokers, and their insolvency or default can close positions **without consent** and make overseas assets hard to recover.
- **Timing and evidence:** before the **first** transaction, with a **signed and dated** acknowledgement retained **five years**.
- **Trap:** the statement says in terms that it **does not disclose all risks** — it supplements rather than replaces suitability assessment and product disclosure.

## Appendix E — Excluded Investment Products

**Excluded Investment Products (EIPs)** are the listed and simple products that fall **outside** the Specified Investment Product regime. Because EIPs are not SIPs, neither the CAR nor the CKA is required to deal in them.

The list is set out in the **Schedule to the Securities and Futures (Capital Markets Products) Regulations 2018**, and this appendix reproduces its categories.

### The categories

#### Ordinary shares and share units

- **Ordinary shares** and share units, and units in a **business trust**.
- **Issuer-issued rights, options and derivatives** over such shares, share units or business-trust units — for example a rights issue, or an issuer-issued warrant over its own shares.

#### Listed real-estate CIS units

Units in a **real-estate collective investment scheme** that is listed on an exchange.

#### Debentures, with two carve-outs

Any **debenture** — but **not**:

- **asset-backed securities** as defined in section 262(3) of the Act; or
- **structured notes** as defined in regulation 2(1) of the Securities and Futures (Offers of Investments) (Shares and Debentures) Regulations 2005.

A plain corporate bond is an EIP. An ABS or a structured note is not.

#### Immediate currency exchange

Any contract or arrangement under which one party agrees to **exchange currency at an agreed rate** with another party, where the exchange is **effected immediately**.

The word ”immediately” does the work: a spot exchange is an EIP, but a forward, swap or option is not, because settlement is deferred.

**Tightly defined collective investment schemes**

A scheme qualifies only if its investment policy restricts it in one of two ways:

**i.** To invest the scheme's property **only** in one or more of:

- **(A)** deposits as defined in section 4B(4) of the Banking Act 1970;
- **(B)** gold certificates, gold savings accounts or physical gold;
- **(C)** any capital markets products belonging to a class of excluded investment products;
- **(D)** any product, instrument, contract or arrangement where the investment is **solely for the purpose of hedging or efficient portfolio management**.

**ii.** Alternatively, the manager must invest only in the products in sub-paragraph (i), **except** that it may invest in other products if **both** of the following hold:

- **(BA)** there has been a **change in any written law, regulation, direction, rule or non-statutory instrument** of the jurisdiction where the scheme is constituted, operated or invests; **and**
- **(BB)** following that change, the manager is **restricted or prohibited** from investing in the products in sub-paragraph (i).

Even then, the manager must still invest the scheme's property only in the products in sub-paragraph (i).

That escape is narrow on purpose: a scheme does not become an EIP because the manager prefers a broader mandate — a change of law must force the substitution.

**Stapled products**

**Two or more products in this Appendix linked together in a stapled manner**, so that one cannot be transferred or otherwise dealt without the others.

The staple must be of EIPs. Stapling an EIP to a SIP does not make the combination an EIP.

### Why the list matters operationally

**Dealing in an EIP does not require a CAR or CKA.** Suitability and disclosure obligations for advisory or discretionary services still apply, but the SIP knowledge gate does not.

**Classification must be accurate and current.** A product can move in or out of the list: a structured note is not an EIP even where it looks like a bond, and an ABS is carved out of the debenture limb.

**Outsourcing does not transfer responsibility.** Where a firm relies on a third party to classify a product, the classification remains the **CMS holder's responsibility**, and without a reliable classification system the product is treated as a SIP with the CAR applying.

### Exam cues

- **EIPs sit outside the SIP regime**, so no CAR and no CKA.
- **Ordinary shares, business-trust units, issuer-issued rights/options/derivatives and listed real-estate CIS units** are EIPs.
- **Debentures are EIPs except ABS and structured notes.** That single carve-out is the most examinable line in the appendix.
- **Immediate currency exchange only.** A spot exchange is an EIP; a forward, swap or option is not.
- **The CIS limb is a restrictive investment-policy test**, permitting deposits, gold, other EIPs, and hedging or efficient portfolio management, with a narrow change-of-law escape.
- **Staples must be of EIPs.** Stapling to a SIP removes the benefit.
- **Trap:** a genuine bond is an EIP, but a structured note dressed as a bond is not, and the firm bears responsibility for the classification even where it is outsourced.

## Appendix F — Examples of Suspicious Transactions

This appendix reproduces the list of suspicious-transaction examples in **Appendix B to the Guidelines to MAS Notice SFA04-N02** on the Prevention of Money Laundering and Countering the Financing of Terrorism. It is the practical checklist behind the STR obligation.

## 1. General comments

The list **highlights basic ways in which money may be laundered or used for TF purposes**. Each individual situation may not, on its own, be sufficient to suggest that ML/TF is taking place — but **a combination of such situations may be indicative of a suspicious transaction**.

The list is **intended solely as an aid** and **must not be applied as a routine instrument in place of common sense**. It is **not exhaustive** and may be updated as circumstances change and new methods of laundering money or financing terrorism emerge; CMS licence holders are to refer to **STRO's website** for the latest list of red flags.

Two behavioural tests accompany the list:

- A customer's declarations about the background of transactions **should be checked for plausibility**. Not every explanation offered can be accepted without scrutiny.
- It is reasonable to be **suspicious of any customer who is reluctant to provide normal information and documents** required routinely in the course of the business relationship. Attention should be paid to customers who provide **minimal, false or misleading information**, or who — when applying to open an account — provide information that is **difficult or expensive for the firm to verify**.

## 2. Transactions which do not make economic sense

- **(i)** Transactions that **cannot be reconciled with the usual activities of the customer** — for example, switching from trading only penny stocks to predominantly blue chips.
- **(ii)** A customer relationship in which the customer holds a **large number of accounts** with the same firm and has **frequent transfers between different accounts**.
- **(iii)** Transactions in which **assets are withdrawn immediately after being deposited**, unless the customer's business activities furnish a plausible reason for the immediate withdrawal. For CMIs this includes depositing funds into trust accounts, margin accounts, as collateral, or for fund management purposes.
- **(iv)** Transactions which, without plausible reason, result in **intensive use of a previously inactive account** — an account showing virtually no normal personal or business activity but used to receive or disburse unusually large sums with no obvious purpose or relationship to the customer or the business.
- **(v) Unexpected repayment of a delinquent account** without plausible explanation.
- **(vi) Corporate finance transactions under consideration that do not make economic sense** in respect of the customer's business operations, particularly where the customer is not a listed company.
- **(vii)** A request for **investment management services where the source of funds is unclear** or inconsistent with the customer's apparent standing.
- **(viii) Buying and selling of securities with no discernible purpose**, or in circumstances which appear unusual.
- **(ix) Large amounts of funds deposited into an account inconsistent with the customer's salary.**

## 3. Transactions involving large amounts of cash

- **(i) Frequent withdrawal of large cash amounts** not justified by the customer's business activity.
- **(ii)** Provision of funds for **investment and fund management purposes in the form of large cash amounts**.
- **(iii)** Large and frequent **cash deposits**, while cheques drawn on the accounts are mostly to individuals and firms **not normally associated with the business**.
- **(iv)** Large **cash withdrawals from a previously dormant or inactive account**, or from an account which has just received an unexpected large credit from abroad.
- **(v)** A large amount of cash is withdrawn and **immediately deposited into another account**.
- **(vi)** Provision of **margin collateral in the form of large cash amounts**.
- **(vii)** Payments made via large amounts of cash. As a guideline, a **large or substantial cash amount is one exceeding S$20,000** (or its equivalent in any currency).
- **(viii)** Company transactions, both deposits and withdrawals, **denominated in unusually large amounts of cash** rather than by the debits and credits normally associated with commercial operations — cheques, letters of credit, bills of exchange.
- **(ix)** Crediting of customer trust or margin accounts **using cash by means of numerous credit slips**, so that **each deposit is not substantial but the total is substantial** — classic structuring.

- **(x)** Payments or deposits containing **counterfeit notes or forged instruments**.
- **(xi) Unusual settlement of securities transactions in cash form.**

## 4. Transactions involving CMIs' (or CMS licence holders') accounts

- **(i) Substantial increases in deposits of cash or negotiable instruments by a professional firm or company** using customer accounts or in-house company or trust accounts, especially where the deposits are **promptly transferred between other customer, company and trust accounts**.
- **(ii) Transfers of funds from a company's account to an individual account of an employee** or persons related to the employee, and vice versa.
- **(iii) Multiple depositors using a single account.**
- **(iv)** Paying in **large third-party cheques endorsed in favour of the customer** in settlement for securities purchased or for other financial services provided.
- **(v) Frequent deposits of a company's cheques into an employee's account.**
- **(vi)** An account operated in the name of an **offshore company with structured movement of funds**.
- **(vii) Purchase of securities to be held by the firm in safe custody**, where this does not appear appropriate given the customer's apparent standing.
- **(viii)** Requests for **refunds of unaccountable "erroneous" payments** to the firm or to customers' trust accounts **by unknown persons**.
- **(ix) Transfers of funds from various third parties into an account**, inconsistent with the nature of the customer's business.

## 5. Transactions involving transfers abroad

- **(i) Large and regular payments that cannot be clearly identified as bona fide** transactions, from and to countries or jurisdictions associated with **(a)** the production, processing or marketing of narcotics or other illegal drugs, or **(b)** other criminal conduct.
- **(ii) Cross-border transactions involving acquisition or disposal of high-value assets** that cannot be clearly identified as bona fide.
- **(iii) Substantial increase in injection of funds by a customer without apparent cause**, especially where the injections are subsequently **transferred within a short period out of the account** or to a destination not normally associated with the customer.
- **(iv) Repeated transfers of large amounts abroad accompanied by an instruction to pay the beneficiary in cash.**

## 6. Transactions involving unidentified parties

- **(i) Transfer of money to another CMS licence holder without indication of the beneficiary.**
- **(ii) Payment orders with inaccurate information** concerning the person placing the orders.
- **(iii)** Use of **pseudonyms or numbered accounts** for commercial transactions by enterprises active in trade and industry.
- **(iv) Holding in trust shares in an unlisted company** whose activities cannot be ascertained by the firm.
- **(v)** Provision of **collateral by way of pledge or guarantee without any discernible plausible reason**, by third parties unknown to the firm and with no identifiable close relationship to the customer.
- **(vi)** Customers wishing to maintain a **number of trustee or customer accounts inconsistent with their type of business**, including transactions involving **nominee names**.
- **(vii)** Requests for **investment management services where the source of funds is unclear.**

## 7. Tax-crimes-related transactions

- **(i) Negative tax-related reports** from the media or other credible information sources.
- **(ii) Unconvincing or unclear purpose for opening accounts in Singapore.**
- **(iii) Originating sources of multiple or significant deposits or withdrawals inconsistent** with the declared purpose of the account.
- **(iv) Inability to reasonably justify frequent and large fund transfers** from or to a country or jurisdiction that presents a higher risk of tax evasion.
- **(v) Reinvestment of funds back into the original country or jurisdiction** after being transferred elsewhere — often a tax haven with a poor record on CDD or record-keeping.

- **(vi)** Accounts managed by **external asset managers who may not be adequately regulated and supervised**.
- **(vii) Purchase or sale of large amounts of precious metals** not in line with the customer's business or background.
- **(viii) Purchase of bank cheques on a large scale.**

## 8. Other types of transactions

- **(i) Account activity not commensurate with the customer's known profile** — age, occupation, income.
- **(ii)** The customer **fails to reasonably justify the purpose of a transaction** when queried by the firm.
- **(iii) Transactions with countries or entities reported to be associated with terrorism**, or with persons designated as terrorists.
- **(iv) Frequent changes to the address or authorised signatories.**
- **(v)** A **large amount of funds is received and immediately used as collateral** for margining or financing facilities.
- **(vi)** A **young person (aged about 17–26)** opens an account and either **withdraws or transfers the funds within a short period**, which could indicate terrorism financing.
- **(vii)** A person **receives funds from a religious or charitable organisation** and uses them to purchase assets or transfers them out within a relatively short period.
- **(viii)** The customer uses **intermediaries not subject to adequate AML/CFT laws**.
- **(ix)** Transactions suspected to be **in violation of another country's or jurisdiction's foreign exchange laws and regulations**.

## How to use the list in practice

The appendix is a **trigger for escalation, not a substitute for judgement**. Three points follow from its own framing.

**Combination, not single indicators.** One item may be innocent; a cluster across categories — say rapid deposit-and-withdrawal, frequent transfers between related accounts, and reluctance to document source of funds — is the real signal.

**Plausibility testing.** An explanation must be checked, not merely recorded. Where verification would be expensive or difficult and the customer resists it, the risk rating rises rather than falls.

**Dated guidance.** The list may change; STRO's published red-flag indicators are the current reference, and the firm's own policies should track them.

## Exam cues

- **The list is an aid, not a routine instrument.** Expect questions that ask what the list is *for*, and the answer is to prompt judgement in combination, not to be applied mechanically.
- **The cash threshold is S$20,000** (or equivalent) as a guideline for a large or substantial cash amount.
- **Structuring** is captured at item 3(ix): numerous small credit slips that individually are not substantial but in total are.
- **Immediate deposit-then-withdrawal** and **intensive use of a dormant account** are the classic layering patterns named in §2.
- **Tax crimes form their own category (§7)**, alongside terrorism-related indicators at §8(iii).
- **The terrorism-financing indicators are behavioural and demographic**: a young person (17–26) opening an account and quickly withdrawing or transferring the funds, funds from a religious or charitable organisation moving into asset purchases or outbound transfers within a short period, and large sums received then immediately used as collateral.
- **Intermediaries outside adequate AML/CFT regimes** and **breaches of another jurisdiction's exchange-control rules** are both named indicators — the firm's obligation is not confined to Singapore law.
- **Reluctance to provide routine information** and **information difficult or expensive to verify** are themselves red flags, independent of any transaction pattern.

# Appendix G — Review questions

Candidates should note that the **sole purpose of the Review Questions is to familiarise candidates with the scope and general nature of the examinations, and with the format of the examination questions**. They are **not intended as preparatory study material**, and **do not cover all the material tested**. The correct answer for each question is shown in **bold** in the source booklet and is reproduced as **Answer** below.

## Chapter 2 — Licensing and Business Operations

**1.** Under the SFA, a CMS licence holder must inform MAS if there is a change in its records relating to:

- **a.** The name of the CMS licence under which the business is carried on.
- **b.** The back-office settlement infrastructure used by the CMS licence holder.
- **c.** The address of the principal place of business in respect of the licensed activity.
- **d.** The contact numbers of the CMS licence holder's client pool.

Options: (a) and (c) · (b) and (c) · (a) and (d) · (a) and (b)

**Answer: (a) and (c).**

**2.** To satisfy the fit-and-proper criteria for registration as a Representative, an individual must:

- **a. Not be dismissed from a fiduciary appointment in Singapore.**
- **b.** Not be on prolonged medical leave arising in Singapore.
- **c.** Be of minimally satisfactory tertiary educational qualification in Singapore.
- **d.** Be unable to fulfil any of his or her financial obligations in Singapore.

**Answer: a.**

**3.** What document must a CMS licence holder obtain from a retail investor before accepting any transactions in overseas-listed investment products?

- **a.** A signed acknowledgement that the investor has received verbal explanations about the key risks of trading in overseas-listed investment products.
- **b.** A signed acknowledgement that the investor has received a Risk Warning Statement that had been mailed to his home.
- **c. A signed acknowledgement of the Risk Warning Statement which highlights the key risks of trading in overseas-listed investment products.**
- **d.** A signed acknowledgement that the investor has been given a verbal explanation of the product's key features and potential returns.

**Answer: c.**

**4.** A CMS licence holder is required to send monthly statements of accounts to customers unless:

- **a.** The customer has verbally requested not to receive such monthly statements.
- **b.** There is no change to the customer's account within the month.
- **c.** The information contained in the statement has already been sent to customers by CDP.
- **d.** The customer is an expert investor who consented to using real-time electronic statements.

Options: (a), (b) and (d) · **(b), (c) and (d)** · (b) and (c) · (c) and (d)

**Answer: (b), (c) and (d).**

**5.** Under which circumstances may a CMS licence holder advance its own moneys to a customer's trust account?

- **a.** To facilitate positions and transacting in capital markets products traded through the customer's trust account.
- **b. To prevent the customer's trust account from being under-funded.**
- **c.** For designation of the customer's trust account maintained with specified financial institutions.
- **d.** When the moneys are received in the course of business conducted by the CMS licence holder.

**Answer: b.**

## Chapter 3 — Market Conduct

**6.** Jeremy, a representative, traded in some Singapore-listed securities on the Stock Exchange of Thailand (SET) with material non-public information. He placed large buy orders through a foreign broker on SET. Would Jeremy's action be in breach of market conduct rules under the SFA?

- **a.** As the transaction was executed outside Singapore, Jeremy was not in breach of SFA market conduct rules.
- **b. As the SFA rules have extra-territorial reach, Jeremy was in breach of the insider trading rules.**
- **c.** As the trade was executed by a foreign broker, the trade was not subject to Singapore market conduct rules.
- **d.** As payment for the trade was in a foreign currency, Jeremy was in breach of employment of deceptive devices.

**Answer: b.**

**7.** Which of the following are typical techniques used in the circulation of false or misleading statements and information?

- **a.** Using electronic means or media to spread rumours about a security.
- **b.** Passing around "hot tips" by word of mouth.
- **c.** Circulating the audited accounts of a company.
- **d.** Passing out unverified information about a particular security.

Options: **(a), (b) and (d)** · (b), (c) and (d) · (b) and (c) · (c) and (d)

**Answer: (a), (b) and (d).**

**8.** What would be a concern when a transaction involves connected persons?

- **a.** There will be effective change in beneficial ownership.
- **b. There is knowledge of generally unavailable information with material effect on security prices.**
- **c.** There is a need for approval to be sought for such transactions.
- **d.** The market will react to the change in ownership of the affected securities.

**Answer: b.**

**9.** Which of the following conditions would a CMS licence holder be subject to when borrowing and lending securities?

- **a.** The capacities in which the CMS licence holder is acting, whether agent or principal.
- **b.** The specified procedures for the return of specified products lent and borrowed.
- **c.** The debt priorities into which the CMS licence holder enters, as preferential or subordinate.
- **d.** The value of collateral throughout the arrangement must be 100% of the securities' market value.

Options: **(a), (b) and (d)** · (b), (c) and (d) · (b) and (c) · (c) and (d)

**Answer: (a), (b) and (d).**

**10.** A CMS licence holder or its Representative who is guilty of market misconduct under the SFA may face:

- **a.** Civil penalties.
- **b.** Civil sanctions.
- **c.** Criminal penalties.
- **d.** Restraint sanctions.

Options: **(a), (b) and (c)** · (b), (c) and (d) · (b) and (c) · (c) and (d)

**Answer: (a), (b) and (c).**

## Chapter 4 — Ethics, Codes and Standards of Professional Conduct for Securities Dealing

**11.** Which of the following best describes an external factor that could affect one's judgement in ethical decisions?

- **a. Authority figures.**

- **b.** Moral values.
- **c.** Overconfidence.
- **d.** Rationalisation.

**Answer: a.**

**12.** Gaston, an appointed representative, manages large-cap equity portfolios for his clients. Recently, due to economic recession, the performance of large-cap equity markets has been lacklustre. Gaston reduces the equity exposure of his clients and invests in low-risk fixed-income investments **without consulting his clients**. By doing so, he averts a fall in his commission fees for the month. Which is the most likely ethical threat leading to Gaston's action?

- **a.** Need for self-actualisation.
- **b.** Need for self-review.
- **c. Need for self-interest.**
- **d.** Need for peer recognition.

**Answer: c.**

**13.** During a conversation with a prospective client, a remisier stated: "I can guarantee that you will make a 20% return on equity investments this year by applying my financial investment models and methods. My investment methodologies are extremely popular among my clients and I have a solid track record for the past 15 years. Each year, I develop flexible trading models using business network information, financial news, economic forecasts and public reports." By making such statements, what standard of professional conduct has the remisier violated?

- **a.** Misconduct.
- **b.** Confidentiality.
- **c.** Suitability.
- **d. Misrepresentation.**

**Answer: d.**

**14.** Which of the following circumstances may result in a breach of the professional standards relating to conflicts of interest?

- **a.** After receiving a large sell order from a client, a broker executes a personal sell order to avert potential losses from plummeting market prices caused by the client's large sell order.
- **b.** An analyst, using a research report prepared under his former employment, submits the report as his own research at his new employment.
- **c.** An equity analyst fails to disclose her additional compensation agreement with a firm that she is conducting research on.
- **d.** A full-time portfolio manager at an investment bank offers Mathematics tuition at his home regularly, without informing the investment bank.

Options: **(a) and (c)** · (b) and (c) · (a) and (d) · (a) and (b)

**Answer: (a) and (c).**

**15.** When applying the ethical framework to resolve ethical dilemmas, which of the following are factors to be taken into consideration?

- **a.** Ensuring that your judgement holds personal bias.
- **b. Executing the best course of action and tracking its progress.**
- **c. Considering the ethical issues involved.**
- **d.** Identifying the enemies who are likely to create a drift.

Options: (a) and (c) · **(b) and (c)** · (a) and (d) · (a) and (b)

**Answer: (b) and (c).**

## Chapter 5 — Securities Dealing Practice and Skills

**16.** What is the recommended internal control practice to enhance objectiveness during client risk profiling?

- **a.** Clean-desk principle.
- **b.** Continuity principle.
- **c. 4-eyes principle.**

- **d.** 6-steps principle.

**Answer: c.**

**17.** A designated market maker, as prescribed by MAS, with net assets of S$50 million and whose entire share capital is owned by 3 corporations, is classified as a/an:

- **a.** Expert Investor.
- **b. Institutional Investor.**
- **c.** Corporate Investor.
- **d.** Accredited Investor.

**Answer: b.**

**18.** Which of the following statements on product recommendations during the client on-boarding process are TRUE?

- **a.** There is no need to formally include the client's investment objective in the account-opening documents prior to trade execution.
- **b.** The onus is on the client to ensure the suitability of the product.
- **c.** The client is legally bound to retain all investment account opening documents.
- **d.** The need to obtain relevant client information at the time of establishing the relationship.

Options: (a) and (c) · (b) and (c) · **(b) and (d)** · (a) and (b)

**Answer: (b) and (d).**

**19.** What constitute best-execution practices by a securities dealer?

- **a.** The establishment of sound customer due diligence policies and procedures.
- **b.** The execution of client orders with speed to mitigate possible price volatility.
- **c.** The disclosure to clients must be in written form with the client's consent.
- **d.** The responsibility to adhere to the specific considerations of different order types.

Options: (a), (b) and (d) · **(b), (c) and (d)** · (b) and (c) · (c) and (d)

**Answer: (b), (c) and (d).**

**20.** Which of the following are typically undertaken by appointed representatives to develop a strong client–representative relationship?

- **a. Ensuring that all risk disclosures are communicated to clients for them to make informed decisions.**
- **b.** Ensuring the priority of execution for clients' orders.
- **c.** Ensuring a clear distinction of the roles and capacities in managing and executing trades for their clients.
- **d. Ensuring the continual professional development of the appointed representatives on product knowledge and processes.**

Options: **(a), (b) and (d)** · (b), (c) and (d) · (b) and (c) · (c) and (d)

**Answer: (a), (b) and (d).**

## Chapter 6 — Central Provident Fund Investment Scheme (CPFIS)

**21.** Out of the CPFIS-Ordinary Account savings, only 35% of the savings can be invested in which products?

- **a.** Fixed deposits.
- **b.** Singapore Government bonds.
- **c. Corporate bonds.**
- **d.** Endowment insurance policies.

**Answer: c.**

**22.** Which of the following banks is an agent bank included under CPFIS?

- **a. OCBC Bank.**
- **b.** Maybank.
- **c.** HSBC Bank.
- **d.** ICICI Bank.

**Answer: a.**

**23.** Athena is 45 years old with balances of S18,000*andS*20,000 in her CPF Ordinary Account and CPF Special Account respectively. She is currently a homemaker with no liabilities. Is Athena eligible to invest her CPF savings?

- **a.** Yes, as she is not declared an undischarged bankrupt.
- **b. No, as her CPF balances did not meet the stipulated requirement.**
- **c.** No, as she is unemployed.
- **d.** Yes, as she is above 18 years of age.

**Answer: b.**

**24.** For Exchange-Traded Funds to be included under the CPFIS Scheme, they must:

- **a.** Be traded in Singapore dollars.
- **b.** Not be placed on an SGX-ST watch-list.
- **c. Be listed on SGX-ST.**
- **d. Comply with CPF Investment Guidelines.**

Options: (a) and (c) · (b) and (c) · (b) and (d) · **(c) and (d)**

**Answer: (c) and (d).**

**25.** Which document must be produced in order to claim any residual CPFIS investments from the agent bank or product provider upon the death of a CPFIS member?

- **a.** Option to Administer.
- **b.** Letter of Entitlement.
- **c.** Entitlement of Nominee.
- **d. Grant of Probate.**

**Answer: d.**

## Chapter 7 — Prevention of Financial Crimes

**26.** Zenia buys luxury goods and resells them to unrelated clients. She then deposits the sales proceeds into multiple bank accounts. Which stage of money laundering does this relate to?

- **a.** Initiation.
- **b.** Integration.
- **c. Layering.**
- **d.** Placement.

**Answer: c.**

**27.** Which of the following statutes governs money laundering in Singapore?

- **a.** Banking Act.
- **b.** Securities and Futures Act.
- **c.** Suppression of Financing of Terrorism Act.
- **d. Corruption, Drug Trafficking and Other Serious Crimes (Confiscation of Benefits) Act.**

**Answer: d.**

**28.** The document retention policy under the MAS Notice on Prevention of Money Laundering and Countering the Financing of Terrorism requires documents to be retained for a period of at least _____.

- **a.** 1 year.
- **b.** 3 years.
- **c. 5 years.**
- **d.** 7 years.

**Answer: c.**

**29.** Harrison is a business development officer of Cosmos Brokerages. He is currently applying Know Your Customer (KYC) procedures for the opening of a new brokerage account. Which of the following would be considered critical steps to undertake?

- **a. Properly identifying and verifying the client's identity.**

- **b. Identifying the client's source of funds.**
- **c.** Determining the marital status of the client opening the account.
- **d. Determining the types of business activity of the client.**

Options: **(a), (b) and (d)** · (b), (c) and (d) · (b) and (c) · (c) and (d)

**Answer: (a), (b) and (d).**

**30.** Upon learning that a client is on a money-laundering sanctions list, what action must a trading representative take?

- **a. Immediately freeze the account and report this to the authorities.**
- **b.** Immediately freeze the account and delete all relevant records and particulars.
- **c.** Continue to closely monitor transactions on the affected account.
- **d.** Transfer the client's account to another trading representative or trading firm.

**Answer: a.**

### Answer key at a glance

| Q | Ans | Q | Ans | Q | Ans |
|---|---|---|---|---|---|
| 1 | (a) and (c) | 11 | a | 21 | c |
| 2 | a | 12 | c | 22 | a |
| 3 | c | 13 | d | 23 | b |
| 4 | (b), (c) and (d) | 14 | (a) and (c) | 24 | (c) and (d) |
| 5 | b | 15 | (b) and (c) | 25 | d |
| 6 | b | 16 | c | 26 | c |
| 7 | (a), (b) and (d) | 17 | b | 27 | d |
| 8 | b | 18 | (b) and (d) | 28 | c |
| 9 | (a), (b) and (d) | 19 | (b), (c) and (d) | 29 | (a), (b) and (d) |
| 10 | (a), (b) and (c) | 20 | (a), (b) and (d) | 30 | a |

### How to use these questions

These questions **familiarise candidates with scope, general nature and format**; they do not cover all examination material and are not a substitute for the chapters. Several answers turn on a single distinguishing word:

- **Q1** turns on which record changes are notifiable — the licence **name** and the **address of the principal place of business**, not back-office infrastructure or client contact numbers.
- **Q3** turns on the **signed acknowledgement of the Risk Warning Statement** — verbal explanation, whether alone or as a mailed statement, is insufficient.
- **Q6** tests the **extra-territorial reach** of the SFA: the location of execution and the currency of payment are irrelevant.
- **Q9** and **Q10** test the boundary of a list: collateral need not be 100%, and "restraint sanctions" is not a category of consequence for market misconduct.
- **Q17** turns on the **designated market maker** designation plus net assets, which places the entity in the institutional category rather than the accredited one.
- **Q21** is the one product among the four that falls under the **35%** CPFIS-OA sub-limit — corporate bonds, not fixed deposits, Government bonds or endowment policies.
- **Q23** turns on the **CPF balance threshold**, not on employment status or age.
- **Q26** distinguishes **layering** (reselling and dispersing proceeds through multiple accounts) from placement and integration.

The expanded question bank in `notes/res12b/RES12B_QUESTIONS.md` covers these themes and adds application and calculation questions beyond the orientation set.

## Appendix H — Essential readings

The source list runs to **twenty items**, mixing primary legislation on **Singapore Statutes Online** (`https://sso.agc.gov.sg`, formerly `https://statutes.agc.gov.sg`) with MAS notices, guidelines and

circulars on `https://www.mas.gov.sg`, plus CPF material on `https://www.cpf.gov.sg`. The full list follows, grouped by the part of the syllabus it supports.

## Statutes

| # | Instrument | Source |
|---|---|---|
| 1 | **Securities and Futures Act** | Singapore Statu |
| 10 | **Banking Secrecy Act** | Singapore Statu |
| 11 | **Personal Data Protection Act** | Singapore Statu |
| 13 | **Corruption, Drug Trafficking and Other Serious Crime (Confiscation of Benefits) Act** | Singapore Statu |
| 14 | **Mutual Assistance in Criminal Matters Act** | Singapore Statu |
| 15 | **Terrorism (Suppression of Financing) Act** | Singapore Statu |
| 19 | **Income Tax Act** | Singapore Statu |
| 20 | **Goods and Services Tax (GST) Act** | Singapore Statu |

These statutes supply the statutory backbone: the SFA for licensing, conduct and market misconduct; the Banking Secrecy Act and PDPA for confidentiality; the CDSA, MACMA and TSOFA for financial crime; and the Income Tax and GST Acts for the tax obligations that sit alongside securities dealing.

## Subsidiary legislation under the SFA

| # | Instrument |
|---|---|
| 2 | **Securities and Futures (Licensing and Conduct of Business) Regulations** |
| 3 | **Securities and Futures (Financial and Margin Requirements for Holders of Capital Markets Services L** |

Item 2 governs business conduct — statements of account, trust accounts, confidentiality, conflicts, records. Item 3 carries the **base capital** and **financial and margin** requirements that underpin Chapters 2 and 5.

## MAS guidelines

| # | Instrument | Reference | Source |
|---|---|---|---|
| 4 | **Guidelines on Criteria for the Grant of a CMS Licence** | SFA 04-G01 | MAS website |
| 5 | **Guidelines on Fit and Proper Criteria** | FSG-01 | MAS website |

Item 4 sets the licensing gate for the firm; item 5 sets the fit-and-proper gate for individuals, and is the source behind Appendix A.

## MAS notices and circulars

| # | Instrument |
|---|---|
| 6 | **Notice on Reporting of Misconduct of Representatives by Holders of CMS Licence and Exempt Finan** |
| 7 | **Notice on Competency Requirements for Representatives of Holders of CMS Licence and Exempt Fin** |
| 8 | **Circular on Due Diligence Checks and Documentation in Respect of the Appointment of Appointed, I** |
| 9 | **Notice on Sale of Investment Products** |

Item 7 is the source of the **examination and CPD** requirements for representatives; item 8 sits behind the appointment due-diligence file; item 9 is the sale-of-investment-products notice, which contains **paragraph 29D on the overseas-listed product Risk Warning Statement** referred to in Appendix D.

## CPFIS material

| # | Instrument | Source |
|---|---|---|
| 12 | **Central Provident Fund Investment Scheme** | CPF website (`https://www.cpf.gov.sg`) |

Item 12 is the scheme-level material: eligible products, the **35% CPFIS-OA sub-limit**, agent banks, eligibility conditions and the procedures that apply on death.

### Anti-money-laundering and counter-financing-of-terrorism material

| # | Instrument |
|---|---|
| 16 | **Notice to Capital Markets Intermediaries on Prevention of Money Laundering and Countering the Fi** |
| 17 | **Guidelines to MAS Notice SFA04-N02 on Prevention of Money Laundering and Countering the Finan** |
| 18 | **MAS Notice on Prevention of Money Laundering and Countering the Financing of Terrorism — Bank** |

Item 16 imposes the CDD, ongoing-monitoring and STR obligations; item 17 carries the guidance, including **Appendix B**, which is reproduced in this guide as Appendix F; item 18 is included because the CMI regime is calibrated against the bank standard, and the comparison is examinable.

### How to read the list efficiently

**Read the notice, not the Act, for operational detail.** The SFA creates the offences, but the *conduct* requirements a representative applies day to day — statements, trust accounts, records — are in the Licensing and Conduct of Business Regulations (item 2) and the notices (items 6, 7, 9, 16).

**Read the guideline when the question is about discretion.** Fit and proper (item 5) and licence criteria (item 4) are judgement-based tests, so the guideline's factors matter more than any single rule.

**Read across jurisdictions for financial crime.** The CDSA, MACMA and TSOFA (items 13–15) operate as a package with the AML notice (item 16); a question about suspicious transactions usually needs at least two of them.

**Do not neglect the tax and data statutes.** Items 11, 19 and 20 appear peripheral but support questions on confidentiality, tax-crime indicators and the handling of client information.

### Exam cues

- **Item 5 (FSG-01) is the fit-and-proper source**; **item 4 (SFA 04-G01) is the licensing-criteria source.** Confusing the two is a common error.
- **Item 9 (SFA 04-N12) contains paragraph 29D**, the overseas-listed product Risk Warning Statement requirement examined through Appendix D.
- **Item 16 (SFA04-N02) is the CMI AML/CFT notice**; **item 18 (Notice 626) is the bank equivalent**, included for comparison rather than direct application.
- **Item 3 carries the financial and margin requirements**, including base capital — not item 2.
- **Item 12 is CPF-published, not MAS-published**, which is worth remembering when a question turns on the status of CPFIS guidance.

## The capital markets industry in Singapore and participants in the capital markets

**Learning objectives.** The candidate should understand:

- the basic features of the capital markets, including primary and secondary markets, exchanges (over-the-counter and regulated) and financial intermediaries;
- the different business activities undertaken by institutional participants in the capital markets;
- the roles of each regulatory body and self-regulating organisation in the regulation of the derivatives industry — **MAS**, **SGX**, **SGX RegCo**, **SGX-ST**, **CDP**, **SGX-DT**, **SGX-DC**, **IFSG**, **ICE Clear Singapore**, **APEX** and **APEX Clear**;

- the origin of the relevant rules and requirements governing the trading and clearing of derivatives — the **SFA**, the **SFR**, the **SGX-ST Mainboard and Catalist Rules**, the **SGX-ST Trading Rules**, the **CDP Clearing Rules**, the **CDP Delivery-versus-Payment (DVP) Rules**, the **CDP Depository Rules**, the **SGX-DT Futures Trading Rules**, the **SGX-DC Clearing Rules**, the **IFSG Trading Rules and Procedures**, the **ICE Clear Singapore Clearing Rules and Procedures**, the **APEX Trading Rules and Procedures** and the **APEX Clear Clearing Rules and Procedures**.

## 1.1 Introduction

### 1.1.1 The capital markets in Singapore

**The primary market** An important function of the capital markets is to provide opportunities for businesses to **raise capital to fund their business activities**. These capital-raising activities take place in the **primary market**.

Businesses raise capital through the issuance of various securities instruments:

- **shares / common stock / equity securities**;
- **bonds / fixed income securities**;
- **company warrants**.

Investors provide the capital by buying these instruments. In doing so they take on risk, because the price of financial instruments fluctuates with the company's performance. Changes in the value of instruments eventually lead investors to want to **sell their holdings** — either to realise a profit or to remove a poorly performing instrument from the portfolio.

**The secondary market** Trading activity that takes place **outside the initial capital-raising activities** occurs in the **secondary market**. The secondary market therefore allows investors to **manage or transfer their risk to other parties**.

Risk transfer or risk management can also be achieved by trading in **futures or derivatives products** instead of simply selling shares or bonds. Examples of derivatives include **futures, options, issuer or company warrants and leverage certificates**.

The exchanges in Singapore — **SGX, APEX and IFSG** — provide capital-raising and risk-management opportunities to the global market through their product offerings:

- **SGX's** product suite includes securities such as shares, bonds, company and issuer warrants, and derivatives such as futures and options.
- **APEX and IFSG** provide market participants with a variety of trading and hedging instruments in the financial and commodities markets.

### 1.1.2 Exchanges

Primary and secondary market activity can take place either in the **over-the-counter (OTC) markets** or on **regulated exchanges**.

- The **OTC market** is also known as the **"call around" market**, because market participants call each other directly to determine each other's interest to buy or sell a given capital markets product.
- An **exchange** provides a **centralised market** where buyers and sellers congregate, allowing **efficient discovery of prices and quantities** at which each participant is interested to buy or sell. To trade on an exchange, a buyer or seller must either be a **Trading Member** of the exchange or a **customer of a Trading Member**.

### 1.1.3 Financial intermediaries

Many different types of financial intermediary connect businesses that need to raise capital with public investors.

**In the primary market**, raising capital through new securities is a complex process. In the equity market, new shares are issued through an **Initial Public Offering (IPO)**, where a business must present investors with **accurate information on its financial standing, future potential and any other relevant information**. Financial intermediaries such as banks or financial institutions with a **CMS licence to advise on corporate finance** are usually appointed as **issue managers**, because most businesses are unlikely to have that expertise in house.

**In the secondary market**, an investor holding a security would find it difficult to locate a buyer directly. Other intermediaries — **brokers** — function as a middle agent that matches selling and buying interest, or routes orders to an exchange for matching.

## 1.2 Institutional participants in the capital markets

### 1.2.1 Banks

Several types of bank licensed under the **Banking Act 1970** may provide capital markets services — for example **dealing in capital markets products**, which the SFA Second Schedule defines as (whether as principal or agent) *making or offering to make with any person, or inducing or attempting to induce any person to enter into or to offer to enter into any agreement for or with a view to acquiring, disposing of, entering into, effecting, arranging, subscribing for, or underwriting any capital markets products.*

The types of banking licence are:

- **Qualifying Full Banks / Full Banks**;
- **Wholesale Banks**;
- **Merchant Banks**.

**Qualifying Full Banks and Full Banks** These provide the **whole range of banking business** approved under the Banking Act and may **take deposits of any amount in any currency**, including offering savings accounts. They also provide capital markets products, custodial business, underwriting and corporate finance, and some distribute insurance policies for insurers.

Because they face **no restriction on offering deposit products**, many QFBs and Full Banks are also in the **retail banking** business. Their clientele is more diversified — mass retail, private banking, accredited and institutional clients.

**Wholesale Banks** Wholesale Banks provide the full range of banking business but are **restricted in deposit taking**:

- they may take **foreign currency deposits in any amount**;
- they are **restricted on Singapore-dollar deposits** — they can accept **Singapore-dollar fixed deposits of at least S$250,000**;
- they may operate Singapore-dollar savings or current accounts, but such an account **should not be interest-bearing** when opened for a Singapore resident who is a natural person, **except with MAS's prior approval**.

Many wholesale banks therefore solicit business from **high-net-worth individuals (HNWIs)** through private banking arms, whose clients are usually more interested in capital markets products for investment.

**Merchant Banks** Merchant Banks are licensed under **section 55S of the Banking Act since 1 July 2021**. They are **not allowed to accept Singapore-dollar deposits or borrow Singapore dollars from the public in any form**, except from **banks, finance companies, their shareholders and companies controlled by their shareholders**. Merchant banks are not found in the retail space, but may undertake banking or deposit-taking business in accordance with the Banking Act and the **Banking (Merchant Banks) Regulations 2021**.

### 1.2.2 Capital Markets Services (CMS) licence holders

CMS licence holders that deal in derivatives such as futures contracts include, among others:

- **broker/dealer companies**; and
- **fund management companies**.

**Broker/dealer companies** Apart from banks, broker/dealer companies are another class of financial intermediary. Unlike banks, they **do not engage in deposit-taking** but **specialise in matching buyers with sellers**. In the capital markets ecosystem, broker/dealer companies would also be **Trading or Clearing Members** providing trading or clearing services to customers so that those customers can trade on the exchange.

**Fund management companies** These hold a CMS licence to carry out **fund management** activities. Since **2012**, MAS requires all fund management companies to be **registered or licensed**, in order to regulate all players providing fund management services.

Fund management companies manage investments on behalf of investors, both institutional and individual. Institutions that engage professional investment management include:

- corporations;
- insurance companies;
- pension funds;
- sovereign wealth funds.

Investments may take the form of **segregated mandates** or **collective investment schemes**, including unit trusts. Individuals can invest in unit trusts managed and offered by fund management companies **through distributors** such as retail banks, private banks and financial advisers. Fund management companies invest across asset classes — including bonds and equities — forming different portfolios to meet investors' objectives.

### 1.2.3 Others (non-CMS licence holders) — remote trading and clearing members

Overseas-based **remote trading and clearing members** of a Singapore exchange, recognised market operator or clearing house are **exempt from holding a CMS licence**, provided the remote member:

- **i.** is **incorporated outside Singapore**;
- **ii.** is a **member of an approved exchange or clearing house, or recognised market operator or clearing house**, under the SFA on which the relevant securities or derivatives are traded or cleared;
- **iii. does not serve any customer resident in Singapore**;
- **iv.** is **not a regulated financial institution in Singapore**;
- **v.** carries on business in a jurisdiction where the **relevant regulator has an arrangement with MAS for information exchange and co-operation** in respect of derivatives supervision; and
- **vi.** is **regulated in respect of such activities** by the relevant regulator in its home jurisdiction.

In addition, an **SGX remote clearing member cannot have an FI affiliate regulated by MAS**. This criterion does **not** apply to a remote trading member.

## 1.3 The regulatory framework and regulatory bodies

Singapore's regulatory framework for capital markets seeks to promote a **sound, stable and progressive financial services sector** through regulation and supervision. Specifically, it seeks to safeguard investors' interests and maintain confidence and stability by:

- **i.** keeping risks at acceptable levels, to maintain both the stability of the financial system as a whole and...
- **ii.** maintaining a **safe and efficient financial market infrastructure**;
- **iii.** ensuring **fair, orderly and transparent organised markets**;
- **iv.** keeping **customers well-informed and empowered**.

### 1.3.1 Roles of the regulatory bodies and self-regulatory organisations

**Monetary Authority of Singapore** MAS was established under the **MAS Act 1970**, which came into force in **1972**. Its mission is to promote **sustained non-inflationary economic growth and a sound and progressive financial centre**. Its functions are to:

- **i.** act as the **central bank of Singapore** — conducting monetary policy, issuing currency, overseeing payment systems, and serving as banker to and financial agent of the Government;
- **ii.** conduct **integrated supervision of financial services** and **financial stability surveillance**;
- **iii.** manage the **official foreign reserves** of Singapore;
- **iv.** develop Singapore as an **international financial centre**.

MAS administers legislation relevant to the capital markets, including:

- the **SFA** — the main legislation governing the capital markets industry in Singapore;
- the **Securities and Futures (Licensing and Conduct of Business) Regulations ("SFR(LCB)")**;
- the **Securities and Futures (Organised Markets) Regulations**;
- the **Securities and Futures (Clearing Facilities) Regulations**;

- the **Securities and Futures (Financial and Margin Requirements for Holders of Capital Markets Services Licence) Regulations ("SFR(FMR)")**;
- the **Securities and Futures (Corporate Governance of Approved Exchanges, Approved Clearing Houses and Approved Holding Companies) Regulations**;
- the **Financial Services and Markets Act 2022**.

The SFA gives MAS a wide range of powers:

- **a.** approve exchanges and clearing houses;
- **b.** review any amendments to the rules and regulations of the exchanges and clearing houses;
- **c.** take **disciplinary action** — warning, fine, reprimand, suspension of licence, revocation of licence and issuance of a **prohibition order** — if a licensed person contravenes any condition or restriction imposed on its licence, any direction issued by MAS under the SFA, or any provision of the SFA;
- **d. inspect the books** of an exchange, a person operating an exempt market, a clearing house, a person operating an exempt clearing facility, a CMS licence holder, an exempt person or a representative;
- **e. investigate** alleged or suspected contraventions of any provision of the SFA or any written direction issued under it.

**Singapore Exchange Limited (SGX)** SGX is Asia's leading market infrastructure, operating **equity, fixed income and derivatives** markets to the highest regulatory standards. As Asia's most international multi-asset exchange, SGX provides **listing, trading, clearing, settlement, depository and data services**, with a large proportion of listed companies and bonds originating outside Singapore.

SGX is the world's most liquid **offshore market for the benchmark equity indices of China, India, Japan and ASEAN**, and offers commodities and currency derivatives products. Headquartered in **AAA-rated Singapore**, SGX is recognised for its risk management and clearing capabilities, and offers a **fully integrated value chain** from trading and clearing to settlement and depository services.

SGX has adopted **six guiding principles** in regulating the markets:

- **i. Disclosure-based regulation** — facilitating fair access to information for all market users to achieve a fair, orderly and transparent market.
- **ii. Comprehensive risk management** — focusing regulatory attention on the safe and efficient operation of its clearing houses, requiring a comprehensive, integrated and reliable approach to managing counterparty risks from clearing and trading members, and other risks within the clearing houses.
- **iii. Risk-based targeting of regulatory activities** — a pragmatic risk-based approach; supervisory activities focused on Principles One and Two are tailored to risk profiles developed for issuer sponsors and member firms, with resources allocated to matters posing the greatest risks to a fair, orderly and transparent market and safe, efficient clearing.
- **iv. Balanced approach to international best practice** — ensuring rules and regulatory activities are consistent with international best practice for exchanges and clearing houses, striking an appropriate balance between internationally recognised practices and local needs and conditions.
- **v. Transparency** — being open and transparent in all regulatory operations to the extent consistent with statutory obligations and the public interest.
- **vi. SGX as a frontline regulator and managing regulatory conflict** — MAS is the **statutory regulator** with oversight of SGX's regulatory responsibilities, while SGX performs a **frontline regulatory role** in maintaining fair, orderly and transparent markets and safe, efficient clearing facilities.

SGX maintains a close collaborative relationship with other regulatory and enforcement agencies — **MAS**, the **Commercial Affairs Department (CAD)** of the Singapore Police Force and the **Accounting and Corporate Regulatory Authority (ACRA)** — on regulatory policy, risk management, regulatory oversight and enforcement.

**Singapore Exchange Derivatives Trading Limited (SGX-DT)** SGX-DT, **established in 1978**, is a wholly owned SGX subsidiary. It carries on the business of **establishing, conducting and regulating a futures market** with underlying assets such as commodities and financial instruments under the SFA.

SGX-DT lays down rules and requirements to ensure **orderly trading and settlement** of futures and options on various products — **interest rates, equity and equity indices, and energy** — covering major markets such as **Asia, Europe and the United States**. These are contained in the **Futures Trading Rules**, which govern SGX-DT Trading Members.

**Singapore Exchange Derivatives Clearing Limited (SGX-DC)** SGX-DC is a wholly owned SGX subsidiary providing clearing for:

- **i.** products **listed and traded on SGX-DT**; and
- **ii. OTC commodity and financial derivatives** trades registered for clearing via the **SGX Titan OTC** platform.

SGX-DC is now a **Qualifying Central Counterparty (QCCP)**. Bank members and participants of a banking group that are SGX-DC members are subject to **lower capital requirements** for their trade and default-fund exposures under the **Basel III** framework introduced by the Basel Committee on Banking Supervision — meaning lower capital costs for those members.

SGX-DC Clearing Members are governed by the **SGX-DC Clearing Rules**.

**Singapore Exchange Securities Trading Limited (SGX-ST)** SGX-ST is an SGX subsidiary incorporated under the **Companies Act**. It undertakes the **day-to-day regulation of the securities market** and administers the **SGX-ST rules**, which govern access to and conduct in the SGX-ST securities market. SGX-ST Trading Members must adhere to the **SGX-ST Trading Rules**.

SGX-ST is the **only approved securities exchange in Singapore** and is responsible for setting the rules and membership and trading requirements of the exchange. It can **mete out disciplinary action** for non-compliance.

SGX-ST allows companies and investors to achieve capital-raising and investment objectives through its rules, such as the **listing requirements** for companies wishing to raise capital and have their securities traded on SGX-ST. Already-listed companies can raise further capital through the market.

Two boards are available:

- **Mainboard** — caters to **more established companies**, with higher entry and listing requirements such as **minimum profit and market capitalisation levels**.
- **Catalist** — caters to **smaller or fast-growing companies** under a different model: companies must be **brought to list by approved Sponsors via an IPO**. There is **no quantitative entry criterion** required by SGX; instead the **Sponsors decide** whether the listing applicant is suitable.

The listing requirements applicable to all companies wishing to list on SGX-ST platforms are contained in the **SGX-ST Listing Manual**, which contains rules on listing requirements, acquisitions, realisations, takeovers and **timely disclosure of corporate information**. The Manual contains both the **Mainboard Listing Rules** and the **Catalist Listing Rules**.

**The Central Depository (Pte) Limited (CDP)** CDP, **established in 1987**, is a wholly owned SGX subsidiary. It provides **integrated clearing, settlement and depository facilities** for the securities market, including **equities, fixed income instruments and funds**. CDP principally serves the Singapore market but has links with other central depositories to support settlement of cross-border trades.

Key features:

- CDP holds **book-entry securities** deposited with it as a **bare trustee** for the collective benefit of depositors.
- Securities are **immobilised** at CDP, with ownership transferred via **book-entry**. Physical certificates of immobilised instruments are safe-kept with a **CDP-nominated custodian bank**.
- All trades executed on SGX are settled **T+2** — that is, 2 exchange business days after the trade day.
- Each trade is settled on a **gross basis** during an **end-of-day settlement run**, transferring securities from the seller's securities account to the buyer's and vice versa.
- In **2021** SGX introduced an **Intra-day Settlement Run** to facilitate earlier settlement, reducing counterparty risk in the securities clearing system.

Investors holding **direct accounts** with CDP must ensure their trading accounts with SGX-ST members are **linked** to their direct securities accounts before trading. The linkage is effectively a **standing instruction** from the investor to CDP to act on the **sole instruction of the SGX-ST member** to debit securities from and credit securities into the account for sell and buy contracts executed through that trading account.

In **2008** CDP launched the **Pre-Settlement Matching Service (PSMS)** to replace manual processes where depository agents and SGX-ST members agreed trade details over the phone before manually affirming settlement details in CDP. PSMS introduced a **straight-through-processing** environment that automates

pre-settlement matching, improving operational efficiency and minimising operational risk by eliminating errors and delays, and mitigating settlement failure risk through **early matching of settlement instructions**. Depository agents and SGX-ST members either upload a data file or manually input settlement instructions into PSMS **without prior communication with their settlement counterparts**.

Participants may settle on a **Delivery-versus-Payment (DVP)** or **Free-of-Payment (FOP)** basis:

- For **DVP** transactions, CDP acts as **central counterparty** between participants and ensures **payment is made against transfer of securities**.
- For **FOP** transactions, participants make money settlement **without involving CDP**.

The **CDP DVP Rules** govern settlement of trades on a delivery-versus-payment basis through CDP. Clearing Members of CDP must adhere to the **CDP Clearing Rules**, the **CDP Depository Rules** and the **CDP Settlement Rules**, where applicable.

**Singapore Exchange Regulation Pte Ltd (SGX RegCo)** In **2017** SGX established **SGX RegCo** as an **independent regulatory subsidiary** to enhance governance of SGX as a self-regulatory organisation and to **explicitly segregate the exchange's regulatory functions from its commercial and operating activities**. SGX RegCo undertakes all **frontline regulatory functions** and has a **separate board of directors** from SGX.

**Intercontinental Exchange Futures Singapore Pte Ltd (IFSG)** IFSG is a subsidiary of **Intercontinental Exchange (ICE)**, a global network of exchanges and clearing houses for financial and commodity markets based in the United States. ICE has **23 regulated exchanges**, including ICE Futures exchanges in the US, Canada and Europe, LIFFE futures exchanges in the US and Europe, and the New York Stock Exchange.

Since **2000** ICE has had a presence in Singapore serving clients in global energy markets. In **February 2014** ICE acquired the **Singapore Mercantile Exchange** for **US$150 million**, establishing a revamped derivatives market as **IFSG**. IFSG and **ICE Clear Singapore** (a clearing house) support an expanding customer base in Asia.

IFSG is an **approved exchange under the SFA** and lays down rules and regulations for trading to uphold high standards of fair dealing in accordance with MAS requirements. These are contained in the **IFSG Rules**, which govern its members.

**Intercontinental Exchange Clear Singapore Pte Ltd** ICE Clear Singapore acts as **central counterparty** for trades executed on IFSG and operates under MAS supervision as an **approved clearing house**. It currently provides clearing for futures products from IFSG. Clearing Members are governed by the **ICE Clear Singapore Rules**.

**Asia Pacific Exchange Pte Ltd (APEX)** APEX is the **third approved exchange under the SFA**. As an international derivatives exchange, APEX aims to establish itself as a leading **commodity and financial derivatives trading centre** covering the Asia-Pacific region, providing **Asian pricing benchmarks for commodities** and a new Asian financial derivatives risk-management platform.

APEX's business scope includes **futures and options contracts** covering both commodity and financial derivative products, aiming to build a comprehensive range of derivative products across asset classes such as **agriculture, energy, metals and RMB-related products**.

**Asia Pacific Clear Pte Ltd (APEX Clear)** APEX Clear operates as an **approved clearing house under MAS supervision** and provides clearing services for products listed on APEX. As a central counterparty, its objective is to ensure the **transparency and efficiency of the market**.

## Exam cues

- **Primary market raises capital; secondary market transfers risk.** Issuance (IPO, bonds, warrants) is primary; trading thereafter is secondary.
- **The OTC market is the "call around" market** because participants call each other directly — that name is a favourite definitional question.

- **Three banking licence types and their deposit rules**: Full/QFB may take deposits of any amount in any currency; Wholesale Banks may take any-amount foreign-currency deposits but need **at least S$250,000** for Singapore-dollar fixed deposits and may not pay interest on Singapore-dollar savings/current accounts for Singapore-resident natural persons without MAS approval; Merchant Banks **may not take Singapore-dollar deposits or borrow Singapore dollars from the public** except from banks, finance companies, shareholders and shareholder-controlled companies.
- **Merchant Banks are licensed under section 55S of the Banking Act since 1 July 2021** — the date is examinable.
- **Remote trading and clearing members are exempt from the CMS licence** only if all six conditions hold; additionally, an **SGX remote clearing member cannot have an MAS-regulated FI affiliate**, but that extra condition does **not** apply to a remote trading member.
- **MAS powers include a prohibition order**, alongside warning, fine, reprimand, suspension and revocation.
- **SGX has six guiding principles**; the sixth expressly acknowledges MAS as **statutory regulator** and SGX as **frontline regulator** — this is the "managing regulatory conflict" principle.
- **SGX RegCo (2017)** exists to **separate regulatory from commercial functions** and has its own board. It is not the same as SGX-ST.
- **SGX-DT (1978)** runs the futures market under the **Futures Trading Rules**; **SGX-ST** is the only approved **securities** exchange and runs the **Trading Rules**; **SGX-DC** clears both SGX-DT products and OTC trades via **Titan OTC** and is a **QCCP** under Basel III.
- **SGX-DC being a QCCP lowers bank members' capital requirements** — a recurring exam point about why the designation matters commercially.
- **Mainboard versus Catalist**: quantitative entry criteria on Mainboard; **no quantitative entry criteria** on Catalist, where **Sponsors** decide suitability.
- **CDP settles T+2 on a gross basis**, holds securities as **bare trustee**, immobilises certificates with a **CDP-nominated custodian bank**, and introduced **PSMS in 2008** and the **Intra-day Settlement Run in 2021**.
- **DVP versus FOP**: CDP acts as central counterparty for DVP only; FOP money settlement happens without CDP.
- **IFSG acquired the Singapore Mercantile Exchange in February 2014 for US$150 million**; **APEX is the third approved exchange**.
- **Trap:** SGX-ST is the securities exchange; SGX-DT is the derivatives exchange. Questions that ask "which exchange" turn on this distinction.

# Licensing and business operations

**Learning objectives.** The candidate should be able to:

- understand the regulatory requirements for the grant of a **Capital Markets Services (CMS) licence**;
- understand the requirements for registration and the obligations of CMS licence holders and their representatives;
- understand the requirements for notification of appointed representatives under MAS's **Representative Notification Framework**;
- conform to the rules on client identification through the account-opening process, the information and documentation required, and maintaining customer confidentiality;
- manage customer accounts properly with regard to receiving customer instructions, execution, records of customer orders and documentation requirements;
- report positions and keep records as required;
- adhere to the rules on customers' asset protection.

## 2.1 Introduction

This chapter focuses on the regulatory requirements governing the business operations of CMS licence holders and individual representatives.

CMS licence holders and their representatives who are **members of the approved exchanges** must comply with **both** the regulatory requirements under the SFA **and** the rules of the relevant exchanges.

Confidence and stability are core to an efficient, well-functioning capital market. Beyond licensing, MAS requires firms to **conduct business professionally and act responsibly**, having adequate **resources,**

**tools, systems, processes and controls** to provide efficient and quality services, and to ensure their representatives are **properly trained and competent** to give fair and professional advice.

## 2.2 Grant of a Capital Markets Services licence

CMS licence holders are licensed and regulated under the SFA. A corporation may apply for a CMS licence to carry on business in one or more of the **regulated activities** specified in the SFA Second Schedule. A corporation intending to **deal in capital markets products**, including derivatives contracts, whether as principal or agent, must obtain a CMS licence for dealing in capital markets products.

An existing holder wishing to **vary** its licence by adding a regulated activity or an additional capital markets product must **seek MAS's approval**.

Individuals employed by or acting for CMS licence holders to carry out regulated activities must be **appointed representatives** under the SFA. MAS supervises holders and representatives to ensure they are well-managed and resilient against systemic risk.

A CMS licence is granted **only to a corporation**. A corporation proposing to conduct regulated activities needs a CMS licence **unless exempted under the Third Schedule to the SFA or is an exempt institution**.

The **minimum licensing admission criteria** ensure that only **financially sound and reputable** corporations, **prudently managed and directed by officers who are competent and have integrity**, are granted a licence.

### 2.2.1 Base capital requirements

A CMS licence holder must satisfy the **Base Capital Requirements (BCR)** for its proposed regulated activities.

**Table 2.2.1(a) — BCR for dealing in capital markets products that are exchange-traded derivatives contracts**

| Entity classification | BCR (S$) |
|---|---|
| **Clearing member** | **5 million** |
| **Trading member** | **1 million** |
| **Non-member** | **1 million** |
| **Introducing broker** | **500,000** |
| **Others** | **50,000** |

**Table 2.2.1(b) — BCR for dealing in capital markets products that are over-the-counter derivatives contracts**

| Entity classification | BCR (S$) |
|---|---|
| **Clearing member** | **5 million** |
| **Non-clearing member with retail clients** | **5 million** |
| **Non-clearing member with non-retail clients** | **1 million** |
| **Others** | **500,000** |

**Table 2.2.1(c) — BCR for dealing in capital markets products that are specified commodity futures contracts only**

| Entity classification | BCR (S$) |
|---|---|
| **Clearing member** | **1 million** |
| **Non-clearing member** | **500,000** |
| **Non-member** | **500,000** |
| **Introducing broker** | **250,000** |
| **Restricted broker** | **250,000** |

**Table 2.2.1(d) — BCR for dealing in capital markets products that are spot FX contracts for the purposes of leveraged FX trading**

| Entity classification | BCR (S$) |
|---|---|
| **Broker dealing with retail clients** | **5 million** |
| **Broker dealing with accredited investors, institutional investors or expert investors** | **1 million** |

The classification terms are defined in the SFR(FMR):

- A **clearing member** is a member of an approved clearing house.
- A **trading member** is a corporation (not an introducing broker or "others" broker) that is a **member of an approved exchange**.
- A **non-member** is a corporation (not an introducing broker or "others" broker) that is **not a member** of an approved exchange.
- An **introducing broker** does **not carry any customer's positions, margins or accounts in its own books** and either only **solicits or accepts orders** for the purchase and sale of those products, or **accepts money or assets** from a customer as settlement of, or margin for, or to guarantee or secure such contracts.
- **"Others"** (exchange-traded) is a corporation that does not carry customer positions, **deals only with accredited, expert or institutional investors**, **does not accept money or assets** from customers for those purposes, and **does not enter into transactions as principal**.
- A **non-clearing member with retail clients** deals in OTC derivatives with any customer who is **not** an accredited, expert or institutional investor.
- A **non-clearing member with non-retail clients** deals only with accredited, expert or institutional investors.
- A **restricted broker** (commodity futures) does not carry customer positions, **deals only with accredited investors**, and **does not accept money or assets** from customers.

### 2.2.2 General criteria for CMS licence holders

The applicant should be **primarily engaged in the business of conducting one or more regulated activities** specified in the Second Schedule and be **operating out of a physical office in Singapore**. It must satisfy MAS that it will discharge its duties **efficiently, honestly and fairly**.

MAS considers whether the applicant is a **reputable entity with an established track record** in the proposed activity in Singapore or a related field for **at least the past 5 years**. The applicant and its holding company or related corporation should be subject to **proper supervision by its home regulatory authority**, where applicable. The applicant, its **officers, employees, representatives and substantial shareholders** must be **"fit and proper"** persons in accordance with the **Guidelines on Fit and Proper Criteria (FSG-G01)**.

### 2.2.3 Criteria for the board of directors, CEO and representatives

The board and senior management should **uphold good corporate governance**. The board must comprise a **minimum of 2 members, at least one resident in Singapore**. The **CEO must also be resident in Singapore**.

The applicant must obtain **MAS's approval** before appointing a person as:

- **i.** its **CEO**;
- **ii.** in the case of a **locally incorporated** company, its **director**;
- **iii.** in the case of a **foreign company**, its director who **resides or is to reside in Singapore**; or
- **iv.** its director **directly responsible for its business in Singapore**.

MAS approval is also needed to **change the nature of a director's appointment from non-executive to executive**. The applicant must **inform MAS of any person ceasing to hold office** as CEO or director.

The applicant must **employ at least 2 full-time individuals in respect of each regulated activity** for which it seeks licensing, and those individuals must be **appointed as representatives** for that activity.

### 2.2.4 Notification of change of particulars by CMS licence holders

A CMS licence holder must inform MAS **within 14 days** of any change in particulars if it **ceases to carry on business** in its licensed regulated activity, or if there is a change in its records as follows:

- **i.** the CMS licence holder's **name**;
- **ii.** the **address of the principal place of business** in respect of the licensed activity;
- **iii.** the **regulated activity or activities**, or where the activity concerns the type or types of capital markets products to which its licence relates;
- **iv.** where the business is carried on under a **name or style other than the name of the CMS licence** or the name or style under which the business is carried on; and
- **v.** such other information as may be prescribed.

These changes must be reported within **14 days** because the information is required by MAS for **publication and communication to the investing community** so participants can assess the impact.

### 2.2.5 Lapsing, revocation and suspension of CMS licences

A CMS licence **lapses** if the holder is **wound up or dissolved, whether in Singapore or elsewhere**, or on any occurrence MAS may prescribe.

MAS may **revoke or suspend** a licence if, among other things, it has reason to believe the holder, its representatives or officers **failed to discharge their duties efficiently, honestly and fairly**, or **had not acted in the best interest of customers**, thereby breaching licence conditions.

**Heavy financial penalties** apply if a holder **continues to carry on business after its licence has lapsed, been suspended or been revoked** — to ensure investors are not misled into dealing with errant holders, which could cause financial losses or credit issues.

### 2.2.6 Approval of CEO and directors

To ensure holders are soundly and prudently managed or directed by **"fit and proper"** persons, MAS's **prior approval** is required for the appointment of a CEO or director. This prevents individuals **not of good standing** from being appointed — especially those convicted in Singapore or elsewhere **of dishonesty or fraud**, **undischarged bankrupts**, those who have entered a **compromise or scheme of arrangement with creditors**, or those with **unsatisfied judgement debts**.

The expectation continues **after** the licence is granted and is **monitored on a continuing basis**. MAS may **direct the holder to remove** its CEO or directors if they fail the fit-and-proper criteria — for example on conviction of an offence involving fraud or dishonesty, undischarged bankruptcy, or failure to discharge duties of office in ensuring compliance with Regulation 13A of the SFR(LCB).

### 2.2.7 Duties of CMS licence holders

Holders must comply with all laws and rules governing their operations. To provide reasonable assurance on the **safety, effectiveness and efficiency** of operations, they must institute **adequate internal controls commensurate with the nature, scale and complexity of their business**, including:

- **i.** implementing **effective written policies on all operational areas** — financial policies, accounting and internal controls, and internal audit — and complying with them;
- **ii.** putting in place a **compliance function and arrangements**, including specifying officers' and employees' roles and responsibilities in ensuring compliance with applicable laws, codes of conduct and standards of good practice, to protect investors and reduce the risk of legal or regulatory sanctions, financial loss and reputational damage;
- **iii. identifying, addressing and monitoring risks** associated with trading or business activities;
- **iv.** ensuring business activities are subject to **adequate internal audit**;
- **v.** ensuring internal audits **include inquiry into compliance** with all relevant laws and all relevant business rules of any approved exchange and approved clearing house;
- **vi. setting out in writing the limits of discretionary powers** of each officer, committee, sub-committee or other group empowered to commit the holder to any financial undertaking or expose it to business risk, including financial, operational or reputational risk;
- **vii. keeping a written record of the steps taken to monitor compliance** with its policies, accounting and operating procedures, and the limits on discretionary powers;

- **viii.** ensuring the **accuracy, correctness and completeness of any report, book or statement** submitted to its head office (if any) or to MAS; and
- **ix.** ensuring **effective control and segregation of duties** to mitigate potential conflicts of interest.

Holders must also implement **clearly defined policies and procedures** ensuring only **qualified persons are appointed as representatives**. They must ensure representatives **pass the requisite CMFAS examinations or are exempted** before notifying them as representatives, and must maintain a **register** recording the type of regulated activities conducted, the **date each representative completed the applicable examinations or non-examinable courses**, and the **basis for exemption** where a module is not required.

Holders must also ensure **independent and rigorous due diligence checks** establish that representatives meet fit-and-proper criteria, and must file a **"Report on Misconduct of Representative" within 14 days after discovery** where a representative fails the fit-and-proper criteria or has committed acts relating to market misconduct (**MAS Notice SFA 04-N11**).

Failure to comply with prescribed duties is an **offence punishable with a fine**.

## 2.3 Registration of representatives with MAS

Individuals intending to conduct any regulated activity under the SFA must be an **appointed representative**, **temporary representative** or **provisional representative** in respect of that type of regulated activity. They may commence only after **satisfying the competency requirements** and having their names entered in the **Public Register of Representatives** on MAS's website, where applicable.

Holders must **not permit any individual to conduct a regulated activity** if that individual is not notified as an appointed, temporary or provisional representative or otherwise exempted. Carrying out regulated activities **without registration** is an offence, liable on conviction to a **fine and/or imprisonment**.

### 2.3.1 Acting for one principal

A representative may act for **only one principal** unless MAS approves otherwise, or the principals are **related corporations**. MAS may require an applicant wishing to act for more than one principal to furnish supporting information or documents.

The objectives of the **one-representative-one-principal rule** are two-fold:

- **i.** to provide **clarity to investors** on the status of representatives, the principals they represent, and — more importantly — **where responsibility rests for complaints and redress**; and
- **ii.** to ensure principals **closely monitor and supervise** their representatives at all times.

**Temporary representatives** conduct regulated activities on a **short-term basis**. They may be appointed for a **total of 6 months within any 24-month period**, with **each appointment not lasting more than 3 months**. Beyond educational and work-experience admission criteria, they must be an **employee of a related entity of the principal** and must be **currently licensed, authorised or otherwise regulated** for that activity in an overseas jurisdiction with a **regulatory regime comparable to Singapore's**.

**Provisional representatives** are given a **grace period of 3 months to complete the requisite examinations**. During the grace period they may conduct regulated activities. Beyond educational and work-experience admission criteria (**including 3 years of relevant work experience**), provisional representatives must be **currently or previously licensed, authorised or otherwise regulated for a continuous period of at least 12 months** — and not more than 12 months before — for the relevant activity in an overseas jurisdiction with a comparable regime.

### 2.3.2 Competency requirements

All appointed representatives must meet **minimum competency requirements** prescribed by MAS (**MAS Notice SFA 04-N22**). To be eligible for registration, an individual must fulfil **all** of the following:

- **i.** be **at least 21 years old**;
- **ii.** have a **minimum education level** equivalent to:
  - **at least 4 GCE O-Level credit passes**; or
  - **at least 2 GCE O-Level credit passes** if he has **3 continuous years of relevant working experience over the last 5 years** (only applicable to individuals who sat for the O-Levels in or before 1980);

- **iii.** have **satisfied the CMFAS examination requirements** for the regulated activities he will deal in; and
- **iv.** be a **fit and proper person**, which includes:
  - possessing qualities of **honesty, integrity and sound reputation**;
  - **competence and capability**; and
  - **financial soundness** — for example, not an undischarged bankrupt, whether in or out of Singapore.

The **Guidelines on Fit and Proper Criteria** set out further guidance on the factors considered in assessing fitness and propriety.

#### 2.3.3 Due diligence checks

Holders must conduct **rigorous and independent checks** on the fitness and propriety of representatives, because the **onus is on them** to establish that representatives are fit and proper. Before appointing an individual, the holder is expected to carry out the following (**MAS Circular CMI 01/2011**):

- **i. Probity checks on identity** — obtaining a copy of current identity documentation (**NRIC, FIN or passport**) and verifying identity. For a foreigner, the holder must verify the individual has the **relevant employment pass** or approval to work in Singapore.
- **ii. Probity checks on past records** — conducting **reference checks with previous employers** to confirm the individual has **not been dismissed or asked to resign**, and to ask whether any **material adverse record** was taken by previous employers. Holders must also check the **Public Register of Representatives** and conduct **probity searches**, including but not limited to publicly available registers provided by **enforcement and regulatory agencies, self-regulatory organisations, and professional bodies or associations**, to verify past employment records and regulatory status, including **any past criminal or disciplinary records under any law or rule in any jurisdiction**.
- **iii. Probity checks on financial status** — at a minimum, obtaining records from the **Ministry of Law's Insolvency and Public Trustee's Office Online Portal** to confirm the individual is **not an undischarged bankrupt**. If the individual was **self-employed**, obtaining records from the **Central Provident Fund (CPF) Board** to verify he is **not in arrears** of CPF contributions under the CPF Act 1953. Holders should also conduct **checks with credit agencies**, including bankruptcy status in overseas jurisdictions, and request the individual to provide a **search result of his credit status with the Credit Bureau (Singapore) Pte Ltd**.

#### 2.3.4 Revocation and refusal of registration

MAS has **broad powers** to decide whether to register or revoke a representative's registration. The decision depends on:

- **i.** the **seriousness or severity** of the circumstances surrounding the person's failure to meet a specific criterion;
- **ii.** the **relevance of the unfulfilled criterion** to the duties that are, or are to be, performed and the responsibilities assumed; and
- **iii.** the **amount of time that has lapsed** since the failure to meet the criterion.

Representatives must fulfil the fit-and-proper criteria **as long as they continue** to engage in the regulated activity.

#### 2.3.5 Representative Notification Framework (RNF)

Holders register representatives as **appointed**, **provisional** or **temporary** representatives with MAS through the **RNF**, which allows holders to lodge notifications **electronically** for representatives intending to conduct regulated activities.

As part of the notification, holders must **certify that the representatives are fit and proper** and meet the **competency, financial soundness and integrity standards** required. Once processed, the proposed representative's name is published on the **Public Register of Representatives**.

**2.3.5.1 Public Register of Representatives** Besides the representative's **name**, the Register displays:

- the **regulated activities** the representative is allowed to conduct;

- the **principal companies** for which the representative has worked **within the past 3 years**; and
- any **formal regulatory action** taken by MAS against the representative.

**2.3.5.2 Importance of the RNF number** All representatives are assigned a **unique representative number**, which **stays with them even if they change principals**. Members of the public may verify representatives against the Public Register by **RNF number or name**, reducing the risk of dealing with **unregulated individuals**. Holders are **encouraged to make representatives' unique numbers readily available** for consumers to verify regulatory status, so representatives should know and maintain records of their own RNF number.

**2.3.5.3 Cessation of representative status** The status of an appointed representative for a regulated activity is valid **until it ceases** under the following circumstances:

- **i.** the **principal notifies MAS** of the cessation;
- **ii.** the representative has **ceased to act as a representative for a continuous period of one month**, and the principal has **not notified MAS** of cessation;
- **iii. MAS has revoked** the status;
- **iv.** the principal **ceases to carry on business** in that regulated activity; or
- **v.** the principal's **licence lapses, is revoked, or a prohibition order is issued** against the principal prohibiting it from carrying out that regulated activity.

The same applies to **temporary and provisional** representatives with necessary modifications. In addition, a **provisional** representative's status is valid for a **maximum of 3 months** from entry in the Register. For a **temporary** representative, the principal may notify a **further 3-month period only after the representative has commenced the first 3-month block**.

### 2.3.6 Change of particulars of representatives

An appointed, provisional or temporary representative must inform his **principal** of any change in identification or other relevant personal particulars within **7 days** after the date of change. The principal must notify **MAS no later than 14 days** after the date of change in the prescribed form and manner.

### 2.3.7 Continuing education

Under the **Guidelines on Fit and Proper Criteria (FSG-G01)**, **"competence and capability"** is one of several important criteria for fitness and propriety. MAS expects representatives to **keep abreast of industry developments** and update skills and knowledge relevant to their activities (**SFA 04-N22**). Principal companies must ensure representatives **receive adequate training**, and should provide **quality, ongoing training** — programmes that are **well structured and go beyond satisfying requirements on training hours**. Where training is conducted by a **product provider or third-party trainer**, the principal must be satisfied it is adequate.

Training may take the form of:

- **face-to-face training**;
- **e-learning**; or
- **seminars and workshops**, and generally **formal or documented learning**.

**Continuing Professional Development (CPD)** activities may combine:

- relevant **ethics and market conduct** requirements;
- relevant **product knowledge**;
- relevant **compliance-related matters**; or
- other relevant **skills or competencies**.

Under **SFA04-N22**, an appointed representative must complete a minimum of **6 Core CPD hours in ethics or rules and regulations or both**, relevant to the regulated activity and **accredited by IBF**, plus a minimum of **3 Supplementary CPD hours** in relevant training.

## 2.4 Regulatory requirements for advertising

To prevent the investing community from being misled, the SFA contains guidelines and rules governing behaviour on advertising. Holders and representatives must adhere to them when publishing **advertisements, market letters or similar information** — collectively "**advertisements**".

Under the **SFR(LCB)**, **product advertisements** must meet the following requirements:

- **i.** the advertisement is **not false or misleading**;
- **ii.** it provides a **fair and balanced view** of the capital markets products to which it relates;
- **iii.** it presents information in a **clear manner**, whether in text or otherwise;
- **iv.** where it appears in any **visual medium**, it is **clearly legible**;
- **v.** where it appears in **electronic mail or on a website**, it adheres to the **font size requirements** in Regulation 46(2)(e);
- **vi.** it contains the statement: **"This advertisement has not been reviewed by the Monetary Authority of Singapore."**; and
- **vii.** it has been **approved by a person specified in Regulation 46AA** in the manner set out there, **prior to dissemination or publication** — which may include **senior management, an agent or a committee**. In each case the relevant persons must be **satisfied that the advertisement complies**, **record the reasons for satisfaction in writing**, and give **written approval**.

**Non-product advertisements** must comply with the following:

- **i.** the advertisement is **not false or misleading**;
- **ii.** it does **not contain any statement to the effect that any report, analysis or other service will be furnished free or without charge**, unless such report, analysis or service is in fact furnished **in its entirety without any condition or obligation**; and
- **iii.** it does **not contain any exaggerated statement calculated to exploit an individual's lack of experience and knowledge**.

Under **Regulation 46AD**, a **non-product advertisement** is an advertisement, other than a product advertisement, in respect of the provision of any product or service regulated by the SFA.

## 2.5 Confidentiality of customer information

### 2.5.1 Confidentiality of customer information

Holders and representatives must **keep and protect the confidentiality** of customers' information. All intermediaries must keep customers' information confidential under **common law** as well as the **Personal Data Protection Act 2012 (PDPA)**.

In addition, under **Regulation 47(2) of the SFR(LCB)**, holders and representatives must **not divulge information relating to a customer's order** unless the disclosure is:

- **i. necessary for the effective execution** of the order;
- **ii. permitted under the rules** of the relevant approved exchange, recognised market operator, approved clearing house or recognised clearing house; or
- **iii. required by MAS** under the SFA or SFR(LCB).

### 2.5.2 Banking secrecy

Under **section 47 of the Banking Act**, a bank in Singapore or any of its officers **cannot disclose customer information to any third party** except as permitted under the Banking Act. The Third Schedule lists the permitted circumstances; examples include:

- **i.** where the bank has the **customer's prior written consent** and the disclosure is in accordance with the terms of that consent;
- **ii.** where disclosure is **necessary for the operations and risk management** of the bank and for audit by **internal and external auditors, lawyers or consultants** approved or engaged by the intermediary; and
- **iii.** where disclosure is **required under any law or rules for investigating or prosecuting an offence** alleged or suspected under any written law.

When a request to disclose customer information is received, **good practice is to refer it to the bank's legal or compliance department** to assess professionally whether disclosure is permitted by law or by the contractual agreement with the customer.

**If disclosure is made, the bank still has a duty to inform and remind the recipient** that it too has an obligation to safeguard confidentiality and bears the consequences of a breach. Anyone disclosing information in contravention of section 47, the PDPA and applicable SFA confidentiality requirements may face **penalties and litigation risks**.

### 2.5.3 Personal Data Protection Act

The PDPA governs the **protection of personal data**. Data protection is an aspect of **privacy protection** dealing with **control over the collection, storage, accuracy, use and dissemination** of personal information. Its purpose is to ensure personal data is **not collected, used or disclosed without the knowledge or consent** of the individual concerned, and to **prevent processing of incorrect or inaccurate personal data**.

### 2.5.4 The impact of the PDPA on business operations

Because confidentiality obligations are already in force, the PDPA affects operations **especially when disclosures are requested**, and also affects holders and representatives when **making marketing calls**.

Holders should establish **clear policies and procedures** to comply with the PDPA and other confidentiality obligations, including requiring representatives to:

- **i. check the Do Not Call (DNC) registry** before making marketing calls to a Singapore telephone number; and
- **ii. seek clear and unambiguous consent** through written forms and such other means as satisfy the PDPA.

Violations of the DNC provisions may lead to **civil and/or criminal liabilities**.

## 2.6 Opening and management of customer trading accounts

### 2.6.1 Risk disclosure statement

A **Risk Disclosure Statement** highlights the risks associated with trading in **leveraged capital markets products**, including **futures and options**. MAS prescribes **Form 13** for use as the Risk Disclosure Statement.

A CMS licence holder intending to deal in derivatives contracts **shall not open a trading account** for a customer unless it:

- **i. furnishes the customer with a separate written risk disclosure document in Form 13**; and
- **ii. receives from the customer an acknowledgement signed and dated by the customer** that he has received and understood the nature and contents of the document in Form 13.

### 2.6.2 Provision of statements to customers

**2.6.2.1 Monthly statement** Holders shall send **monthly statements** containing information on the following, where applicable:

- **i. outstanding positions** of the customer in derivatives contracts and spot FX contracts, the **prices at which positions were established**, and the **net unrealised profits or losses** in all positions **marked to market**;
- **ii.** the **status of every asset** of the customer held in custody, including any asset deposited with a third party used for **specified products lending** or **held as collateral**;
- **iii.** the **date, amount and reason for movement** of the customer's assets;
- **iv.** the **movement and balance of money** in the customer account; and
- **v.** a **detailed account of all financial charges and credits** to the customer's account during the statement period, unless these have been included in any contract note or tax invoice issued.

Holders **need not send** a monthly statement if:

- **i.** the information to be contained in the statement has **already been sent to the customer by a clearing house** of which the holder is a member;
- **ii.** there has been **no change to the customer's account** in the month; or
- **iii.** the customer is an **accredited investor, expert investor or institutional investor**, or a **corporation related to the holder**, **and**:
  - **a. real-time electronic statements** have been made available and the customer has **agreed to use them**; or
  - **b.** the customer has **requested in writing not to receive** monthly statements.

**2.6.2.2 Quarterly statement** If a monthly statement has **not been sent for the last month of a calendar quarter — March, June, September and December** — the holder shall send a **quarterly statement** containing the same required information.

> **Example — monthly and quarterly statements. Scenario 1:** if a monthly statement was sent for January but none for February and March, the holder **must send a quarterly statement at the end of March**. **Scenario 2:** if monthly statements were sent for **January and March**, there is **no need** for a quarterly statement at the end of March.

### 2.6.4 Contract notes

Holders must provide customers a **contract note following a transaction**. Contract notes shall be issued **no later than the next business day** following the transaction. If any detail required in the contract note is **only available later**, the note shall be issued **by the next business day after the detail becomes available**.

> **Example — contract notes.** A transaction was done on **Monday 23 April**, with no market holidays until 1 May. The contract note should be sent **by 24 April**. If the transaction needed to refer to the **fixing price of 25 April**, the contract note would need to be sent **by 26 April**.

The contract note should contain:

- **i.** the **name** under which the holder carries on its business of dealing and the **address of the principal place of business**;
- **ii.** a **statement informing the customer** that the holder is **dealing as a principal** (other than for futures contracts) or is **dealing against its customer** (for futures contracts), if it is doing so;
- **iii.** the **name and address of the recipient**;
- **iv.** the **date** on which the transaction is entered into;
- **v.** the **quantity and type** of the derivatives contract, or the **amount** of a transaction connected with spot FX contracts for leveraged FX trading;
- **vi.** the **price per unit**;
- **vii.** the **amount of consideration**;
- **viii.** any amount to be **added to or deducted from the settlement amount**;
- **ix.** the **rate and amount of commission** (if any) charged; and
- **x.** the amount of all **stamp duties or other duties or taxes** payable in connection with the transaction.

For transactions on an **overseas exchange**, the contents may follow the **requirements of that exchange**.

For **OTC derivatives contracts**, the holder is **not required to provide a contract note** if it gives the other party a **confirmation** stating:

- **i.** the **name of the holder**;
- **ii.** the **name of the party to whom the confirmation is given**;
- **iii.** where the holder is dealing in OTC derivatives **as a principal**, a **statement that it is so acting**;
- **iv.** the **date** on which the transaction is entered into; and
- **v.** the **type and notional value** of the OTC derivatives contracts.

## 2.7 Keeping of books and audit trails

### 2.7.1 Record-keeping requirements

Under the SFA, holders must ensure their books are:

- **i.** kept in such a manner that they can be **conveniently and properly audited**; and
- **ii.** kept for **at least 5 years**.

The holder must be able to **furnish returns and records when notified by MAS in writing**, and provide information relating to its business as MAS may require.

### 2.7.2 Content of records to be kept

Holders must keep **all books and records in English**. All information kept must **sufficiently explain the transactions and financial position** of the business and **enable true and fair profit and loss accounts and balance sheets** to be prepared.

#### 2.7.2.1 Customer details

- **i.** particulars of **every customer**, and their **guarantor**;
- **ii.** particulars of **authorised traders**;
- **iii.** particulars of **each customer asset**, including:
  - **a.** the amount and description of each asset deposited with and held in trust for the customer;
  - **b.** its **beneficial owner**;
  - **c.** whether the asset is held for **safe custody, mortgaged, charged or pledged**;
  - **d.** the **date and quantity of each movement** of assets into or out of the trust or custodian account arising from any **asset borrowing or lending** activity;
  - **e.** the **date, amount and purpose** of each **withdrawal** from the trust or custody account;
  - **f.** the **date and amount of, and reason for, each disposal of collateral** from the trust or custody account;
  - **g. whether the customer shares the same trust or custody account with other customers**; and
  - **h.** the **name of custodians** with whom the holder deposits customer moneys and assets.

#### 2.7.2.2 Customer correspondence and other documents

- **i.** every **power of attorney** or other document authorising the holder or its representatives to operate the customer's account **on a discretionary basis**;
- **ii.** every **written agreement** entered into with a customer;
- **iii.** every **disclosure** made to a customer under **Regulations 18A or 27A**;
- **iv.** every **acknowledgement** received under **Regulation 47DA(1)(b)**;
- **v.** every document relating to the **opening of a customer trading account** for the purpose of entering into OTC derivatives contract transactions;
- **vi.** every acknowledgement received under **Regulation 47E(1)(b)**, which shall be in **Form 13**;
- **vii.** every acknowledgement received under **Regulation 47E(2)**, which shall be in **Form 14**;
- **viii.** every **statement acknowledging receipt of assets** from a customer, indicating the person in whose name the assets are registered;
- **ix.** every **order** prepared or received in the course of business;
- **x.** every **report, letter, circular, memorandum, publication, advertisement** and other literature or advice distributed to any existing or prospective customer, **indicating the date of publication**;
- **xi.** every report, statement, submission, letter, journal, ledger, invoice, and other record, data or memoranda prepared or received in the course of business;
- **xii. written confirmation of every transaction** to purchase or sell any capital markets products, and every **contract note** and **statement of account**, where a party is: **(i)** the holder; **(ii)** except where (iii) applies, an **executive director of the holder**, if the transaction is a **personal transaction** of that director; and **(iii)** where the holder is a **branch or subsidiary of a foreign company** with head office outside Singapore, an **executive director directly involved in its operations and business**, if the transaction is a personal transaction of that director;
- **xiii.** written confirmation of **every transaction carried out on behalf of customers** prepared by the holder, and every contract note and statement of account prepared by the holder or **received from any other party**; and
- **xiv.** for every **underwriting and placement transaction**, documentation stating the **basis of allotment** to each subscriber or placee.

#### 2.7.2.3 Particulars of every proprietary transaction

- **i.** the **description and quantity** of the assets;
- **ii.** the **price and fee** arising from the transaction;
- **iii.** the **transaction date and settlement or delivery date**;
- **iv.** the **name of the counterparty**; and
- **v.** the **realised or unrealised gain or loss**.

#### 2.7.2.4 Particulars of all income and expenses

- **i.** particulars of all **liabilities**, including **contingent liabilities**;
- **ii.** particulars of all **assets**, **where they are held**, and **whether pledged as security** against loans or advances; and

- **iii.** particulars of **every OTC derivatives transaction** carried out on behalf of or with customers.

The list is **not exhaustive**; **Regulation 39** sets out the books and record-keeping requirements in full.

#### 2.7.3 Audit

Holders must **appoint an auditor** to audit its accounts and **prepare a true and fair profit and loss account and a balance sheet for each financial year**. The accounts and balance sheet must be **lodged with MAS within 5 months after the end of the financial year**, together with the **auditor's report**.

MAS may **direct a holder to remove and replace its auditor** if not satisfied with the auditor's performance.

#### 2.7.4 Report by auditor

The auditor should **immediately send a written report to MAS** if, in performing duties, it discovers:

- **i.** any matter which **adversely affects or may adversely affect the financial position** of the holder **to a material extent**;
- **ii.** any matter which **constitutes or may constitute a contravention** of any provision of the SFA, or an **offence involving fraud or dishonesty**; or
- **iii.** any **irregularity that has or may have a material effect upon the accounts**, including any irregularity that may **affect or jeopardise the money or assets of any customer**.

A **copy of the report should be sent to the approved exchange** if the holder is a member of one. Where a holder **fails to lodge an auditor's report** as required under section 107, or where MAS **receives a report of a matter or irregularity**, MAS has power to **appoint an auditor** to carry out an examination and audit of the holder's books.

#### 2.7.5 Offence to destroy, conceal or alter books

Any person who **destroys, conceals or alters any book** relating to the business of the holder **with intent to prevent, delay or obstruct an examination or audit** is guilty of an offence, liable on conviction to a **fine and/or imprisonment or both**. The **same penalty** applies to any person who **sends, or conspires to send, out of Singapore** any book or asset belonging to the holder.

### 2.8 Customers' moneys and assets

#### 2.8.1 Definitions

For this section, **"customer"** does **not** include:

- **i.** the holder **carrying out any regulated activity for its own account**;
- **ii.** an **officer, employee or representative** of the holder; or
- **iii.** a **related corporation** of the holder **with respect to an account belonging to and maintained wholly for the benefit of** that related corporation.

**"Moneys received on account of customers"** includes moneys received from or on account of the customer:

- **i.** in respect of a **sale or purchase** of any capital markets products;
- **ii.** for the **holding** of any capital markets products, or the **maintenance of a trading account**;
- **iii.** where the holder provides **product financing** to the customer;
- **iv.** for the purpose of **managing the customer's funds**; and
- **v. in the course of the business** of the holder,

but **does not include** moneys which are:

- **i.** used to **reduce the amount owed** by the customer to the holder;
- **ii. to be paid to the customer** or in accordance with the customer's written direction;
- **iii.** used to **defray the holder's brokerage and other proper charges**;
- **iv. to be paid to any other person entitled** to the moneys; and
- **v.** moneys received from or on account of a customer who is an **institutional investor** in connection with any OTC derivatives contract **entered into by the holder with the customer**, which is **not cleared or settled by a clearing facility** and is **booked in Singapore**.

**"Customer assets"** refers to securities and assets, including **Government securities and certificates of deposit**, **beneficially owned by customers**, but **does not include** securities and assets received from or on account of an **institutional investor** in connection with an OTC derivatives contract which is:

- **i.** entered into by the holder with the customer;
- **ii.** not cleared or settled by a clearing facility; and
- **iii.** booked in Singapore.

### 2.8.2 Segregation of customers' moneys and assets, and fiduciary obligations

A key customer-protection principle is to **keep the holder's moneys and assets separate from customer moneys and assets**. Holders are **prohibited from depositing or commingling their own moneys and assets** with customers'.

Customer moneys and assets are **only to be used for the purpose agreed with the customer**; a holder must **not use them for its own needs**.

Where the customer is a **retail customer**, the holder shall deposit **all money received on account of that customer**:

- **i.** for **OTC derivatives contracts**, in a **trust account**; and
- **ii.** in **any other case**, in a **trust account maintained in accordance with Regulation 17**, or **any other account directed by the customer**,

**to which the customer has legal and beneficial title**, maintained with a financial institution specified under the SFR(LCB).

Where the customer is **not a retail customer**, the moneys must be deposited in a **trust account** under Regulation 17 or in **any other account directed by the customer**.

Moneys and assets received must be deposited **no later than the next business day** after receipt, must **not be commingled with other funds**, and must not be used **as margin or guarantee for, or to secure any transaction of, or to extend the credit of, any person other than the customer**.

**Other than for OTC derivatives contracts**, the holder **may commingle moneys from different customers into the same trust account**. Where the holder offers a customer an option of a **segregated account** for moneys deposited or paid in relation to OTC derivatives contracts, it must **disclose the additional costs and differences in protection** that such an arrangement attracts.

### 2.8.3 Maintenance of trust and custody accounts

**Maintenance of accounts** Trust and custody accounts must be maintained with:

- **i.** a **bank or merchant bank** licensed under the Banking Act;
- **ii.** a **finance company** licensed under the Finance Companies Act 1967;
- **iii.** a **depository agent** within the meaning of section 81SF of the SFA, for custody of securities listed or quoted on SGX-ST or deposited with CDP;
- **iv.** an **approved trustee** for a collective investment scheme within the meaning of section 289 of the SFA; or
- **v.** any person **licensed under the SFA to provide custodial services**.

The holder may maintain a custody account **itself** where it is licensed under the SFA to provide custodial services.

**Other than moneys received from a retail customer in respect of OTC derivatives contracts**, the holder may maintain a trust or custody account with a **custodian outside Singapore** for depositing customer moneys or assets **denominated in foreign currencies**. The custodian must be **licensed, registered or authorised to conduct banking business** in that country or territory, **subject to the customer's prior written consent**.

Before depositing a **retail customer's** moneys in the trust account, the holder must **disclose to the retail customer**:

- **i.** that the moneys are **held by a specified financial institution on behalf of the holder**;
- **ii.** that the holder **may withdraw the moneys from the trust account and deposit them with a clearing facility, a member of a clearing facility, or an organised market**;

- **iii. whether the moneys are deposited in the same trust account and commingled** with other customers' moneys;
- **iv.** where commingled, **the risk of such commingling**;
- **v.** the **consequences for the retail customer's moneys if the financial institution or custodian becomes insolvent**, if applicable; and
- **vi.** where the moneys are placed with a **custodian outside Singapore**, that the **laws and practices of that jurisdiction may differ** from Singapore's and that such differences may affect the customer's **ability to recover the deposited funds**.

For trust accounts, **all interest earned** and **all returns from investment** of moneys received on account of the customer **shall accrue to the customer**.

#### 2.8.4 Investment of moneys received on account of customers

A holder may invest customer moneys in:

- **i.** any **government securities**;
- **ii.** any **debt instrument of the government** of the country of an organised market on which the holder normally transacts business; or
- **iii.** any other **securities or instrument as MAS may determine**.

**Full details** of the investments must be kept. **Profits are to be returned to customers proportionately**. Where the holder deposited **its own moneys** into the trust account to maintain the account, it is allowed to retain **its proportionate share** of profits.

#### 2.8.5 Placement of the holder's own moneys in trust accounts

A holder may **advance sufficient money to a customer's trust account from its own funds** in order to:

- **i. prevent the customer's trust account from being under-margined or under-funded**; or
- **ii. ensure the continued maintenance** of that account where it is maintained with a specified financial institution or custodian.

The holder may **retain any interest earned and returns** on moneys it has advanced. With the exceptions in Section 2.8.10, any moneys **belonging to the holder** deposited into a customer's trust account **may be used for the purpose of payment to the customer**.

#### 2.8.6 Suitability of the financial institution or custodian

Before opening a trust account, the holder shall conduct **initial and periodic due diligence** on the **suitability** of the specified financial institution for its customers. It must **document the procedures** for such due diligence, including the **frequency of periodic reviews** and **senior management approval** of those procedures, and **maintain records of the grounds** on which it satisfied itself of suitability.

#### 2.8.7 Customer agreement

Before providing custodial services, the holder must **notify the customer of the terms and conditions** applicable to safe custody of the customer's assets, including:

- **i.** arrangements for **giving and receiving customer instructions**, including any arrangement where **authority is given to another person** besides the customer;
- **ii.** any **lien over or security interest in** the assets by the holder or a third party;
- **iii.** any circumstances in which the holder may **realise assets held as collateral** to meet the customer's liabilities to the holder;
- **iv.** where assets are held with a **custodian other than the holder**, the **holder's liability in the event of default by the custodian**;
- **v.** where the holder intends to **commingle** the customer's assets with those of other customers and maintain them with a custodian other than itself, a statement that the customer's interest **may not be identifiable by separate certificates or equivalent electronic records**, and a condition that the holder **maintain records of the customer's interest** in commingled assets;
- **vi. the person in whose name the assets are registered**;
- **vii.** arrangements relating to **claim and receipt of dividends, interest payments and other entitlements**, and the exercise of any right and power arising from ownership;

- **viii.** arrangements for **providing information** relating to custody; and
- **ix. all applicable fees and costs** for custody.

#### 2.8.8 Custody agreement

Before placing customer assets in a custody account, the holder shall **agree with the custodian in writing**:

- **i.** that the account shall be **designated as that of the customer or customers**;
- **ii.** that the custodian shall **hold and record the assets in accordance with the holder's instructions**, and that records shall **identify the assets as belonging to the holder's customer** and keep them **separate from assets of the holder or the custodian**;
- **iii.** that the custodian shall **not claim any lien, right of retention or sale** over any asset standing to the credit of the custody account, **except**:
  - **a)** where the holder has obtained the **customer's written consent** and **notified the custodian in writing** of that consent; or
  - **b)** in respect of **charges as agreed** in the terms and conditions relating to administration or custody;
- **iv.** that the custodian shall provide **sufficient information** to enable the holder to comply with its **record-keeping obligations** under the SFA, SFR(LCB) or other law;
- **v. the person in whose name the assets are registered**;
- **vi.** that the custodian **shall not permit any withdrawal** of assets except for **delivery to the holder or on the holder's written instructions**;
- **vii.** arrangements for **dealing with entitlements** arising from the assets, such as coupon or interest payments;
- **viii.** the **extent of the custodian's liability** in the event of loss caused by **fraud or negligence** of the custodian or its agents; and
- **ix.** the **applicable fees and costs** for custody.

The holder shall, **before depositing customer assets** in a custody account, **disclose to the customer the terms and conditions agreed with the custodian**.

#### 2.8.9 Instructions to trustees and custodians

Before depositing customer moneys or assets in the trust or custody account, the holder shall give **written notice to the financial institution** and obtain an **acknowledgement** that:

- **i.** all moneys and assets deposited are **held on trust by the holder for its customer**, and the financial institution **cannot use them to offset any debt owed by the holder** to it; and
- **ii.** the account is **designated as a trust or custody account, or a customer's or customers' account**, which shall be **distinguished and maintained separately** from any account in which the holder deposits its own moneys and assets.

Where the trust or custody account is opened with a **custodian outside Singapore**, the holder shall, **before depositing customer assets**, give **written notice to the custodian** and obtain a **similar acknowledgement**.

#### 2.8.10 Withdrawal of moneys or assets from trust or custody accounts

A holder **shall not withdraw any moneys** from a customer's trust account except for the purpose of:

- **i. making a payment to any person entitled** to them;
- **ii. making a payment for the customer** to meet an obligation arising from any transaction;
- **iii. defraying its brokerage and other proper charges**;
- **iv. making a payment to any other person or account in accordance with the customer's written direction** — except that **a withdrawal must not be made from a retail customer's trust account to meet any obligation of the holder** in relation to any transaction for the holder's benefit;
- **v. reimbursing the holder** any moneys it advanced to the account, **provided the withdrawal does not result in the account becoming under-margined or under-funded**;
- **vi. making a deposit for the customer with a clearing house** or a member of a clearing house or exchange;
- **vii. making an investment in accordance with Section 2.8.4**; or
- **viii. making a payment or withdrawal authorised by law**.

For **assets**, the following purposes are **also permissible** for withdrawal:

- **ix. specified products lending** in accordance with **Regulation 33**; or
- **x. mortgaging, charging, pledging or hypothecating** the assets in accordance with **Regulation 34**.

### 2.8.11 Customer's moneys or assets held with a clearing house

A holder dealing in capital markets products may deposit customer moneys — **other than moneys received on account of a retail customer in respect of OTC derivatives contracts** — and customer assets with:

- **i.** an **approved or recognised clearing house**; or
- **ii.** a **member of a recognised market or of a clearing house**,

for the purpose of **facilitating positions and transactions** in capital markets products traded, entered, settled or cleared on those entities, or for any other purpose specified under the business rules and practices of the clearing house or exchange.

### 2.8.12 Mortgage of customer's assets

Where the customer **owes the holder moneys**, the holder may **mortgage, charge, pledge or hypothecate the customer's assets for a sum not exceeding the amount owed**.

This does not apply where there is an **excess arising on any day through reduction of the amount owed**, **but only if** the holder **pays or transfers to the mortgagee, chargee or pledgee** moneys or assets sufficient to reduce that excess **as quickly as possible after the excess occurs and in any event no later than the next business day**.

The circumstances in which a holder may do so are:

- **i. subject to an agreement** between holder and customer, where the holder is **owed moneys**, it may mortgage, charge, pledge or hypothecate the customer's assets **but only for a sum not exceeding the amount owed**;
- **ii.** the holder must, **before mortgaging, charging, pledging or hypothecating a retail customer's assets**, **inform the retail customer** that it would do so only for a sum not exceeding the amount owed, **explain the risks involved**, and **obtain the retail customer's written consent**; and
- **iii.** the holder does not contravene the regulation **by reason only of an excess arising on any day** through reduction of the amount owed, provided it pays or transfers to the mortgagee, chargee or pledgee sufficient moneys or assets to reduce the excess **as promptly as practicable and in any event no later than the next business day**.

A holder may **mortgage, charge, pledge or hypothecate customers' assets together if and only if**:

- **i.** the **sum of the claims** to which those customers' assets are subject as a result **does not exceed the aggregate amounts owed** by those customers to the holder; and
- **ii.** the **claim to which each customer's assets is subject does not exceed the amount owed** by that customer to the holder.

### 2.8.13 Computation for trust and custody accounts

**At least once a day**, a holder carrying on business in any regulated activity shall compute:

- **i.** the **total amount of moneys and assets deposited** in customers' trust accounts and custody accounts;
- **ii.** the **total amount of customers' moneys and assets** required under Part V of the SFA and SFR(LCB) **to be deposited** in trust and custody accounts; and
- **iii.** the **amounts of the holder's own residual interest** in the trust accounts,

**as at the end of the previous business day**.

The computation must be **completed before noon of every business day** and, together with **all supporting data**, **kept for at least 5 years**.

### 2.8.14 Moneys received from retail customers

A holder **shall not enter into any arrangement for the transfer of title** relating to retail customer moneys, **unless** the arrangement is **in connection with the lending of the customer's specified products** and complies with **Regulation 45**.

## 2.9 Register of interests in listed specified products

CMS licence holders and representatives dealing in capital markets products that are **listed specified products** must **maintain a register of interests** in such products. They must:

- **i. enter into the register** particulars of the listed specified products **within 7 days** after the date of acquiring any interest;
- **ii. retain that entry in an easily accessible form for at least 5 years** after the date the entry was first made; and
- **iii. ensure a copy of the register is kept in Singapore**.

A relevant person shall keep the register **(for an individual)** at his **principal place of business** or **(for a corporation)** at **any of its places of business**. MAS may request copies or extracts of the register.

**"Listed specified products"** means specified products **listed for quotation, or quoted on an organised market operated by an approved exchange or a recognised market operator**.

## Exam cues

- **Base capital is classification-driven**, not activity-driven in the abstract. Learn the four tables: exchange-traded (5m/1m/1m/500k/50k), OTC (5m/5m/1m/500k), commodity futures only (1m/500k/500k/250k/250k), leveraged spot FX (5m retail / 1m non-retail).
- **The OTC retail distinction is critical**: a non-clearing member with **retail clients needs S5$million$ $*$ $*, doubletheS1$ million for non-retail. The exam tests whether you notice "with retail clients".
- **Board minimum is 2 members, at least one resident in Singapore**; the **CEO must be resident in Singapore**. Both are examinable numbers/conditions.
- **Each regulated activity needs at least 2 full-time individuals**, each appointed as a representative.
- **14 days** is the notification period for changes in the holder's particulars and for the Report on Misconduct of Representative; **7 days** is the representative's deadline to inform the principal of changed particulars; the principal then has **14 days** to tell MAS.
- **Ceasing for a continuous period of one month** without the principal notifying MAS **terminates** appointed-representative status — a specific trap.
- **Temporary representatives**: 6 months within any 24 months, each appointment **not more than 3 months**, must be an employee of a related entity. **Provisional**: 3-month grace period to complete examinations, with **3 years of relevant work experience** and prior regulation for at least 12 months.
- **Six CPD core hours in ethics or rules and regulations (or both), IBF-accredited, plus 3 supplementary hours** under SFA04-N22.
- **Product advertisements need the specific statement "This advertisement has not been reviewed by the Monetary Authority of Singapore."** and prior written approval under Reg 46AA with recorded reasons.
- **Non-product advertisements cannot claim a report, analysis or service is free** unless it genuinely is furnished in its entirety without condition, and cannot contain exaggerated statements exploiting inexperience.
- **Monthly statements are not required** where a clearing house already sent the information, where there was no change in the month, or for accredited/expert/institutional clients and related corporations with real-time electronic statements agreed or a written request not to receive them.
- **Quarterly statement required only when the last month of the quarter has no monthly statement sent** — March, June, September, December.
- **Contract note deadlines**: next business day after the transaction, or next business day after a deferred detail (such as a fixing price) becomes available.
- **OTC derivatives need only a confirmation** with five elements if no contract note is provided.
- **Books kept at least 5 years**, in **English**; accounts and auditor's report **lodged within 5 months of financial year end**.
- **Auditor's immediate report to MAS** on three triggers: material adverse effect on financial position, contravention of the SFA or an offence involving fraud or dishonesty, and irregularities materially

affecting accounts or jeopardising customer money or assets.

- **Retail customer moneys for OTC derivatives must go into a trust account**, and the holder must make **six specific disclosures** before depositing.
- **Withdrawals from trust accounts are limited to eight money purposes plus two asset purposes** (specified products lending under Reg 33 and mortgage/charge/pledge/hypothecation under Reg 34).
- **Daily computation must be completed before noon**, covering trust and custody totals, required deposits and the holder's residual interest, retained **5 years**.
- **Register of interests in listed specified products**: entry within **7 days**, retention **5 years**, copy kept **in Singapore**.
- **Trap:** commingling is permitted **for non-OTC** customer moneys and for moneys of different customers, but **retail customer moneys for OTC derivatives must be segregated in a trust account**, and the segregated-account option triggers a **cost and protection disclosure**.

# Market conduct for derivatives

**Learning objectives.** The candidate should understand:

- what constitutes market conduct and prohibited conduct;
- prohibited conduct in the capital markets, particularly in relation to derivatives trading;
- the various types of market conduct requirements and trading misconduct under the **Securities and Futures Act (SFA)** and the **Securities and Futures (Licensing and Conduct of Business) Regulations (SFR(LCB))**.

## 3.1 Introduction

MAS's aim, as regulator of financial institutions in Singapore, is a **sound and progressive financial services sector**, pursued through financial supervision and development of banking, insurance and the capital markets. Beyond supervising individual institutions to ensure they are financially sound, reputable and well controlled, one of MAS's objectives is to ensure **fair, efficient and transparent markets**.

To achieve fair, efficient and transparent markets, the rules governing the markets must be **clear and made known to all participants**, ensuring a **level playing field** and that risks are recognised, mitigated and controlled. MAS lays down **risk-focused rules** and places responsibilities on the **board of directors, senior management and qualified representatives** to deliver a fair, efficient and transparent market that operates with little fear of systemic failure.

All participants play a part in ensuring a fair, orderly and transparent market, and **any manipulation or market misconduct will be dealt with severely** by MAS and the approved exchanges — such as **SGX-DT, APEX and IFSG**. Regulators take a serious view of market misconduct and **heavy penalties** apply. A representative is expected to conduct himself **professionally, employing strict standards of honesty and integrity, placing his customer's interest first at all times**. The SFA stipulates penalties for misconduct and unprofessional trading practices.

## 3.2 Market misconduct under the SFA

A high standard of ethical conduct is expected of all participants in organised markets, covered by the market conduct rules under the **SFA and SFR(LCB)**.

**Territorial and extraterritorial reach.** The rules apply to acts occurring **in Singapore** with respect to any derivatives contracts, **whether listed or quoted in or outside Singapore**. Similarly, they apply to acts occurring **outside Singapore** with respect to derivatives contracts **listed or quoted on an organised market in Singapore** — that is, the rules have **extraterritorial reach**.

> **Example — market misconduct.** If a person sitting in **Japan** carries out transactions intending to manipulate prices of a counter listed or quoted on an approved exchange in Singapore, that act of price manipulation will be regarded as having taken place **in Singapore** for the purposes of market misconduct offences. Anyone found guilty faces a fine or imprisonment or both.

Practices giving an **unfair advantage** to certain customers over the general public are strictly prohibited, because they go against fair competition. The **severity of fines and imprisonment terms** reflects MAS's serious intention to deter market misconduct and ensure **personal liability**.

The SFA spells out the following as **prohibited market conduct** when dealing in derivatives contracts:

- **false trading and market rigging transactions**;
- **manipulation of price of derivatives contracts and cornering**;
- **market manipulation in relation to securities and securities-based derivatives contracts**;
- **false and misleading statements**;
- **bucketing**;
- **fraudulently inducing persons to trade in capital markets products**;
- **employment of fraudulent or deceptive devices**;
- **insider trading**; and
- **dissemination of information about illegal transactions**.

In addition, persons dealing in **securities-based derivatives contracts** must be aware of trading-related and market misconduct offences specific to those products, including **section 198** on market manipulation in relation to securities and securities-based derivatives contracts.

**Securities-based derivatives contracts** are any derivatives whose **underlying thing is a security or a securities index**. This includes:

- **futures and options on equity indices** — for example **SGX MSCI Taiwan futures** and **SGX Nifty Options** contracts listed on SGX-DT;
- other contracts based on securities price movements — for example **daily leverage certificates** and **structured warrants** listed on SGX-ST.

## 3.3 False trading and market rigging transactions

**False trading** is any form of transaction **not driven by a genuine investment objective**, but instead designed to **create the impression of greater market activity** or to **push prices away from current levels**. The intention is to delude others into sending orders into the market, from which the perpetrators attempt to profit.

False trading and market rigging transactions include:

- **i.** creating, or intending to create, an **appearance of active trading** in any capital markets product;
- **ii.** buying and selling **without a change in beneficial ownership** in capital markets products in order to **maintain, change or cause fluctuation** in the market price of such products;
- **iii.** doing anything that creates, or is likely to create, a **false or misleading appearance of active trading** or with respect to the market for or price of capital markets products, **if the person is reckless** as to whether the act would do so; or
- **iv.** creating transactions **intended to give a false and misleading appearance** with respect to the price or market of any capital markets products.

  **Example — no change in beneficial ownership.** Person A transfers title to shares to Person B with a **side arrangement** for B to hold them in trust for A, unknown to the brokerage. When B sells the shares, the proceeds actually go to A, because under the side arrangement the shares still belong to A. There has been **no change in beneficial ownership** — A owned the shares all along, so A had not in effect sold them, creating a false impression that ownership had changed hands and misleading the investing public.

The most common false trading practices are:

- **1. Hunting for stops.** A trader deliberately places **subsequently higher (or lower) bids (or offers)** into the market, effectively pushing the market up (or down), hoping the market price will move to a point where **stop-loss orders are triggered**. The trader either is already long and **takes profit as the buying momentum from triggered stops kicks in**, or goes short after the momentum kicks in, expecting the market to fall back.
- **2. Wash trades.** A trader enters into transactions either with **another collaborator** or using **different accounts he controls**, where there is **no real economic value** to the trade — done merely to **create the impression of volume**. In futures, the trader simultaneously accepts **buy and sell orders at the same price from a customer for the same contract month of the same futures contract**. For options, this would be a put or call with the **same underlying instrument, strike price and expiration month**.

## 3.4 Manipulation of prices of derivatives contracts and cornering

The prices of derivatives contracts should **not be manipulated away from fair value**. An example is where a trader deliberately enters orders to cause a **new "day high"** to be recorded, which then allows him to **trigger stops for other instruments that use that contract as a reference price**.

The SFA provides that no person shall, directly or indirectly:

- **i. manipulate or attempt to manipulate** the price of a derivatives contract traded on an organised market, or of any underlying thing which is the subject of such a contract; or
- **ii. corner, or attempt to corner,** any underlying thing which is the subject of a derivatives contract.

**Cornering** is another form of manipulation, achieved by **purchasing an underlying thing in such volumes that the manipulator gains a monopoly over it**. Control over its price follows, and **short sellers are left having to pay an inflated price to cover their positions**.

## 3.5 Market manipulation in relation to securities and securities-based derivatives contracts

In broad terms, **market manipulation** involves **intentional interference with the free forces of supply and demand** to deceive or defraud investors, or for other ulterior purposes. To prevent it, the SFA disallows any person from directly or indirectly **effecting two or more transactions** in securities or securities-based derivatives of a corporation if the transactions have the effect of **raising, lowering, maintaining or stabilising the price** of the securities or securities-based derivatives contracts of the corporation or a **related corporation**.

> **Example — market manipulation.** Person X executes trades using his own account and the accounts of a number of his clients **at prices above the previous traded price**, artificially maintaining or increasing the price of the security. Through **manipulative or fictitious buy orders** a **false market** was created. Person X faces disciplinary action and, on conviction, penalties for market misconduct.

## 3.6 False or misleading statements and information

Disseminating information or statements that are **false or misleading in a material particular** and likely to:

- **i.** induce the **subscription** of securities, securities-based derivatives contracts or CIS units by others;
- **ii.** induce the **sale or purchase** of securities, securities-based derivatives contracts or CIS units by others; or
- **iii. raise, lower, maintain or stabilise** the market price of securities, securities-based derivatives contracts or CIS units,

is strictly prohibited **if the person disseminating**:

- **a. does not care** whether the information or statement is true or false; or
- **b. knew or should have known** that it is false or misleading in a material particular.

Dissemination can take the form of **newsletters, research papers, electronic means, the media or word of mouth**.

CMS licence holders and representatives should not **knowingly, with intent**, make or publish statements, forecasts or promises that are false or misleading to induce others to deal. If a firm or representative **recklessly** does so through **wilfully concealing material facts** which are recklessly published, stored or recorded, they contravene the SFA.

## 3.7 Bucketing

**Bucketing** occurs when a broker, directly or indirectly, **takes the opposite side of a customer's order** with the aim of profiting from that order. It is prohibited under the SFA, which states that no person shall **knowingly execute, or hold himself out as having executed, an order** for the purchase or sale of a derivatives contract **without having effected a bona fide purchase or sale** of that contract in accordance with the business rules and practices of an organised market.

When bucketing is practised, **customer orders are not exposed to competitive bids or asks** on the approved exchanges. By preventing competitive execution, such practices **fail to give the customer the best price**.

> **Example — bucketing.** A broker receives an order to buy 1 contract of December gold futures at $1,400**.The market is **1,395 bid / $1,405 offer**.Instead of placing the order, the broker **withholds**it. When the market falls to **1,398 offer**, the broker tells the customer the order is filled at **$1,400**, while himself **buying at $1,398** and **pocketing the $2 difference**. Had the market risen instead, the broker would have told the customer the order could not be executed — when in truth it was never placed. The practice is very unfavourable to the customer.

CMS licence holders must obtain the **customer's prior consent** before **taking the opposite side of a customer's trade** (trading against the customer). Bucketing also violates the SFR(LCB) provisions on **withholding of orders** (Sections 3.13 and 3.14).

## 3.8 Fraudulently inducing persons to deal in capital markets products

Another common form of market misconduct is **circulating false information to fraudulently induce dealing** in capital markets products, done by:

- **i. knowingly making or publishing** any statement, promise or forecast that he **knows or should have known** to be false, misleading or deceptive;
- **ii. deliberately concealing material facts**;
- **iii. recklessly making or publishing** any statement, promise or forecast that is misleading, false or deceptive; or
- **iv. recording or storing** in any mechanical, electronic or other device **information he knows to be false or misleading in a material particular**.

> **Example.** A broker issues a research report **falsely stating** that a disease has destroyed major coffee plantations worldwide, that this will cause a shortage of coffee beans, and that coffee prices will therefore rise — causing readers to **purchase coffee futures**.

## 3.9 Employment of manipulative and deceptive devices

It is an offence for any person, directly or indirectly, in connection with any transaction involving the **subscription, purchase or sale of any capital markets product**, to:

- **i.** employ any **device, scheme or artifice to defraud**;
- **ii.** engage in any act, practice or course of business which **operates or is likely to operate as a fraud or deception** upon any person;
- **iii. make any statement he knows to be false** in a material particular; or
- **iv. omit to state a material fact** necessary to make the statements made, in light of the circumstances, not misleading.

An example of fraudulent practice is the **Madoff investment scandal** of late 2008, perpetuated by securities broker and former NASDAQ chairman Bernard Madoff, who operated a large **Ponzi scheme** involving securities fraud resulting in alleged losses of **at least US$17 billion** when the scheme collapsed.

It is not possible to define all the devices perpetrators may employ, so the SFA provides a **general catch-all provision** for such devices.

## 3.10 Insider trading

**Insider trading** refers to trading by persons who have **privileged or confidential information about important events** — such as earnings information — using that knowledge to **reap profits or avoid losses** in the securities or securities-based derivatives market.

Persons with such information **must not enter into transactions in instruments that will be impacted**, and **must not communicate the information to other parties**. Insider trading occurs in derivatives as well as securities markets, and is detrimental both to the source of the information and to other parties without the advantage.

**Inside information** is information **not generally available** which, if known, **would, or would be likely to, have a material effect on the price or value** of securities, securities-based derivatives contracts or CIS units. A reasonable person is taken to expect information to have a material effect if it is **likely to**

**influence persons, or a class of persons, who commonly invest** in deciding whether to buy, subscribe for or sell.

Information is **"generally available"** if:

- **i.** it consists of **readily observable matter**;
- **ii.** without limiting (i):
  - **a)** it **has been made known** in a manner that would, or would be likely to, **bring it to the attention of persons who commonly invest** in products of a kind whose price or value might be affected; **and**
  - **b)** since it was made known, a **reasonable period for it to be disseminated** among such persons has elapsed; or
- **iii.** it consists of **deductions, conclusions or inferences** made or drawn from (i) and (ii)(a).

**"Persons who commonly invest"**, in relation to investment in any kind of securities, securities-based derivatives contracts or CIS units, means **a section of the public accustomed, or likely, to deal in capital markets products of that kind**. MAS has issued guidelines on interpreting this concept (**SFA 12-G01**).

> **Example — insider trading.** In early **2014**, Mr Tan, a former staff of Company A, was fined **S**$2.9 million** by MAS under the SFA for insider trading and employing deceptive devices. From 2007 to 2008 Mr Tan was a *Catalist** *. While in possession of ** non-public, materially price-sensitive information ** about a proposed takeover, he used securities trading accounts belonging to ** Mr Yap ** on ** three occasions ** to buy a total of **2.65 million shares ** for his own benefit, making a profit of ** more than **S$50,000**. The takeover was subsequently withdrawn and the share price tumbled **70%**. Again, in possession of non-public information about the withdrawal, he used Mr Yap's accounts to sell about **7.1 million shares**, avoiding a loss of about **S**$1.1 million ** . For these insider trading offences a ** civil penalty of **S$2,865,415** was imposed. It was also ruled that his actions had **deceived Mr Yap's broker** into believing the transactions were for Mr Yap's benefit, which constituted **using manipulative and deceptive devices**; for that offence he was fined **S**$100,000**. Separately, Mr Yap admitted contravening the SFA by allowing Mr Tan to use his accounts and ** paid **S$50,000** to MAS.

#### 3.10.1 Exceptions and defences

There are specific situations where persons with privileged information can transact without being guilty of insider trading.

**Exceptions** The following are **not** insider trading:

- **i.** the **redemption of units** by trustees or managers of a collective investment scheme, subject to conditions (**section 222**);
- **ii.** persons acting as **underwriters** pursuant to the performance of their roles (**section 223**);
- **iii.** purchase or sale pursuant to **legal requirements**, such as written law or court order (**section 224**);
- **iv.** price-sensitive information **communicated pursuant to legal requirements** (**section 225**);
- **v.** knowledge by virtue of a **natural person's own transactions** (**section 228**); and
- **vi.** knowledge of a **corporation's own transactions** (**section 229**).

**Defences** Effective defences against insider trading charges (**section 231**) are:

- **i.** the information **had been made known** in a manner that would, or would be likely to, bring it to the attention of persons who commonly invest in the affected products;
- **ii.** the **counterparty knew, or ought reasonably to have known, of the information** before entering into the transaction.

The nuances are complex. If unsure whether you possess insider information, **check with your compliance department**. Most financial institutions require employees to **seek approval from managers** before transacting in instruments that might be affected.

### 3.11 Dissemination of information about illegal transactions

Since the manipulative devices above each create **artificial market conditions**, the **dissemination of information that such illegal transactions are taking place or will take place** can have an equally

deleterious effect. Persons aware of such transactions can seek to take advantage of the expected market movements **without themselves carrying out the fraud**.

Their entry into the market can **exacerbate** the artificial conditions, or itself **create** the desired artificial conditions. Such an effect can assist market manipulators, and the method can be used **either in conjunction with the illegal transactions to boost the effect, or to create the effect without actually engaging in the illegal transactions**.

Accordingly, it is an offence to be involved, **directly or indirectly**, in the **circulation or dissemination of any information about illegal transactions**.

> **Example.** Person Z directs Person A to use **deceptive methods** to influence the price of a corporation's securities, knowing the actions will move the price in a certain direction. Person Z then **informs others** of the possible outcome so they can benefit, and **expects a cut of the profits** those others make from the price movements. It is an offence if such transactions have an impact on price and the person either effected the transaction or **expected to derive a benefit** from disseminating the information.

## 3.12 Non-disclosure of orders

Under the SFR(LCB), CMS licence holders and representatives must keep information regarding **customers' orders confidential**. **Regulation 47(2)** states that such a person shall not divulge information relating to a customer's order unless the disclosure is:

- **i. necessary for the effective execution** of the order;
- **ii. permitted under the rules** of the relevant approved exchange, recognised market operator, approved clearing house or recognised clearing house; or
- **iii. required by MAS** under the SFA or SFR(LCB).

## 3.13 Withdrawal and withholding of orders

CMS licence holders and representatives trading in capital markets products **shall not withhold or withdraw from an organised market any order**, or any part of a customer's order, **for their own benefit or to benefit any other person** (**Regulation 47(1)**).

## 3.14 Trading against customer orders

CMS licence holders **shall not knowingly enter into a transaction to buy from or sell to its customer any futures contract** for:

- **i.** the CMS licence holder's **own account**;
- **ii.** an account of a **person associated with or connected to it**; or
- **iii.** an account in which the CMS licence holder **has an interest**,

**except with the customer's prior consent** and in accordance with the business rules and practices of an approved exchange or recognised market operator (**Regulation 47C(1)**).

## 3.15 Front running and priority of customer orders

**Front running** occurs when trading representatives make **favourable trades for themselves based on advance knowledge of a client's orders**. Because client order information is **non-public and known only to the respective traders** acting for their clients, such practices are a form of **trading on insider information**. The SFR(LCB) therefore has provisions ensuring priority of customers' orders.

CMS licence holders and representatives shall **not enter into a transaction for the purchase or sale** of capital markets products permitted to be traded on an approved exchange or recognised market operator **if a customer who is not associated with or connected to that person has instructed that person to purchase or sell** capital markets products of the same class, **and the holder or representative has not complied with the instruction** (**SFR(LCB) 44**).

## 3.16 Cross trades

A **cross trade** means the **simultaneous matching of buy and sell orders executed for different account owners**. CMS licence holders shall not knowingly fill or execute a customer's order for the purchase

or sale of a futures contract on an organised market by **off-setting against the order(s) of any other person** without effecting such purchase or sale either:

- **i.** through an **electronic futures trading system**; or
- **ii.** in accordance with the **business rules and practices** of an approved exchange or recognised market operator (**SFR(LCB) 47D**).

> **Example 1 — cross trades.** Contract: **NK225 Futures**, tick size **5 points**. Existing bid **11710**; existing offer **11740**; last traded price **11740**. The Approved Trader receives **buy and sell orders at the same time at 11715**. The Approved Trader **can expose either the buy or the sell order first**. **Reason:** both prices are better than the prevailing 11710 bid and 11740 offer respectively.
>
> **Example 2 — cross trades.** Existing bid **11710**; existing offer **11740**; last traded **11740**. The Approved Trader receives buy and sell orders **at the same time and price 11740**. The Approved Trader **shall expose the buy order first**. **Reason:** the buy order is more attractive than the sell order because there was an **existing 11740 offer waiting to be lifted**.
>
> **Example 3 — cross trades.** No existing bid; no existing offer; last traded **11740**. The Approved Trader receives buy and sell orders **at the same time and price 11715**. The Approved Trader **shall expose the sell order first**. **Reason:** the sell order has the more attractive price, because the opposite trader who **lifts the offer** buys at a price **lower than the last traded 11740**; conversely, the buy order has a less attractive price, because the opposite trader who **hits the bid** sells at a price lower than 11740.

## 3.17 Churning

**Churning** involves **executing as many trades as possible for a customer**, even when there are **no sound opportunities in the market**, with the sole purpose of **increasing the volume of trades executed** so as to **bill the customer for more commissions**.

## 3.18 Overtrading

CMS licence holders and representatives are **prohibited from executing trades or maintaining derivatives positions which would breach limits** imposed by their sponsoring members, the approved exchanges, clearing houses or regulatory authorities. They are also **responsible for maintaining customers' positions within the prescribed limits**. On any breach of limits or overtrading, approved exchanges or clearing houses may **notify their members**, and **appropriate steps must be taken to reduce positions in excess of the limits**.

## 3.19 Pre-arranged trades

**Pre-arranged trading** is the act of buying or selling derivatives products occurring **between traders, dealers or brokers at an agreed or predetermined price**. It is considered a form of market misconduct because it **violates the principle of fair and transparent markets**, allowing selected participants to benefit from their own **premeditated prices and trades**.

## 3.20 Penalties for misconduct under the SFA

Trading Members, CMS licence holders and their representatives are bound to **immediately report any suspicion of attempted market manipulation, false trading or insider trading** to **MAS and the respective approved exchanges**.

Any contravention of the market conduct rules results in:

- **criminal penalties**;
- **civil penalties**;
- **civil liabilities, financial and reputational loss**; and
- **suspension, loss of licence or de-registration** from public registers.

### 3.20.1 Criminal and civil penalties

Market misconduct offences are **criminal** and carry heavy penalties, **including fines or imprisonment or both**. In addition to criminal penalties, the CMS licence holder or representative may face **civil action brought by MAS in court**.

### 3.20.2 Civil liabilities, financial and reputational loss

Beyond criminal and civil penalties, an offending CMS licence holder or representative may be **liable to compensate any person who**:

- **i.** had entered into **similar trades at the time of the offence**; and
- **ii.** had **suffered market losses due to the effects of the offence**.

This is in addition to the possibility of **further lawsuits from market players** for losses incurred, apart from those contemplated under the SFA. Such actions may require damages to be paid, causing financial loss. **Reputational loss**, including loss of customers' confidence, is a likely knock-on effect. Further, the firm's licence or the representative's registration may be **suspended or revoked** depending on the severity of the offence.

## Exam cues

- **The rules have extraterritorial reach in both directions**: acts in Singapore affecting derivatives wherever listed, and acts abroad affecting derivatives listed in Singapore. Section 196 is the application provision.
- **Securities-based derivatives contracts** have a security or securities index as the underlying — SGX MSCI Taiwan futures, SGX Nifty Options, daily leverage certificates, structured warrants.
- **False trading has four statutory limbs**; the fourth covers creating transactions intended to give a false appearance as to price or market.
- **Wash trades** are executed with a collaborator or through controlled accounts with **no real economic value**; the options formulation requires the **same underlying, strike and expiration month**.
- **Cornering is distinct from price manipulation**: it is acquiring a **monopoly over the underlying thing** so that shorts must pay an inflated price to cover.
- **Bucketing is executing or claiming to execute a customer's order without a bona fide market transaction** — the classic illustration is the gold futures order filled at $1,400 against a $1,398 market, with $2 pocketed.
- **Insider trading requires information that is both not generally available and materially price-affecting.** "Generally available" includes readily observable matter, properly disseminated information after a reasonable period, and deductions or inferences from those.
- **Six statutory exceptions** (ss 222–225, 228, 229) and **two defences** (s 231) — note that knowledge of one's **own** transactions, personal or corporate, is an exception rather than a defence.
- **Withholding or withdrawing a customer's order for your own benefit is prohibited** (Reg 47(1)); **trading against the customer requires prior consent** (Reg 47C(1)).
- **Front running** rests on **priority of customers' orders** (SFR(LCB) 44) — it is treated as a form of trading on insider information.
- **Cross-trade exposure order matters**: where both orders are better than the prevailing quotes either may be exposed first; where both are at the existing offer price, expose the **buy** first; where there is no bid or offer and both are below the last traded price, expose the **sell** first.
- **Churning** = volume for commissions with no sound market opportunity. **Overtrading** = breaching position limits, including clients' positions.
- **Pre-arranged trades at a predetermined price** are prohibited as contrary to fair and transparent markets.
- **Reporting duty on suspicion** runs to **MAS and the approved exchange** — immediately.
- **Four consequence categories**: criminal penalties, civil penalties, civil liability with financial and reputational loss, and suspension or loss of licence or registration.
- **Trap:** bucketing is often confused with cross trading. Bucketing involves **no bona fide market transaction at all**; a cross trade is a **real** match of two genuine orders that must comply with exposure rules.

# OTC derivatives

**Learning objectives.** The candidate should be able to:

- understand what over-the-counter (OTC) derivatives are;
- describe the regulatory regime for dealing in OTC derivatives;
- understand general practices for dealing in OTC derivatives.

## 4.1 Overview of over-the-counter derivatives

OTC derivatives are typically traded through a **decentralised network** — for example via a dealer — as opposed to being traded on a central exchange such as **Singapore Exchange Derivatives Trading Ltd (SGX-DT)**, **Intercontinental Exchange Futures Singapore Pte Ltd (IFSG)** or **Asia Pacific Exchange Pte Ltd (APEX)**.

Two consequences follow from the absence of an exchange:

- Unlike on a regulated exchange, the **price of an OTC derivative is not necessarily publicly published** for an OTC trade.
- The risks relating to OTC derivatives are generally viewed as **opaquer** than those of exchange-traded contracts, because of the **bilateral counterparty risk** within these trades — a counterparty may default before the contract expires and fail to make the required payments.

### 4.1.0 How counterparty risk is mitigated

OTC derivatives can be **sent to clearing houses for clearing and settlement**. The clearing house then acts as a **central counterparty (CCP)** to the trade — it interposes itself as buyer to the seller and seller to the buyer. In the event of a default, the buyer or seller faces the **clearing house's credit risk**, which is backed by **safe amounts of margin and a mutualised default fund**.

**Singapore Exchange Derivatives Clearing Ltd (SGX-DC)** provides CCP services for OTC commodity and OTC financial derivatives trades for a global participant base.

### 4.1.1 Common OTC derivatives contracts

The named instruments are **interest rate swaps (IRS)**, **non-deliverable interest rate swaps (NDIRS)**, **cross-currency swaps (CCS)**, **forward rate agreements (FRA)** and **commodity swaps**.

| Instrument | Description |
|---|---|
| **Interest Rate Swaps (IRS)** | An agreement between two counterparties in which a stream of fu |
| **Non-Deliverable Interest Rate Swaps (NDIRS)** | A currency swap between major and minor currencies that is not |
| **Cross-Currency Swaps (CCS)** | An agreement between two counterparties to swap interest payme |
| **Forward Rate Agreement (FRA)** | An OTC contract between two counterparties that determines th |
| **Commodity Swaps** | An agreement between two counterparties to exchange cash flows |

Examples of OTC products cleared by SGX-DC:

- **IRS — SGD.**
- **NDIRS — THB, MYR.**
- **Commodity swaps — iron ore, rubber, freight forward agreements, coking coal, petrochemicals, oil, gas.**

### 4.1.2 Trade repositories

In **2013** MAS implemented regulatory regimes for **OTC derivatives clearing facilities and trade repositories**. **DTCC Data Repository (Singapore) Pte Ltd** established the first local trade repository and was approved by MAS as a **licensed trade repository**. It enables reporting of OTC derivatives trades and is an important market infrastructure for improving **regulatory oversight and transparency** of the Singapore OTC derivatives market.

#### 4.1.3 Differences from the exchange-traded securities market

There are several differences between the traditional securities market traded on an exchange and the OTC derivatives market, including the roles intermediaries play.

- **i. Clientele.** Unlike the securities market, the OTC derivatives market is populated with **more sophisticated and institutional players**, with little participation from retail traders.
- **ii. Relationship with clients.** In a purchase of a share or futures contract, the obligations between an intermediary and a client are **largely discharged after the trade is completed** and positions are closed out. For OTC derivatives the intermediary's obligations with its counterparty **may last for several years**, depending on the length of the contract.
- **iii. Standardisation.** Securities markets are largely **standardised**, with regulations and procedures supporting trading and clearing facilities. The OTC derivatives market is **not centrally cleared** and consists mostly of **privately negotiated** transactions between two counterparties, and the contract terms may not always be **documented properly and wholly**.
- **iv. Brokering.** A broker on a traditional exchange earns commissions by **bringing together buyers and sellers** licensed to trade within the exchange. **Inter-dealer brokers** facilitate trades **between major dealers** buying and selling OTC derivatives products.

### 4.2 Regulatory regime for dealing in OTC derivatives

In the wake of the **Global Financial Crisis in 2008**, MAS improved regulation of the OTC derivatives market to meet the objectives set by the **G20 and the Financial Stability Board**. The SFA has seen several changes:

- **i.** Introducing a new regulatory regime for **trade repositories**.
- **ii. Extending** the regulatory regimes for market operators, clearing facilities and capital markets intermediaries **to the OTC derivatives markets**.
- **iii. Mandating central clearing and reporting** of certain OTC derivatives contracts.

Intermediaries dealing in OTC derivatives contracts are required to hold a **CMS licence** to deal in capital markets products.

#### 4.2.0 The reporting regime

The SFA and the **Securities and Futures (Reporting of Derivatives Contracts) Regulations** ("SFR(RDC)") provide for a reporting regime for specified derivatives contracts. Under **Part 6A of the SFA** on Reporting of Derivatives Contracts, a **"specified person"** who is a party to a specified derivatives contract must report prescribed information to either a **licensed local trade repository** or a **licensed foreign trade repository**.

**Specified persons** include:

- banks;
- bank subsidiaries;
- merchant banks;
- finance companies;
- insurers;
- **CMS licence holders**.

The following derivatives contracts, **provided they are traded or booked in Singapore**, are prescribed under **Regulation 5 of the SFR(RDC)** as specified derivatives contracts for the reporting regime:

- **interest rate** derivatives contracts;
- **credit** derivatives contracts;
- **foreign exchange** derivatives contracts;
- **commodity** derivatives contracts;
- **equity** derivatives contracts.

#### 4.2.1 Clearing of OTC derivatives contracts

**Section 129C of the SFA** states that every specified person who is a party to a **specified derivatives contract** must **clear** such contracts with an **approved or recognised clearing house**.

"Specified derivatives contract" means any derivatives contract that is, or belongs to a class that is, **prescribed by MAS under the Securities and Futures (Clearing of Derivatives Contracts) Regulations**.

#### 4.2.2 Reporting of information

The information that must be reported, as stated in the **First Schedule to the SFR(RDC)**, includes information pertaining to:

- the **contract**;
- the **counterparty**;
- **clearing**;
- other **transactional data**.

## 4.3 SGX-DC clearing rules for OTC derivatives

The main type of OTC derivative that SGX-DC clears is **OTC commodity derivatives** — for example iron ore swaps and rubber swaps.

OTC commodity derivatives are covered by the definition of **"Non-Relevant Market Contracts"** under the SGX-DC Clearing Rules.

#### 4.3.1 General requirements

- OTC commodity contracts are registered through the **Titan OTC** system.
- Clearing members must **post margin** on contracts at rates prescribed by SGX-DC.
- Clearing members must **procure initial margin from their customers** and **ensure customers comply with maintenance margin** requirements.
- **Variation margin** may need to be paid to SGX-DC to account for **mark-to-market differences** in the contracts.
- The **same requirements** apply to clearing members' **proprietary trades**.
- Members may at their discretion set **higher margin rates or requirements** than the Clearing House rules.
- Members must **review their internal rates and requirements on a continual basis** to ensure compliance.

## 4.4 Risk disclosure

CMS licence holders dealing in **futures contracts**, **OTC derivatives contracts with currency or a currency index as underlying**, or **leveraged FX contracts**, must furnish a **risk disclosure document** to clients **before the setting up of their accounts** (Regulation 47E of the SFR(LCB) — Risk Disclosure by Certain Persons).

CMS licence holders must also furnish a **risk warning statement** to clients and **obtain their acknowledgement** before executing trades in **overseas-listed investment products** (MAS Notice on Sale of Investment Products, SFA 04-N12).

It is essential that investors and counterparties **fully understand the risks** of the product they are dealing with. Where MAS does not intend to prescribe the form of risk disclosure for all OTC derivative contracts, CMS licensees may rely on **established industry standards**. For instance, the **ISDA Dodd-Frank Disclosure documents** can be used if the firm has assessed that they **meet the MAS risk disclosure requirements**. Examples of MAS risk disclosure statements are **Form 13** and **Form 14**.

## 4.5 General OTC derivatives dealing practices

There is **no standardised procedure** for dealers and brokers to conduct OTC derivatives trades. However, the **Singapore FX Market Committee** has provided guidance on the conduct of dealing in OTC derivatives, in **Chapter IX (OTC Derivatives Dealing Practices) of "The Singapore Guide to Conduct and Market Practices for the Wholesale Financial Markets"** — also known as **"The Blue Book"**.

#### 4.5.1 Dealing procedures

- **All material terms must be stated clearly**, with **no ambiguity** over those terms.

- Unless otherwise provided by an applicable broker agreement, the **principal should specify to the broker** where a transaction involves **less than the minimum dealing amount**.
- The information must be given **early to the broker** where a principal is **unable to deal with another principal on the ground of an insufficient credit limit**.
- Principals, brokers and other relevant parties should follow an **established confirmation format and terminology** to reduce misunderstanding.

#### 4.5.2 Standard documentation

One available format is the **ISDA Master Agreement** (or similar templates developed by industry bodies such as the **Futures Industry Association**). The ISDA Master Agreement outlines standard terms to be applied to a derivatives transaction between two parties. Among other things, these terms include provisions relating to:

- **governing law**;
- **conditions precedent**;
- **netting**;
- **undertakings**;
- **events of default**;
- **termination**.

The Master Agreement is **open for negotiation** between the parties and its terms can be **customised** to suit their circumstances.

The Master Agreement can be supplemented with **credit support documents**, which deal with the **treatment of collateral provided between the parties**. This may be appropriate where:

- transactions involve parties with **very different credit ratings**, giving rise to significant counterparty risk; or
- **collateral is provided to cover potential exposure**.

Parties should pay particular attention to the **governing law** employed in the credit support documents — **English, New York or Japanese law** — because **the manner in which collateral is transferred may differ significantly** between them.

#### 4.5.3 Settlement of differences

Where a **broker is unable to substantiate its quotation** and a difference is payable to the principal, the broker should **close the OTC derivatives product at the next available price** and **settle the difference with the principal** — for example by issuing a cheque for that amount.

## Exam cues

- **Reporting versus clearing are different obligations.** Reporting under **Part 6A of the SFA** and the SFR(RDC) goes to a **trade repository**; clearing under **section 129C** goes to an **approved or recognised clearing house**.
- **"Specified person" is a closed list** — banks, bank subsidiaries, merchant banks, finance companies, insurers and CMS licence holders. Retail clients are not specified persons.
- **Five prescribed asset classes report**: interest rate, credit, foreign exchange, commodity and equity derivatives — and only if **traded or booked in Singapore**.
- **The reporting content is set by the First Schedule to the SFR(RDC)**: contract, counterparty, clearing and other transactional data.
- **SGX-DC clears OTC commodity derivatives** as **"Non-Relevant Market Contracts"** through **Titan OTC**; financial OTC derivatives are within SGX-DC's CCP service but the clearing rules in §4.3 address commodities.
- **Members may set margin above the Clearing House minimum** but must **review continually** — the discretion is not a licence to under-margin.
- **Form 13 is the derivatives risk disclosure**; **Form 14 is the overseas-listed product risk warning**. The account-opening disclosure (Reg 47E) applies to futures, currency/currency-index OTC derivatives and leveraged FX.
- **The Blue Book** (Singapore Guide to Conduct and Market Practices for the Wholesale Financial Markets), Chapter IX, is the source of OTC dealing practice guidance — not a statute.

- **Six ISDA Master Agreement heads of term** are examinable: governing law, conditions precedent, netting, undertakings, events of default, termination.
- **Governing law in the credit support document matters** because collateral transfer mechanics differ — a favourite distractor.
- **Trap:** a CCP **reduces** bilateral counterparty risk but **replaces it with clearing-house credit risk**, and adds margin calls and default-fund contributions. It does not eliminate risk.
- **Trap:** the broker that cannot substantiate a quotation must **close at the next available price and settle the difference** — not simply cancel the trade.

# Ethics, codes and standards of professional conduct for derivatives dealing

**Learning objectives.** The candidate should be able to:

- define ethical behaviour in the context of capital markets transactions, namely derivatives trading;
- explain the importance of ethical behaviour;
- recognise and interpret ethical issues arising from ethical dilemmas in the capital markets environment;
- apply the ethical framework to resolve ethical dilemmas;
- define and describe professional ethics and ethical expectations for representatives engaged in derivatives trading;
- recognise and use the codes of ethics and standards of professional conduct as guidelines to best practice in derivatives trading;
- recognise and use the professional codes of conduct relevant to derivatives trading — the **Singapore Foreign Exchange Market Committee's Singapore Guide to Conduct and Market Practices for the Wholesale Financial Markets**, and the **Bank for International Settlements' FX Global Code**;
- demonstrate the professional ethical standards expected of derivatives trading representatives;
- recognise and demonstrate recommended procedures for compliance in the context of derivatives trading;
- recognise and apply best execution practices in the context of derivatives trading.

## 5.1 Introduction

This chapter provides guidance to professionals in understanding ethical principles and issues when faced with dilemmas as derivatives traders. Representatives must know the relevant professional codes and standards applicable to derivatives trading, and be aware of the professional and ethical behaviour expected in dealings with clients and other market participants.

Representatives must appreciate the importance of doing business ethically because their **professional and personal conduct can have wider repercussions on the financial markets and the business ecosystem**. By applying the relevant ethical frameworks, derivatives traders can evaluate potential ethical conflicts and seek practical solutions. Ethical frameworks can instil awareness and vigilance so that practitioners make decisions and execute transactions **with integrity and professionalism**.

### 5.1.1 Definition of ethics for the derivatives trading industry

A general definition of **unethical behaviour** is *performing an act which falls outside the boundaries of what is considered morally right for the individual, professional community or industry.*

The **CFA Institute** defines ethics in its Code of Ethics and Standards of Professional Conduct as *"a set of moral principles or rules of conduct that provide guidance for one's behaviour when it affects others".*

The dictionary defines ethics as:

- **i.** a system of moral principles; or
- **ii.** a complex framework of moral precepts held, or rules of conduct followed, by an individual.

Everyone's moral fabric differs and is influenced by **education, culture, and spiritual or religious beliefs**. Ethics **goes beyond regulations and the law**, and can be described simply as *"doing the right thing even when no one is looking, to prevent hurting others."*

### 5.1.2 The importance of ethics

Unethical behaviour by individuals not only affects their own lives and careers but can also:

- **damage investors' confidence**;
- **erode public trust**; and
- in severe cases, **lead to market contagion**.

Unethical practices — creating a **false market** or **cornering a specific stock**, **Ponzi schemes**, **misselling of sub-prime bonds**, **accounting fraud**, **market manipulation** and **insider trading schemes** — have destabilised markets. Such destabilisation is **not always contained within domestic markets** but can spread globally. Financial markets have become more interconnected through cross-border investment flows and the international distribution of financial products developed in one domestic market and sold to investors in other regions.

Well-functioning financial markets allow capital to flow efficiently to places with the most attractive investment prospects and returns. Efficient capital markets enable the matching of **borrowers/issuers** seeking capital to grow their business with **investors** seeking to grow wealth by directing funds into assets generating positive returns. For both parties' needs to be served, **fair and transparent market mechanisms** must be in place.

Financial markets depend on a **solid ethical foundation** to guide the behaviours and actions of participants. It is therefore important to instil the right ethical values so that professionals are aware of their responsibility to **protect the integrity of the financial ecosystem, putting the wider interests of society and markets before their own**. In light of numerous acts of misconduct and scandals in recent years, governments and regulators have introduced reforms to combat unethical and destabilising behaviour.

## 5.2 The ethical framework

Significant codes and standards of professional conduct are **embedded within rules and regulations** as discussed in Chapters 2 to 4. Most codes of ethics serve as **guidance for best ethical or industry practice** behaviours. When codes are violated and the relevant laws and regulations are not enforced, acts of misconduct can result in **penalties** being imposed on individual representatives and their firms, and they may be subject to **civil and criminal liabilities**.

The key to resolving ethical dilemmas relies on the **sound individual judgement** of representatives — to do the right thing in grey areas or where they face temptations seemingly too good to resist. An ethical framework can serve as a good foundation, and organisations can adopt such a framework to create a **positive and supportive workplace culture**.

The ethical framework has **four components** — Understand, Analyse, Execute, Serve — operating around the objective of serving clients' best interests:

**The main objective is always to serve the best interests of the client with integrity.** This means understanding the specific products thoroughly, analysing all the risks involved, and executing solutions efficiently to fulfil the client's wishes.

- **1. Understanding and comprehension.** Representatives should have **full comprehension of the investment product** they handle, including the risks involved and whether it is suited for recommendation to the client. The client's **investment profile and risk tolerance** should also be taken into account in assessing suitability.
- **2. Analyse risks.** The risks associated with the investment product must be covered in detail and highlighted to the client wishing to invest. Representatives should ensure these risks are **aligned within the risk tolerance of the client's portfolio**.
- **3. Execute solutions.** Upon formulating and executing solutions, representatives should ensure the **transaction and execution process is smooth and efficient** — and, most importantly, **transparent and carried out in a fair manner**.
- **4. Serve clients.** Representatives should do their utmost to serve clients with **integrity** and act in their **best interest** within the framework of rules and regulations. They should **never place their own self-interest over that of the client**.
- **5. Safeguarding reputation.** In assessing feasibility and executing a transaction, representatives should work **objectively and professionally**, recognising that the reputation of their employer and the integrity of the industry could be undermined by unethical behaviour.

### 5.2.1 Why people engage in unethical behaviour

**External factors** can influence an individual's actions and result in unethical conduct. An example is where a **client puts pressure** on the representative to act in a way that violates the firm's ethical rules or the

industry code of conduct, or worse, circumvents prescribed rules. The representative may feel pressured because refusing could mean **loss of the current deal** or diminished future business.

**Internal factors** also contribute:

- **Lack of understanding, experience or proficiency, or misinterpretation of rules.** This could stem from inadequate skills or knowledge, **lack of proper supervision**, or a combination of both.
- **Deliberate acts driven by desire for financial gain**, or for a non-financial benefit such as **recognition or a position of personal or professional advantage**. Seeking the desired outcome overrides ethical and moral considerations, justifying any means to achieve the end.
- **Pressure from one or more colleagues.** This arises where there is an intense push to trade and generate commissions even when not in the client's best interests. A representative may succumb to influence from peers or seniors to conform, **especially if junior**. This should not be discounted, particularly if the organisation has a **weak ethical and workplace culture**.

### 5.2.2 Preparing to understand the ethical role

To reinforce ethical thinking and action, representatives should be familiar with ethical frameworks. There are **six main steps**:

- **i. Putting clients' interests first** — ensuring the client's needs and interests take priority over self; balancing personal growth against the benefit of the capital markets and financial system.
- **ii. Emphasising integrity, competence, diligence and respect** — ensuring no conflict of interest and abstaining from acting for the client when conflicted; observing applicable laws and regulations and complying with the employer's **gifts and entertainment policies**; attending training when **new products** or **new rules** are introduced; ensuring charges, commissions and expenses are **fair, transparent and clearly communicated**.
- **iii. Exercising care and independent professional judgement** — understanding products and risks before recommending; understanding clients' needs, financial goals and risk appetite before recommending; providing **factual information** and explaining different scenarios; observing **best execution** and priority of clients' orders above self-interest.
- **iv. Building trust with clients and respecting market conduct rules** — observing **secrecy and confidentiality** of client data; **proper handling of clients' funds and assets**; communicating **transparently** and providing information throughout the life of the product; observing **internal controls**; building a strong trusting client/professional relationship; observing **complaints handling** procedures; observing **whistleblowing** channels.
- **v. Disassociating oneself when that is the ethical thing to do** — exercising **objectivity** and refraining from taking sides; demonstrating professionalism in executing the transaction; advising the client to **reconsider strategy** if the transaction would impact the market.
- **vi. Seeking guidance from compliance and legal** whenever in doubt — engaging in frequent communication with supervisors on applicable codes; approaching the relevant parties for assistance; ensuring transactions are always within the **compliance and legal rules** set by the relevant authorities.

## 5.3 Ethical dilemmas

### 5.3.1 What are ethical dilemmas?

Ethical dilemmas are situations where an individual must decide whether to carry out an action that runs **contrary to his own ethical standards, rules and regulations, or the provisions of a professional code of conduct**. They can take various forms — **conflicts of interest, confidentiality issues**, or even something **fraudulent and illegal**.

If you think something might be unethical, consider the **relevant factual evidence**, the **ethical issues involved**, and assess whether any **violations** have been committed. When identifying potential dilemmas, always refer to the core code of ethics and standards in Section 5.4.

> **Example — an ethical dilemma.** John, a trading representative, is under heavy pressure from his superiors to meet his commission target. He is working with a client he believes can land him a huge transaction whose commissions would more than meet the target. To increase the chance of closing, he can recommend investment products he **knows are unsuitable for the client in terms of risk**. John knows this is unethical; but if he does not close the deal he will not meet his target and may be fired. This is an example of an **obvious ethical dilemma**. Section 5.6 shows how John can apply the ethical framework to resolve it.

### 5.3.2 Identifying potential ethical dilemmas

Representatives must be **vigilant and alert** to situations where compliance with the organisation's and individual's core ethical values is threatened. Any identified threat should be **evaluated and managed swiftly** to reduce or eliminate the potential conflict. The threats typically arise due to:

- **Self-interest** — a personal interest (e.g. monetary benefit) that could negatively affect the representative's behaviour or judgement.
- **Self-review** — lack of objectivity in analysing recommendations or professional actions, due to an inherent bias favouring and approving one's own work. A **more holistic review and feedback process involving others** is needed to ensure checks and balances.
- **Influence** — being influenced by individuals or groups (e.g. clients, superiors or departments), bearing on judgement, quality of decisions and ultimately behaviour.

Representatives must be attentive in order to identify ethical issues encountered during their work. With greater awareness they should assess the **underlying root causes** of their own dilemmas and resolve them decisively. Further examples appear in Section 5.6.

## 5.4 Professional ethics, codes and standards of professional conduct for derivatives trading

**Professional ethics** is a set of behaviour and conduct expected of representatives in a particular industry. Capital markets representatives should be guided by the spirit of the following code of ethics:

- **i.** Act with **integrity, competence, diligence and respect**, and in an ethical manner, with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets.
- **ii.** Place the **integrity of the investment profession and the interest of clients above personal interests**.
- **iii.** Use **reasonable care and exercise independent professional judgement** when conducting investment analysis, making recommendations, taking investment actions and engaging in other professional activities.
- **iv. Practise and encourage others** to practise in a professional and ethical manner that reflects credit on themselves and the profession.
- **v. Promote the integrity and viability of the global capital markets** for the ultimate benefit of society.
- **vi. Maintain and improve professional competence** and strive to maintain and improve the competence of other investment professionals.

All professionals in the capital markets ecosystem are expected to comply with these basic principles as well as the ethics and codes of their respective sub-industry.

For representatives dealing in derivatives contracts, two codes of conduct are relevant:

- **The Singapore Guide to Conduct and Market Practices for Wholesale Financial Markets ("The Blue Book")**; and
- **The FX Global Code**.

### 5.4.1 Standards of professional conduct

**5.4.1.1 Professionalism** **(i) Knowledge of the law.** Representatives must understand and comply with all applicable laws, rules and regulations of any government, regulatory organisation, licensing agency or professional association governing their professional activities. **In the event of conflict, representatives must comply with the stricter law, rule or regulation.** They must **not knowingly participate or assist in, and must dissociate from, any violation**. This includes the **SFA**, applicable obligations under the **Financial Advisers Act (FAA)**, and the rules and regulations of any applicable regulatory organisation, licensing agency or professional association.

**(ii) Independence and objectivity.** Representatives must use reasonable care and judgement to achieve and maintain independence and objectivity. They must **not offer, solicit or accept gifts, benefits, compensation or considerations** that could reasonably be expected to compromise their own or another's independence and objectivity.

Representatives should comply with **internal gifts and entertainment guidelines** and observe industry codes. They should **resist internal pressure from their firms** when making recommendations, to prevent

conflict of interest — especially during order execution, where the client's interest takes priority over the firm's or their own.

> **Example — independence and objectivity.** Jonathan, a derivatives trader, is under pressure to hit target commissions. To make a quick buck he convinces a client about a trade idea he thinks may be a winner, but **fails to conduct further research** to support the recommendation. Jonathan must exercise independence and objectivity and separate them from personal issues; any recommendation must ultimately be based on **thorough analysis of the facts**.

**(iii) Misrepresentation.** Representatives must **not knowingly make any misrepresentations** relating to investment analysis, recommendations, actions or other professional activities. This includes not intentionally misrepresenting any financial service. **Care and due diligence** should be exercised when incorporating **third-party information** into client analysis and recommendations.

> **Example — misrepresentation.** Timothy, a professional trader, writes a personal blog giving the impression he is an **independent analyst**. He posts recommendations for companies whose stock prices he expects to rise but **does not disclose his contractual relationships** with those companies. Even if the recommendations reflect his true opinions, the **non-disclosure of his relationship** is tantamount to misrepresentation — there is a conflict of interest he failed to highlight.

**(iv) Misconduct.** Representatives must not engage in professional conduct involving **dishonesty, fraud or deceit**, and must not commit any act that reflects adversely on their professional reputation, integrity or competence. This includes practices that **distort securities or derivatives prices** or **artificially increase trading volume** to mislead market participants with false information. Any representative who observes professional misconduct should **take necessary steps to report to the relevant authorities**.

> **Example — reporting misconduct.** Jane, a portfolio manager at a hedge fund, notices many of the fund's holdings have declined in value while the fund's overall performance does not reflect that decline. She suspects something is amiss and raises her concern, but is asked not to probe too much or it could affect her standing. Jane has come across **suspicious activity that may be market misconduct** and should gather proof and **report to the appropriate authority**.

**(v) Competence.** Representatives should **continuously maintain or improve** the competence required by their professional responsibilities. As roles expand, new knowledge, skills and abilities are needed, so skills should be developed and refined **throughout their careers**.

**5.4.1.2 Integrity of capital markets** **(i) Material non-public information.** Representatives who possess material non-public information that could affect the value of an investment must **not act, or cause others to act,** on it.

Information is **"material" and "non-public"** only if its disclosure has the **potential to impact the price** of a security and it has **not yet been disseminated to the general marketplace**. Representatives must not act or induce any other party to act on such information. Trading on it gives an unfair advantage and can harm the integrity of capital markets; it also constitutes **insider trading**, a violation of **SFA section 216** on the material effect on prices or value of securities, securities-based derivatives contracts or units in a collective investment scheme (CIS units).

> **Example — material non-public information.** David, a senior executive at start-up Pay2Win, learns it has accepted an acquisition offer from a major global technology company. Knowing the share price will skyrocket once public, he divulges the information to his friend Kenneth, who immediately buys a huge quantity of shares. The acquisition information is **material non-public information**; both David and Kenneth have committed **insider trading** — David by disclosing, Kenneth by violating fair trading.

**(ii) Market manipulation.** Representatives must not engage in practices that **distort prices or artificially inflate trading volumes** with intent to mislead market participants. There are two types:

- **a) Information-based manipulation** — spreading **misleading information** to influence trading and prices.
- **b) Transaction-based manipulation** — making **transactions** that would influence the price of a capital markets product.

> **Example — market manipulation.** Michael holds a large position in ABC, a small-cap with limited trading volume, and wants to reduce it without pushing the price down. He splits his

position across **multiple brokerage accounts** and **creates a rumour** on news media promoting positive news, then offloads gradually through those accounts as the price rises. Through rumour he fraudulently created a **false impression of great interest**, backed by a **surge in trading volume** that is itself false, being created by trades from multiple accounts.

**5.4.1.3 Duties to clients** **(i) Loyalty, prudence and care.** Representatives have a **duty of loyalty** to clients: they must act with reasonable care and prudent judgement, for the client's benefit, **placing the client's interest before the employer's or their own**. They must manage investments to the best of their abilities according to what they believe is in the client's best interest. **All known facts and information** must be provided so the client can make informed decisions, and due care, skill and diligence must be applied. Representatives must **not take advantage of clients**, must carry out **client transactions prior to their own**, and must consider the client's **needs and objectives** in any recommendation.

> **Example — loyalty, prudence and care.** Leonard, at SmartInvest, notices a client performance report has **omitted a trade that recorded a large loss** — and that including it would severely affect reported performance. He knows the client has placed SmartInvest on a **watch-list for termination** if performance continued badly. Leonard nonetheless corrects the error **before the report is released**. Withholding information on purpose would not be in the client's best interests.

**a. Act in the best interest of clients.** Representatives should always act in the client's best interest and never engage in **deceitful or manipulative conduct** that gives clients misleading impressions about market conditions.

> **Example — acting in the best interest of clients.** DigiFund, a global hedge fund, routes most of its high-commission trading through **Johnson Inc.** because senior executives of the two firms share a close relationship, despite Johnson Inc. charging higher rates; in exchange the brokerage **absorbs some of DigiFund's overheads**. By using brokerage services that do not provide the **best prices and execution**, DigiFund has disregarded its fiduciary duties; the executives have **colluded to act in their own favour**.

**b. Client complaints.** Complaints must be dealt with in a **professional, prompt and independent** manner. The institution should have **formal procedures**, set a **reasonable time period** to review and resolve, provide **appropriate interim responses** where resolution takes longer, and set aside **adequate resources**. **Proper records** — documents reviewed and interviews conducted — should be kept. In addition, CMS licence holders and representatives providing financial advice on derivatives contracts under the FAA must comply with the **Financial Advisers (Complaint Handling and Resolution) Regulations 2021**.

**(ii) Fair dealing.** Representatives must deal **fairly and objectively with all clients** when providing analysis, making recommendations, taking action or providing other services. Where a representative is **unsure whether an issue will cloud objectivity**, the concern must be **highlighted to superiors** and **adequate disclosure made to clients**. Investment action must fall within the **portfolio's objectives, mandate and guidelines**.

Representatives should also have a **policy on corporate governance** in the companies they invest in, and should **formalise the process of selecting companies** with adequate corporate governance. They should **advise and disclose the firm's policies and procedures** from the beginning of the relationship. **Investment decisions must be communicated to the client immediately**, and any change communicated with **justification**. Communications must be **up to date**, and the **medium of information dissemination** made known — whether phone, fax or official correspondence only — including **how and how often performance reports** are sent.

CMS licence holders and representatives providing financial advice on derivatives contracts under the FAA are expected to observe the **fair dealing outcomes** in the **Guidelines on Fair Dealing – Board and Senior Management Responsibilities for Delivering Fair Dealing Outcomes to Customers (FAA-G11)**.

**(iii) Suitability.**

1. In an **advisory relationship**, representatives must have a **reasonable basis** for any recommendation:
    - **a.** make **reasonable inquiries** into the client's or prospective client's **investment objectives, financial situation and particular needs** before making a recommendation or taking action, and **reassess and update** this information regularly;

- **b.** determine that the recommendation is **suitable to the client's risk appetite and financial situation** and consistent with the client's **written financial objectives, mandates and constraints**; and
- **c.** judge suitability **in the context of the client's total portfolio**.

2. Where managing a portfolio to a **specific mandate, strategy or style**, representatives should only recommend or act **consistently with the stated objectives and constraints**.

Representatives should fully understand clients' needs and objectives, as well as any **legal and regulatory requirements** in facilitating the relationship and servicing the account. They should provide clients with appropriate information about the firm — **business address**, **relevant conditions or restrictions** on the firm's business, and the **identity and status of persons** acting on the firm's behalf with whom clients may have contact.

Where a representative has an **investment management agreement** with an individual client, he should establish:

- **i.** the client's **full identity**, including the identities of his beneficiaries;
- **ii.** the client's **financial situation and source of funds** used for investments; and
- **iii.** the client's **investment experience and objectives**.

> **Example — suitability.** Lauren advises Thomas, a new investor who states he needs **passive and stable income with minimal risk** to save for his children's education. Lauren suggests he can afford more risk because his full-time job pays well, and advises investing in higher-return, higher-risk products. Although Thomas has a steady high income, Lauren **did not consider suitability to his financial needs and risk appetite**; she should have prioritised his stated objectives.

**Documentation of the client relationship.** There should be documentation between representative and client — for example an **investment management agreement**. A representative should enter into a **written investment contract before any advice or service is provided**, or before any trade is executed on the client's behalf. The agreement should contain, but not be limited to:

- the **nature of investment services**;
- the **commencement** of the agreement;
- **investment objectives and restrictions**;
- the **amount to be paid by the client**;
- **fee arrangements and soft-dollar commissions**;
- **delegation of functions**, including appointment of sub-advisers;
- **risk disclosure statements** for investments in derivatives; and
- **termination period and arrangements**.

**(iv) Performance presentation.** When communicating investment performance, representatives must make **reasonable efforts to ensure the information is fair, accurate and complete**. This enhances comparability with similar services or products. Performance information should also outline the **variables against which performance is measured** (for example, time periods).

> **Example — performance presentation.** Saul joins Goodman Investments on the strength of a stellar 5-year record at Pollos Financial. In marketing materials he includes the equity performance achieved **at Pollos Financial** but **fails to state** that it was earned there rather than at Goodman. This is a **material misrepresentation** about Goodman's past performance; had he wished to mention his Pollos record, he should have **fully disclosed the source**.

**(v) Preservation of confidentiality.** Representatives must keep information about **current, former and prospective clients confidential** unless:

- **i.** the information concerns **illegal activities** on the part of the client or prospective client;
- **ii.** disclosure is **required by law**; or
- **iii.** the client or prospective client **permits disclosure**.

Representatives must preserve confidentiality in all matters, including information on customers and **dealing counterparties**. They are responsible for protecting the integrity of the market through proper maintenance of confidentiality.

> **Example — preservation of confidentiality.** Ross, a market maker at QRS Bank, executes Chandler's sale of the bulk of his personal CPC shares — information not yet public. Rachel,

another client with CPC interests, enjoys a close relationship with Ross, who **lets her in on the trade**. Anticipating a fall, Rachel immediately sells her CPC shares. Ross should have exercised professionalism by **not disclosing material information** about clients to third parties.

**a. Handling of confidential information.** Where a representative routinely shares sensitive information — client information with other branches or subsidiaries in the group — this should only be shared **in accordance with applicable laws or regulations and established procedures**. Representatives should be equipped to deal with sensitive information requiring **anonymity and discretion**, and must not use the knowledge for **personal gain**.

**b. Confidentiality in dealing practices.** Representatives shall **not reveal the identity of their principals**, unless appropriate under accepted terms of disclosing names or when **expressly authorised** by the principals. Names should **not be divulged prematurely**; they should be revealed only when the broker is satisfied that **both sides have a genuine motive to conduct the transaction**. Representatives should **never induce or pressure another person** to gain advantages — including clients, representatives or trading members. They should **reject any request** to divulge confidential information about counterparts and **report such incidents to management**.

> **Example — dealers versus brokers.** Dealer A (the principal) pressures Broker B for material information by inducement, threats or promises. "Pressure" could be construed as implying that failure to cooperate would lead to **a reduction in business** from Dealer A or other dealers. Dealers and brokers should **not visit each other's dealing rooms** — that would be a serious breach in conflicts of interest.

**c. Handling of market information.** Representatives must ensure market information received and passed to clients is **true and up to date**. Client communication should be fair and contain **no false or misleading information**. Care should be taken with **unsubstantiated information**, which should not be disseminated without **proper verification**, and representatives must **not spread false rumours**. They must exercise **caution and due diligence** with price-sensitive information: **not trade from their own or their institution's account**, nor induce another party to trade on it.

**5.4.1.4 Duties to employers** **(i) Loyalty.** In matters related to employment, representatives must act for the **employer's benefit** and not deprive the employer of the advantage of their skills and abilities, divulge confidential information, or otherwise cause harm. They should **not withhold material information** from the employer that may affect its decisions, nor disclose confidential information pertaining to the employer.

**a. Misuse of confidential information.** Representatives will from time to time have access to confidential information provided by the employer. They must **protect its integrity** and keep it confidential at all times, and **never use it for personal gain** — such as insider trading or releasing it to unauthorised parties like clients or peers.

**b. Solicitation of employers' clients.** Where a representative decides to leave, he should **not solicit the employer's clients**. If he wishes to bring clients with him, **permission should first be granted by the employer**.

> **Example — soliciting former clients.** Jacob, a dealer at XYZ Brokerage, becomes disillusioned and is offered a job at ABC Brokerage. Before leaving, he calls several of his most important clients asking them to open accounts with ABC, and persuades some prospective clients to switch. Jacob has **failed to observe his duty to act for XYZ's benefit**, acting for personal gain; his solicitation was unethical.

**c. Misappropriation of a client list.** This includes **obtaining and using personal information of clients that rightfully belongs to the employer**, collected without the employer's knowledge. Employers usually require representatives to sign a **non-compete agreement**, by which the representative's actions are governed.

> **Example — misappropriation of a client list.** Jason, a senior portfolio manager, leaves EFG Investment Group to start his own firm and plans to take documents compiled at EFG — the client list with personal information, account statements, sample marketing presentations and **algorithms for his trade selection process** — and uses knowledge of clients' portfolio allocations to his own advantage. Even though he has not solicited EFG's clients, he should **not take books, records and reports** that rightfully belong to the employer; doing so is akin to stealing.

**d. Self-dealing.** Self-dealing is **serving one's own interest before that of the party to whom one is responsible**. In employer relations it may include appropriating **property, a business opportunity or information** belonging to the employer — client information, or information about company reports or prospective clients. Self-dealing violates the standards of professional conduct and is unethical.

**(ii) Additional compensation agreements.** Representatives must **not accept gifts, benefits, compensation or considerations** that compete with, or might reasonably be expected to create a conflict of interest with, the employer's interest, **unless they obtain written consent and permission from all parties involved**.

**(iii) Responsibilities of supervisors.** Staff and representatives must make **reasonable efforts to ensure that anyone subject to their supervision or authority complies** with applicable laws, rules, regulations, and the codes and standards of professional conduct. Supervisors are responsible for their subordinates' compliance.

> **Example — exception: whistleblowing.** While a representative has a duty to his employer, **protecting the integrity of the capital markets should be placed above the employer's interest**. Circumstances may require acting against the employer's interests — whistleblowing or reporting an employer for **false trading practices** — where the intention is to protect the capital markets rather than for personal gain. **Remaining silent may be construed as being in collusion.**

**5.4.1.5 Investment analysis, recommendations and actions (i) Diligence and reasonable basis.** Representatives must:

- **i.** exercise **diligence, independence and thoroughness** in analysing investments, making recommendations and taking actions; and
- **ii.** have a **reasonable and adequate basis supported by appropriate research and investigation** for any analysis, recommendation or action.

> **Example — diligence and reasonable basis.** Joseph, a relationship manager, recommends a derivative product **without fully disclosing the risk** and **without conducting a detailed fact-find and needs analysis (FNA)**, including the client's risk profile, to ensure suitability. Derivatives are complex, higher-risk products; by not conducting a full FNA and risk profiling, Joseph **failed to exercise diligence** and lacked a reasonable basis for his recommendation.

**(ii) Communication with clients and prospective clients.** Representatives must:

- **i.** disclose the **basic format and general principles** of the investment processes used to analyse investments, select securities and construct portfolios, and **promptly disclose any changes** that may materially affect those processes;
- **ii.** disclose the **significant limitations and risks** associated with the investment process;
- **iii.** use reasonable judgement in identifying **which factors are important** to their analyses, recommendations or actions, and include those factors in communications;
- **iv. distinguish between fact and opinion** in presenting analysis and recommendations;
- **v.** disclose the **nature of services** provided and **information about costs** associated with those services.

**(iii) Record retention.** Representatives must **develop and maintain appropriate records** to support their analyses, recommendations, actions and other investment-related communications. All records of client communication are to be kept **for audit trail purposes**, including personal notes from meetings, call reports, press releases, official reports, risk analysis reports, other computer printouts given to clients, and the **bases of recommendations**. **A file on the client should be maintained.**

**5.4.1.6 Conflicts of interest (i) Avoidance or disclosure of conflicts.** Representatives must **avoid, or make full and fair disclosure of, all matters** that could reasonably be expected to impair independence and objectivity or interfere with duties to clients, prospective clients and employers. Disclosures must be **prominent, delivered in plain language and communicated effectively**.

Representatives should be **extremely cautious** whether any transaction may conflict with the client's best interest — including violating any **Best Execution Practices** (Section 5.5). Any conflict should be **highlighted immediately before the transaction takes place**. Even where the client **consents** to the transaction despite awareness of the conflict, it is **still the representative's duty to actively seek alternative solutions** to avoid the conflict, and client orders should be executed in the client's best interest.

**Example — disclosure of conflicts.** John, a derivatives trader at McClane Banking Corporation, thinks oil prices will fall sharply and **short sells oil futures** in his proprietary account. His client Mr Gruber thinks otherwise and goes **long** on oil futures with John acting as market maker. John has a **fiduciary responsibility to disclose his short position**, since his interest is directly in conflict with Mr Gruber's long position; Mr Gruber can then decide whether to trade through John despite the conflict.

**(ii) Priority of transactions.** Investment transactions for **clients and employers** must have priority over transactions in which a representative is the **beneficial owner**.

**Example — priority of transactions.** Louis owns 100,000 shares of Versalife and instructs his broker Brittany to sell all of them. Brittany also holds Versalife stock and knows executing Louis's order will make the price plummet. To avoid heavy losses, she **sells her own shares first**. Brittany has prioritised her personal transactions over her client's — an example of **self-dealing**, failing her duty of loyalty and care.

**(iii) Referral fees.** Representatives must **disclose to their employer, clients and prospective clients**, as appropriate, any **compensation, consideration or benefit received from or paid to others** for recommending products or services. Appropriate **records** should be kept of benefits received and offered, including **gifts and entertainment**.

### 5.4.2 Recommended procedures for compliance

**5.4.2.1 Segregation of sales/dealing and research staff** Representatives may come under pressure from their own firms — for example to **issue favourable research reports** for companies with potential or continuing business relationships. Such situations may be aggravated where **an executive of the company sits on the bank's or investment firm's board** and attempts to interfere in investment decision-making. Representatives acting in a **sales or marketing capacity** must be especially mindful of their objectivity when promoting investments.

**Example — segregation of sales/dealing and research staff.** Lannister Asset Management, underperforming in most derivatives portfolios, faces pressure to keep client relationships. Senior executives try to influence analysts' reports by **revising "hold" recommendations to "buy"** to induce clients to invest more. This harms the firm's integrity by **distorting the independence and objectivity** of investment decision-making; the **compliance unit should closely monitor** such behaviour.

**5.4.2.2 Resist undue influence from the sponsoring company** Credit rating agencies grade fixed-income products; analysts face challenges from **incentives and compensation schemes tied to the final rating and successful placement of the product**. Representatives at rating agencies should ensure that procedures **prevent undue influence from a sponsoring company** during analysis.

**5.4.2.3 Protect the integrity of opinions** Representatives and firms should establish policies that **every research report concerning a corporate client's securities reflects the unbiased opinion of the analyst**. Firms should design **compensation systems** allowing analysts to maintain independence and objectivity, to protect the integrity of the investment decision process.

**Example — protecting the integrity of opinions.** Justin, a vice president at Queen Banking Corporation, concludes that current MBS trading prices are **overvalued**, but fears a negative report may jeopardise relationships with superiors who are **long on the housing market**, potentially leading to retaliation such as exclusion from meetings or being side-lined from new business. Despite these concerns, his analysis **should remain independent and objective**; pressure from Queen is inappropriate, and he should ensure his reports are based on a **fair analysis of fundamentals and relative valuation**.

**5.4.2.4 Review procedures** Representatives should encourage firms to establish **effective supervisory procedures** ensuring both portfolio managers and analysts comply with the relevant rules and regulations relating to their investment activities.

**5.4.2.5 Limit gifts and benefits** Representatives should **limit the acceptance of gifts and benefits**. Firms should consider a **value limit** for acceptable gifts, whether **per gift or as an aggregate annual value**.

**5.4.2.6 Appointment of an officer** Firms should **appoint an officer to oversee compliance** with the firm's code of ethics and all regulations concerning its business, and ensure every employee and representative **knows the procedures for reporting** a violation of regulations, unethical behaviour or other activity that would tarnish the firm's reputation.

**5.4.2.7 Training and update of skills** **Regular ethics and compliance training**, in conjunction with adopting a code of ethics, is critical to establishing a strong culture of integrity and an environment of routine ethical conduct. Training and education can help representatives **recognise areas prone to ethical and legal pitfalls** and **identify circumstances and influences that can impair ethical judgement**.

Representatives must **constantly update knowledge and skills** on investment products and financial markets to provide the best advice, and must **keep abreast of new regulations and compliance rules** so that market participants continue to comply with the rules protecting capital market integrity.

### 5.4.3 The Singapore Guide to Conduct and Market Practices for the Wholesale Financial Markets ("The Blue Book")

The **Singapore Foreign Exchange Market Committee (SFEMC)** aims to foster the continual growth of the Singapore financial market as a leading international centre for transactions in **foreign exchange, money markets, fixed income and derivatives**. SFEMC regularly reviews market conduct and practices to ensure they conform to **international best practices** and safeguard the integrity of the system.

The **Blue Book**, produced by SFEMC, sets out principles governing the conduct of participants in the financial markets. Its purpose is to provide a **benchmark for high standards of business conduct and good market practices**, facilitating market efficiency and seeking to **minimise disputes between counterparties**. Its specific objectives are to:

- **foster the growth and development** of the wholesale financial markets in Singapore;
- **enhance the stature and reputation** of Singapore markets by promoting high standards of professional conduct and competence;
- **discuss technical issues and recommend standards and codes of conduct** for use in the market — in this capacity the Committee is responsible for the Blue Book;
- **serve as a channel of communication** among market participants and MAS; and
- **mediate disputes** among market participants where the parties agree.

The Blue Book covers several codes of conduct and standards:

- **1.** General Dealing Principles and Market Conduct;
- **2.** Ethics and Behavioural Standards;
- **3.** Governance, Risk Management and Compliance Principles;
- **4.** Back Office Practices; and
- **5.** Dealing Practices of Different Instruments (FX, Debt Securities, Swaps, OTC Derivatives etc.).

Recommended market conduct practices for **wholesale dealing in OTC markets** are also encapsulated in the Blue Book.

### 5.4.4 The Foreign Exchange Global Code (Bank for International Settlements)

Established on **17 May 1930**, the **Bank for International Settlements (BIS)** is the world's oldest international financial organisation, comprising **63 member central banks**. Its mission is to serve central banks in pursuing monetary and financial stability, to foster international cooperation and to act as a **bank for central banks**. BIS is headquartered in **Basel, Switzerland**, with four departments — monetary and economic, banking, innovation, and general internal support.

The **objectives of the BIS** are to:

- **i.** foster discussion and facilitate collaboration among central banks;
- **ii.** support dialogue with other authorities responsible for promoting financial stability;
- **iii.** carry out research and policy analysis relevant to monetary and financial stability;
- **iv.** act as a **prime counterparty for central banks** in their financial transactions; and
- **v.** serve as an **agent or trustee** in connection with international financial operations.

BIS has produced the **FX Global Code**, comprising global principles of good practice for the **wholesale FX market**. The Code promotes the integrity and effective functioning of the wholesale FX market by ensuring

it is **fair, robust, liquid and open**, and is intended to **supplement local rules and regulations** by highlighting good practices and processes.

The FX Global Code is organised around **six leading principles**:

- **i. Ethics**;
- **ii. Governance**;
- **iii. Information Sharing**;
- **iv. Execution**;
- **v. Risk Management and Compliance**; and
- **vi. Confirmation and Settlement Processes**.

## 5.5 Best execution practices for dealing in derivatives contracts

This section gives guidance on **best execution practices**, which CMS licence holders and representatives should incorporate into providing the best trade execution services.

**Best execution** refers to the responsibility of derivatives dealing representatives of CMS licence holders to take **reasonable steps to obtain the most advantageous trade result for clients**. This includes considering **price, costs, speed, likelihood of execution and settlement, size, execution quality** or any other relevant factor. Representatives must also ensure clients **fully understand the nature and potential risks** of the products before transactions are executed.

The **Guidelines on Standards of Conduct for Financial Advisers and Representatives (FAA-G04)**, issued under **section 64 of the FAA**, set out that a financial adviser should take **all reasonable steps to execute client orders promptly, in accordance with the client's instructions and on the best available terms**, and should provide **prompt written confirmation** that orders have been executed. CMS licence holders and representatives should familiarise themselves with applicable FAA obligations.

In addition, MAS has issued a **Notice on Execution of Customers' Orders (SFA 04-N16)** with accompanying guidance (**SFA 04-G10**). A CMS licence holder that places and/or executes customer orders for capital markets products must, **commensurate with the nature, scale and complexity of its business**, implement **written policies and procedures** to deal with:

- **i.** customers' orders on the **best available terms**; and
- **ii.** comparable customers' orders **in accordance with the time of receipt** of such orders.

To achieve best available terms, the firm should consider different factors **holistically** — including but not limited to **price, costs, speed and likelihood of execution** — with relative importance reflecting the **circumstances of the order and type of product**.

A CMS licence holder should **not receive Payment for Order Flow (PFOF)** in placing and/or executing customer orders. **PFOF** refers to commission or other payment a CMS licence holder receives from another broker/counterparty **in return for routing customer orders to that broker/counterparty**. Receipt of PFOF introduces **conflicts of interest**, since the firm may be incentivised to route orders in pursuit of payment rather than best execution.

The CMS licence holder should **monitor the effectiveness** of its best execution policies and procedures and provide **adequate disclosure to customers** in a clear and easily understood manner.

### 5.5.1 Elements of best execution practices

**5.5.1.1 Speed and likelihood of execution** Levels of **volatility** affect both price and volume, so CMS licence holders and representatives should seek to **execute client orders as fast as reasonably possible**. When prices are volatile, a client placing orders with **large volumes** can create **order imbalances and backlogs**, affecting the speed and likelihood of execution.

**5.5.1.2 Price improvement and overall consideration of costs** **Price improvement** refers to the **opportunity, but not the guarantee**, for an order to be executed at a better price than quoted publicly. Orders in OTC and listed derivatives products are routed to **market makers and/or market centres** where there are opportunities for price improvement. The criteria used by other market makers/market centres include:

- **automatically filling pending limit orders** with incoming market and limit orders; and
- **crossing transactions** where price improvement is offered to one or both sides.

**5.5.1.3 Size improvement** CMS licence holders should always seek markets providing the **greatest liquidity** and the **possibility of executing large orders**, and look out for opportunities for client orders to benefit from **order-size guarantees** offered by exchanges and other market participants.

**5.5.1.4 Overall execution quality** When determining how and where to route or execute an order, CMS licence holders should draw on **professional knowledge and experience with various markets and market makers**, focusing on **accurate and efficient execution**.

**5.5.1.5 Client-specific instructions** Wherever there is a **specific client instruction** on how to execute the order, CMS licence holders should **execute according to those instructions**. Consequently, if a client requires execution in a manner not in accordance with best execution principles, the client should **clearly state the desired method** when placing the order.

> **Example — client using Direct Market Access.** A client may execute via the firm's **Direct Market Access (DMA)** system, selecting certain parameters. In such cases the firm is **deemed to have satisfied best execution in respect of those specified parameters**. However, if the firm did **not respect the client's specified parameters**, it should **justify its actions** or may be deemed not to have met the duty. Where an instruction is **unclear**, the firm and its representatives determine the **non-specified components** in accordance with best execution principles.

The duty relates **not only to price** but also to **cost, speed and likelihood of execution and settlement**. **Even if a trade is not executed at the best possible price, this does not necessarily constitute a violation** of best execution.

Price is naturally a high priority, but in some circumstances the firm may **prioritise speed and likelihood of execution over immediate price and cost** where these are critical to the optimal result — for example with **large client orders in illiquid shares**, or where a **stop-loss has been triggered**.

### 5.5.2 Principles for best execution practices

**5.5.2.1 Roles and capacities of a representative** Representatives should **clearly distinguish their roles and capacities** in managing and executing trades for clients (or principals). They may have an agreement as to their roles, or determine their roles **before executing each trade**. The representative receiving a client order may act as **agent or principal**:

- an **agent** executes an order **on behalf of the client**, strictly governed by the **investment mandate**;
- a **principal** can take on **more risk** with the order and acts **on his own behalf**, with **no obligation to execute until both parties have struck an agreement**.

**5.5.2.2 Fairness and transparency** Representatives should handle clients' orders with **fairness and transparency**. When communicating about execution, they should be **truthful** and use **clear, unambiguous language**, and should establish procedures to **analyse and advise on clients' trades**. Clients' trades **before and after execution** should be **recorded**.

**5.5.2.3 Cross trades** CMS licence holders should have a **policy to regulate cross trading**, and should facilitate purchase and sale between client accounts **only when it is in the best interest of both clients** — appropriate and relevant to both clients' investment objectives, and adhering to guidelines and restrictions.

**Cross trading between staff personal accounts and client accounts should be prohibited.** Cross trading using a **house account** that can be controlled by both representative and client should also be **prohibited**.

**5.5.2.4 Risks** Representatives must ensure **clients are aware of the risks** associated with the trades they want to execute, and clients should **clearly communicate their expectations** in executing orders.

## 5.6 Applying the ethical framework to resolve ethical dilemmas

To apply the framework effectively, representatives should diligently go through a **fact-finding process** to identify and resolve ethical issues. Key factors and questions:

**i. Gather relevant facts and identify the existing problem**

- Have I acquired all necessary information to properly assess the situation?
- What assumptions am I making? What facts can replace those assumptions?
- What is the source of the dilemma? What factors are causing the problem?

**ii. Consider the ethical issues involved**

- What ethical issues are involved? Which professional and personal codes apply?
- What are the threats to complying with these fundamental issues? Are there obvious ethical conflicts?
- Would these issues **compromise the integrity of the investment and trading profession**?
- Would they affect the **interest of the public**? The **capital markets at large**? The **client's interests**?
- What are my **personal interests** in this issue? Is my judgement clouded by personal bias?

**iii. Identify the affected parties**

- Who are the **key stakeholders**? Is this at an **individual, departmental or organisational** level?
- What are the **conflicts between stakeholders**?
- Who are my allies? Do I have colleagues or superiors I can trust with this information?
- Would my decision **cause ripples in the market and create instability**?

**iv. Refer to the firm's internal reporting procedures**

- What are the firm's policies and procedures for reporting ethical conflicts?
- Does the firm have an **internal whistleblowing mechanism**?
- When should I **seek help from external sources** if things do not go as planned?

**v. Evaluate alternatives to resolve the issue**

- Are there **better alternatives**? Will alternatives produce better outcomes for others?
- Which course of action would **best benefit the financial industry and society**?

**vi. Implement the best course of action and monitor its progress**

- **Monitor the results** of the action taken.
- **Document** your thought processes and decision-making. Written records can capture the ethical issues encountered and justify your actions.

  **Example 1 — an ethical dilemma.** John is pressured to hit commission targets and fears losing his job, which may affect his objectivity in recommending suitable choices. Applying the framework, his **best alternative is to alert his superiors** to his plight and request that they **monitor his recommendations and dealings** until the case closes.

  **Example 2 — application of the ethical framework.** Jordan, an investment adviser at Oakmont Investments, has a new client Jared, close to retirement, who wants to earn more before retiring but is unsure whether to invest aggressively or conservatively. Jordan conducts a **full fact-find** on goals, profile and risk tolerance, noting that Jared is close to retirement, has stable income, but has **unpaid mortgage and car loans**. Although Jared says he prefers aggressive investing with high risk tolerance, Jordan **convinces him his main objective should be securing retirement funds and paying off debts**, and recommends a **conservative portfolio: 70% fixed income, 15% cash and equivalents, 15% equities**. Jared concurs. Jordan then **monitors the portfolio and updates him monthly**. Jordan demonstrated in-depth knowledge of the client's profile, objectives and product characteristics; although an aggressive strategy could have generated **more commissions**, he **prioritised the client's interest** — demonstrating care and loyalty.

## Exam cues

- **Ethics goes beyond law and regulation** — the CFA definition is "a set of moral principles or rules of conduct that provide guidance for one's behaviour when it affects others".
- **The ethical framework has four components around one objective**: understand, analyse, execute, serve — all in the client's best interest.
- **Three threat categories** are named for identifying dilemmas: **self-interest, self-review, influence**. Note that *self-review* is the objectivity threat, not *self-actualisation* or *peer recognition*.
- **Six steps** prepare a representative to understand the ethical role, from clients' interests first through to seeking guidance from compliance and legal.
- **Where laws conflict, comply with the stricter** — a standard Professionalism exam line.

- **Material non-public information** requires *both* materiality (potential price impact) **and** non-publicity (not yet disseminated). Insider trading engages **SFA section 216**.
- **Two types of market manipulation**: **information-based** (spreading misleading information) and **transaction-based** (making transactions that influence price).
- **Confidentiality has exactly three exceptions**: illegal activity by the client, disclosure required by law, or client permission.
- **Suitability in an advisory relationship requires three things**: reasonable inquiries into objectives, financial situation and needs (updated regularly); a determination of suitability to risk appetite and consistency with written objectives/mandates; and judgement **in the context of the total portfolio**.
- **Investment management agreement contents** — eight heads are examinable, including **soft-dollar commissions**, **delegation and sub-advisers**, **derivatives risk disclosure** and **termination arrangements**.
- **Duties to employers include loyalty, no solicitation of employer clients without permission, no misappropriation of client lists, and no self-dealing. Whistleblowing is the express exception** — market integrity outranks employer interest, and silence may be construed as collusion.
- **Priority of transactions**: clients and employers rank above the representative's beneficial ownership.
- **PFOF is prohibited** under the SFA 04-N16 regime — the conflict is that routing may be driven by payment rather than best execution.
- **Not executing at the best possible price is not automatically a breach** — best execution considers price, cost, speed, likelihood of execution and settlement, size and quality **holistically**.
- **Cross trades between staff personal accounts and client accounts are prohibited**, as are house-account cross trades controllable by both representative and client.
- **Blue Book** = SFEMC, five codes of conduct, wholesale markets, including OTC derivatives dealing practice. **FX Global Code** = BIS, **six principles** (ethics, governance, information sharing, execution, risk management and compliance, confirmation and settlement).
- **Trap:** the FAA-G04 guideline (best execution) and the FAA-G11 guidelines (fair dealing outcomes) are different instruments. Do not conflate them.
- **Trap:** a client's **consent** to a conflict does **not** discharge the representative's duty to **actively seek alternatives** to avoid the conflict.

# Derivatives dealing practices and skills

**Learning objectives.** The candidate should understand:

- the framework of the trading strategy process and its principles — **trading strategy formulation** and **trading strategy implementation**;
- **client servicing practices** highly recommended by industry standards;
- the processes involved in carrying out the **Customer Account Review (CAR)**, the **Customer Knowledge Assessment (CKA)** and **Specified Investment Products (SIP) trading account opening**;
- the different types of risk associated at both institutional and individual level, and the appropriate risk management actions.

## 6.1 Introduction

A CMS licence holder and its representatives who **recommend any products** to a prospective client are generally required to have a **reasonable basis** for the recommendations.

There are **exceptions** where the firm and its representatives:

- merely **carry out a client's instructions** without making any recommendation; or
- are **exempt** from those standards in relation to a recommendation of a **listed excluded investment product**, subject to conditions — including **providing a rationale for the execution-related advice** given, and **giving the client notice** that the advice **does not take into account the client's objectives or needs** and that the **client needs to assess suitability** of the investment.

The chapter examines the **investment advisory process** — how it leads to an overall investment strategy constructed for the client, and how that strategy ultimately affects how the client's trades are executed.

## 6.2 Analysis of market information

At a macro level, analysis of financial markets involves **monitoring the relative performance of financial instruments in different asset classes** — equities, bonds, commodities, futures, options and swaps.

Three generic methods of financial analysis are used:

| Method | What it does |
|---|---|
| **Fundamental analysis** | Studies the **financials of an industry or company** using **financial ratios and valuation** |
| **Technical analysis** | Uses **historical price movements displayed on a chart** as guidance to gauge and make fu |
| **Global macro analysis** | Interprets and predicts **large-scale events** in relation to macroeconomics, history and interna |

Different methods suit different asset classes and strategies. Where a client wishes to invest in **equities with a long-term horizon**, **fundamental analysis** is most suitable, because it accounts for a company's **profitability over a longer period**. **Technical analysis** may be better suited to **short-term** strategies, because market fluctuations are more significant in the short term.

With the internet age and media, there has been a **massive influx of intelligence gathering** from markets — obtaining information about a product or sector from **financial news media, broker subscription or third-party research**. The firm and its representatives must still **conduct due diligence on a regular basis** to ensure information obtained is **objective and has reasonable basis**.

> **Example — market intelligence gathering.** Jonathan, a senior derivatives analyst at hedge fund Kappa Capital, is researching Theta Corporation. Kappa is interested in buying Theta shares because Jonathan's primary research shows strong fundamentals. Jonathan comes across a **conflicting report** from Alpha Research Company highlighting **questionable accounting practices**. He investigates Alpha's background and the writer: the writer is a **recently fired ex-employee of Theta**, and **Alpha has only existed for 6 months**. After careful consideration Jonathan **disregards the negative report**. He did so only after researching the **credibility of the report** — analysing the data, investigating Alpha's experience, and considering the **motivation behind publication**, suspecting the report may be biased.

## 6.3 Trading strategy formulation

### 6.3.1 Analysis of overall investment objective

After ascertaining the client investment profile and conducting market research, the firm and its representatives must **reassess the client's overall investment objective**. This includes **clearly stating the purpose for trading** — is the primary purpose to **capture excess returns** from the market, or to **hedge against market risks**?

> **Example — trading strategy formulation.** Daniel has two clients, Tom and Harry, with roughly the same annual income and healthy financial status, but **Tom has a much higher risk tolerance than Harry**. Tom's strategy is to **seek excess returns (alpha)** and he is willing to invest aggressively; Harry wants a **steady rate of return with low volatility**, achieved by **hedging against market risks**. Daniel should recommend to Tom a portfolio with **higher-yield but riskier securities** — small-cap equities or equity derivatives — with a **large portion** dedicated to them. For Harry, he should recommend **more allocation to fixed income instruments**, which offer less volatility and a steadier return.

### 6.3.2 Return and risk objectives

The firm and its representatives should **highlight details of the overall investment strategy**, including the **return and risk objectives** of the strategy used for the client's investments or portfolio.

**6.3.2.1 Performance target** They should consider **what returns are needed** to satisfy the overall objectives, with **careful specification of how the performance target meets the main investment objective**. They should also consider **all possible asset classes**, since different asset classes have different returns. Both client and firm can use **risk-adjustment techniques** to compare returns against **benchmarks such as stock market indices**.

**6.3.2.2 Spending costs and assumptions** What are the **likely costs** incurred when investing in certain asset classes? This includes **fees, taxes, inflation and anticipated spending**, useful as a guide to making **realistic assumptions**.

**6.3.2.3 Portfolio asset allocation** The firm and its representatives should **designate target allocations for each asset class**, including **setting an allowable range within each asset class**. They are responsible for **delineating the asset allocation strategy to the client** and for **maintaining the client's portfolio**.

**6.3.2.4 Risk tolerance** Does the strategy take into account **temporary negative returns and losses** that may occur over time? Representatives must ensure investors are aware of the relevant risks — **business, liquidity, geo-political and regulatory risks**, among others.

Even after risk tolerance has been outlined in the **initial client investment profiling**, it must be **continually monitored**. Gauging risk tolerance is **subjective** and may be a challenge, especially for individual clients, so **reassessments must be continual**.

### 6.3.3 Constraints of trading strategies

The firm and its representatives must address the **possible constraints** affecting a client's investment strategy and portfolio — most of which are **closely tied to the risks** associated with the portfolio.

**6.3.3.1 Trading strategy and time horizon** When formulating a strategy they should highlight the **time period the position will be held** — from **a few days or weeks to months and years**. This depends on the client's intention: to **capture quick profits from potential price spikes**, or to **hold the position to accumulate cash flow**.

**6.3.3.2 Liquidity maintenance** Clients may need to **withdraw cash to fulfil short-term needs**. The firm and its representatives should **discuss these specifications** and **prepare for situations with possible liquidity constraints**.

**6.3.3.3 Legal constraints** They should **conduct due diligence** to find out and comply with **any legal regulations and restrictions** that may affect the client's portfolio or trades.

**6.3.3.4 Restrictions on foreign investment** They must take note of the client's **portfolio exposure in foreign investments and trades**. Clients may **limit these exposures** for investment, economic or political reasons. **Administrative costs** may also be a concern when investing in foreign assets.

### 6.3.4 Risk management of the trading strategy

When formulating strategies, the firm and its representatives must **incorporate proper steps to avert or reduce risk** where necessary.

**6.3.4.1 Risk measurement and evaluation** They should use **consistent metrics** to assess and evaluate the risk profile of the proposed strategy, so that **meaningful comparison** can be made in gauging portfolio performance. They must **avoid inappropriate use of metrics in an attempt to disguise risks**.

**6.3.4.2 Process for rebalancing the portfolio and trade positions** They should plan a **rebalancing system** with the client in the event of the portfolio's exposure to volatility and risk. A rebalancing system helps **change the exposure of certain positions to reduce risk** arising from a particular event.

For example, if they suspect **oil prices will spike** due to macroeconomic events, they may **reduce weightage in oil futures or energy-sector equities**. In portfolio management this is **tactical asset allocation** — an **active management strategy** that shifts weightages to take advantage of **market mispricing or strong sectors**.

**6.3.4.3 Risk management framework** A simple risk management framework involves **five steps**:

- **i. Risk identification** — identifying possible risks to the trading strategy.
- **ii. Risk assessment** — making **initial qualitative assessments** and **estimating the probability and impact** of the risks if they occur.
- **iii. Risk evaluation** — making **thorough quantitative assessments and measurements** to better estimate probability and impact.
- **iv. Risk response** — planning the response to each risk addressed, **taking into account any relationship between individual risks**.
- **v. Risk reporting** — reporting on the outcome of policy execution and evaluating whether the response has **mitigated or significantly reduced** the risks; **regularly evaluating the entire framework** to provide feedback and amendments.

## 6.4 Trading strategy implementation and monitoring

### 6.4.1 Recommendations on capital markets products

The firm and its representatives are expected to have **sufficient knowledge of the client's investment objectives, financial situation and needs** before advising on sales or purchases of capital markets products.

A **dealer** is a person exempt from holding a financial adviser's licence under section 23(1)(a), (b) or (d) of the FAA who carries on a business of providing **execution-related advice**, which means advice on any **listed excluded investment product** that is **solely incidental to the execution activities** of the dealer with **no discrete fee charged** for the advice.

Where the client does not wish to receive advice, this should be followed by **documenting the client's decision** and **warning the client** that any recommendation or advice **would not take into account his investment objectives, financial situation and risk tolerance**. Ultimately it is the **client's responsibility** to ensure suitability of product recommendations.

### 6.4.2 Documentation and record keeping

It is the duty of the firm and its representatives to **maintain the client's profile** and **record the recommendation or warning** made. Recording can take the form of **file notes or tapes of a conversation**, which assists both client and firm in **resolving disputes** about advice provided based on the client's investment profile.

As **best practice**, MAS recommends records be maintained for **at least 5 years**. The nature of records is determined by the firm, taking into account the **nature of the client's business** and the **likelihood of the client disputing** that advice was given without due consideration of the client's profile and financial needs.

### 6.4.3 Disclosure of conflicts of interest

The firm and its representatives should **disclose any potential conflict of interest** to clients, **in writing or orally**. Once disclosed, they are **not required to repeat the disclosure** every time they make a recommendation or provide execution-related advice, provided:

- **i.** the previous disclosure **remains up-to-date, accurate and comprehensive**; and
- **ii.** the client **can reasonably be expected to be aware** of the previous disclosure.

They should also note whether there is a **long lapse** between the current recommendation and the previous disclosure, and consider whether the client is likely to assume the current recommendation **no longer applies** to the previous disclosure. **If ever in doubt, disclose** any conflict of interest that could potentially occur.

### 6.4.4 Disclaimers

The firm and its representatives **can choose to include formal disclaimers** in client documents stating that they are in the business only of **executing trades** for clients. If such disclaimers are made, they should ensure **procedures and systems** are set up to ensure they **do not provide any advice**.

**Disclaimers do not remove liability.** All firms and representatives remain subject to the same rules and regulations, and a disclaimer stating that it is the client's responsibility to ensure validity of a recommendation

**will not remove liabilities** imposed under the SFA or the FAA. MAS will enforce those provisions to ensure clients enjoy the protection accorded to them.

### 6.4.5 Execution

After profiling the client and formulating the strategy, the firm, its representatives and the management team **create the portfolio**. Depending on how actively involved the client chooses to be, the portfolio is structured with the firm and representatives and **most likely a portfolio management team**.

Questions to consider when executing the strategy:

- What is the **size** of the client's investments or trades?
- What is the **frequency and speed** of trades being made?
- What are the **trading costs** — commissions, bid-ask spread, price impact?
- Are **derivatives used to reduce or enhance** the risks taken?

A good trading strategy considers **three factors**:

- **i. Small, liquidity-oriented trades** can be packaged and executed via **direct market access and algorithmic trading**. **Direct market access** refers to platforms permitting buy-side representatives to **directly access equities, fixed income, futures and FX markets** via access sponsored by the broker.
- **ii. Larger trades can receive custom handling.** Large, information-laden trades demand **immediate skilled attention** and experienced representatives, who must manage the **trade-off between impact and delay costs** by **releasing the minimum amount of information into the market** required to get the trade done.
- **iii.** In addition to **best execution**, representatives must be cognisant of **client trading restrictions, cash balances and brokerage allocations**.

### 6.4.6 Risk management skills in dealing

**Risk management** is the practice of **setting and maintaining acceptable loss levels** given a person's **capital, trading strategy and personal risk tolerance**. Effective risk management should be conducted **on every trade** and ideally **monitored over long-term periods**. The difference between a professional representative and the rest is the **ability to adhere to strict guidelines on risk**.

**6.4.6.1 Stop loss** A **stop loss** is not only the most basic risk management tool for a professional representative but also the **most important**. It is a **price at which the representative has decided a loss is too large** and the trade must be exited. Once the price hits the stop-loss level, the position is **automatically liquidated** and the loss accepted — preventing the representative from **holding on to losing positions that have already exceeded his risk limits**.

**6.4.6.2 Daily loss limit** A **daily loss limit** sets a **maximum loss for any given day**. When the limit is reached the representative must either **liquidate all positions** or be **prevented from entering new positions**. This protects against **further impulsive trades and excessive risk-taking to recoup losses**.

**6.4.6.3 Value at Risk (VaR)** **VaR** is a **statistical technique used to quantify the level of risk within a portfolio within a specific time frame**. Representatives use it to determine the **extent of possible losses** in their portfolios or positions. VaR can be applied to **specific positions, portfolios, or even as a firm-wide risk exposure measure**.

### 6.4.7 Performance monitoring and evaluation

Implementation also refers to **monitoring progress of the trading strategy** and how best to **execute changes** in light of changing market conditions and investment returns. The firm and its representatives should ensure **regular communication with the client whenever changes are made**.

They should also keep watch where the portfolio is **actively handled by a discretionary portfolio manager**:

- What kind of **risks** is the portfolio manager taking?
- What kind of **returns** is the portfolio manager making?

- Is the portfolio manager **outperforming or underperforming**?

A summarised performance monitoring system runs: **establish a performance management plan → monitor performance → record, analyse and explain variances → create a report on action for improvement → improve and refine the portfolio under market conditions** — a continuing loop.

## 6.5 Customer account and know-your-customer requirements

Where the customer is a **retail customer** wishing to trade in **Specified Investment Products (SIPs)**, the firm and its representatives shall **formally assess the customer's knowledge and experience** before allowing him to trade. Such assessment is termed a **Customer Account Review (CAR)** or **Customer Knowledge Assessment (CKA)**.

A CAR shall be conducted **before opening an account** for a customer to transact any **listed SIPs**. For the CAR, the firm and its representatives shall take into consideration the customer's **educational qualifications, investment experience and work experience**. Where a customer **does not provide adequate information**, the firm and its representatives shall **deem the customer not to possess knowledge or experience** in derivatives.

## 6.6 Specified Investment Products trading account

SIPs are **complex products**, commonly derivatives or structured products. They have **complex features and risks** which expose investors to **more factors that can cause a loss**. Some SIPs are listed on an exchange; others are not.

| Examples of SIPs **listed** on an exchange | Examples of SIPs **not listed** on an exchange |
|---|---|
| Certain **exchange-traded funds and notes** | **Structured notes** (equity-linked, credit-linked) |
| **Structured warrants** | Certain **collective investment schemes (CIS)** |
| **Futures** | Certain **investment-linked life insurance policies (ILPs)** |
| **Certificates** | |

### 6.6.1 Customer Account Review and Customer Knowledge Assessment

CAR or CKA assessments are required for any customer wishing to trade **listed or unlisted SIPs**, because not all customers have the knowledge or experience to assess a SIP's complex features and risks.

When conducting the CAR or CKA, a **retail customer is deemed to have sufficient knowledge** if he:

- **i.** holds a **diploma or higher qualification** in **accountancy, actuarial science, business / business administration / business management / business studies, capital markets, commerce, economics, finance, financial engineering, financial planning, computational finance or insurance**;
- **ii.** has **professional finance-related qualifications**, such as **Chartered Financial Analyst (CFA)** or **Association of Chartered Certified Accountants (ACCA)**;
- **iii. for CAR:** has **transacted in SIPs listed or quoted on an exchange at least 6 times in the preceding 3 years**;
- **iv. for CKA:** has **invested or transacted in unlisted CIS or ILPs at least 6 times in the preceding 3 years**, or in **unlisted SIPs (excluding CIS and ILPs) at least 6 times in the preceding 3 years**; or
- **v.** has a **minimum of 3 consecutive years of working experience in the past 10 years** in the **development, structuring, management, sale, trading, research or analysis of investment products, or the provision of training in investment products**. **Work experience in accountancy, actuarial science, treasury or financial risk management** is also considered relevant.

Where a customer is assessed **not** to possess knowledge or experience, but **subsequently demonstrates sufficient understanding** of listed SIP features and risks through:

- the **SGX Online Education Programme on SIPs**; or
- passing the **CMFAS modules CM-SIP, 8A or 9A**,

the customer **may be deemed to possess the knowledge** to transact in **listed SIPs**.

For **unlisted SIPs**, the equivalent route is a **learning module provided by the Association of Banks in Singapore and the Securities Association of Singapore** (the relevant **ABS-SAS learning module**), or passing **CMFAS modules CM-SIP, M8A or M9A**. In this regard the firm and its representatives are required to **obtain and consider**:

- **i.** the customer's **acknowledgement that he has personally undergone and passed** the assessment or examination;
- **ii.** the customer's **previous score(s)** of every assessment or examination taken; and
- **iii.** information relating to the **number of times the customer has not been allowed to transact** in that unlisted SIP by another firm.

#### 6.6.2 Approval to open SIP trading accounts

The firm and its representatives **must not open a SIP trading account** unless **senior management** who is **not involved in that particular account opening process** and **not a connected person of the customer** is **satisfied, based on the outcome of the CAR or CKA**, that the customer has knowledge or experience in listed SIPs (for CAR) or unlisted SIPs (for CKA), and **has approved** the account opening.

**Regardless of the CAR outcome**, the firm and its representatives shall include in the account opening form a statement that the customer **can, at any time, request advice** concerning a SIP — and upon such request they shall **provide advice**.

**Even with a positive CKA**, the firm and its representatives should **offer to provide advice** on the unlisted SIP. If the customer **does not wish to receive advice**:

- the firm must **document the customer's decision in writing**;
- **highlight to the customer that it is the customer's responsibility** to ensure suitability of the product selected;
- **warn the customer in writing** that the customer chose not to receive advice; and
- **confirm in writing** if the customer wishes to proceed without advice.

A firm that **provides advice** to customers **must also be an exempt financial adviser**.

#### 6.6.3 Requirements where a customer is assessed not to possess knowledge or experience

The firm and its representatives shall **inform the customer of the outcome of the CAR** where he is assessed not to possess knowledge or experience. If the customer intends to **proceed to open a listed SIP trading account**, they shall:

- **i. inform the customer in writing** of the outcome of the CAR;
- **ii. obtain the customer's written confirmation** that he still intends to proceed despite not possessing knowledge or experience;
- **iii. explain the general features and risks** of investing in derivatives and **provide a written statement of the explanation given**; and
- **iv. inform the customer in writing** that **it is the customer's responsibility** to ensure he understands any capital markets product he intends to transact using the account.

For an **unlisted SIP**, the firm and its representatives shall:

- **i. inform the customer in writing** of the outcome of the CKA and that **it is unable to proceed to transact in the unlisted SIP on the customer's behalf unless the firm is also an exempt financial adviser**; and
- **ii.** where the firm **is** also an exempt financial adviser, **provide financial advisory services in accordance with the standards in the MAS Notice on Recommendations on Investment Products (FAA-N16)** issued under the FAA.

#### 6.6.4 Validity of the CAR outcome

The firm and its representatives **must not allow a customer to transact in a listed SIP** through the Listed SIP trading account **after 3 years from the date of the CAR**, unless:

- **i.** they have **checked and are satisfied** that the customer has transacted in a listed SIP through the account **more than once during the preceding 3-year period** and **more than once during each subsequent 3-year period**; or
- **ii.** they have **conducted a new CAR** for the customer.

### 6.6.5 Validity of the CKA outcome

Where a customer is assessed to have knowledge or experience to transact in an **unlisted SIP**, the firm and its representatives may allow the customer to transact for **a period of one year from the date of the CKA assessment**. **After a year has elapsed**, they shall **conduct a new CKA** before transacting on the customer's behalf in any unlisted SIP.

### 6.6.6 Documentation and record keeping

The firm and its representatives shall **document every CAR and CKA** conducted for each customer. The documentation must include:

- **i. information collected** on the customer's **educational qualification, work experience and investment experience**;
- **ii.** an **assessment of the customer's knowledge and experience** in derivatives or unlisted SIPs, as the case may be;
- **iii.** the **outcome** of the CAR or CKA; and
- **iv.** the **approval of senior management or designated person** to open the SIP trading account, where applicable.

Where the firm transacts in **any SIP listed or quoted on a securities or futures market** on behalf of a customer, it must **maintain records of all communication** with the customer in respect of the relevant trade — including a **file note or a tape recording of the telephone conversation**.

### 6.6.7 Requirements for dealing in overseas-listed investment products

Overseas-listed investment products carry a **different set of risks and levels of protection**. The firm and its representatives are therefore required to **warn retail customers of the possible risks before the customer's first purchase** of an overseas-listed investment product. They must:

- **provide the risk warning statement set out in Annex 4 of the MAS Notice on Sales of Investment Products** (reproduced as **Appendix C**); and
- **obtain the customer's acknowledgement** of that statement, **in written form or otherwise**, before allowing the customer to **transact for the first time**.

For this purpose, **"transact"** means **(a)** the **purchase** of any overseas-listed investment product **other than in connection with the creation of short positions**, or **(b)** the **sale** of any overseas-listed investment product **in connection with the creation of short positions**.

### 6.6.8 Risk warning statement

The statement highlights key risks customers should be aware of when trading overseas-listed products, such as:

- the **level of investor protection and safeguards** in the relevant foreign jurisdiction;
- **differences between the legal systems** in that jurisdiction and Singapore;
- **tax implications, currency risks and additional transaction costs**;
- exposure to **counterparty and correspondent broker risks**; and
- **political, economic and social developments** that may influence overseas markets.

Records of the customer's **acknowledgement must be kept for not less than 5 years**.

**EIP classification.** Where the firm offers an overseas-listed investment product, it **may implement a system** to identify and determine that the product is to be classified as an **Excluded Investment Product (EIP)**.

- If the firm **does not implement** such a system, the overseas-listed product **shall be classified as a SIP**, and the **CAR requirements apply**.
- If the firm **has classified** a product as an EIP, it must ensure the classification **remains accurate and current at all times**.
- A firm **may outsource** identification and classification to another party — but where outsourced, the firm **remains responsible for implementation of the classification system, including the accuracy of the classification**.

## 6.7 Risk management

This section delineates the types of risk and risk management associated with CMS licence holders. Effective risk management and sound internal controls rest largely on the **firm at a macro level** — including the **board's oversight** of risk management and **senior management's responsibility** to ensure practices are sound, effective and robust — and finally on **individuals** carrying out duties in risk management, compliance and audit functions.

All stakeholders should be aware of the different types of risk that can affect them. For CMS licence holders, the importance of risk management lies in ensuring a **framework is in place** should an unexpected event impact them internally.

### 6.7.1 Operational risk

**Operational risk** is the risk of loss from **internal processes** — the breakdown of internal processes, systems and people. It is **independent of other types of risk** such as financial, systematic or market-wide risk.

Operational risk management has become increasingly important as firms **modify internal processes and their products**. As processes and products develop at a rapid pace, operational risk increases, and regulators have become **more stringent about firms taking excessive risk** that may affect them financially and operationally.

> **Example — collapse of Barings Bank.** Barings Bank, a British bank based in London, **suffered massive losses and collapsed in 1995** as a result of a **rogue trader** who engaged in **unauthorised trading**, his speculative trades in futures suffering massive losses. The rogue trader was not only the **floor manager** on the trading exchange but also the unit's **head of settlement operations**, which effectively allowed him to **settle his own trades**. Barings had thus **compromised its accounting and internal controls**, which led to its downfall.

To minimise the impact of operational disruptions, firms should establish a **robust business continuity framework** with the following measures:

- **i. operational risk management policies and strategies** to identify, monitor and control operational risk, consistent with the firm's **capital and risk profile** and taking into account current market conditions;
- **ii. reporting mechanisms to notify MAS** of significant operational problems and breakdowns;
- **iii. management processes** focused on **effective recovery and resumption of critical business functions** following a disruption; and
- **iv. procedures ensuring all critical processes are properly documented** and staff adequately trained, with **controls to detect deviation from policies** as these could indicate a potential gap in the function performed.

### 6.7.2 Market risk

**Market risk** is the risk of loss resulting from **movement of market prices** — changes in **FX rates, interest rates, credit spreads, equity and commodity prices**. When trading a derivatives product, representatives make decisions and take positions based on their own investment analysis, whether fundamental or technical. Any investment may produce negative returns. One way to mitigate market risk is to **diversify and invest in different asset classes**.

Market risk is **highly related to other risks** such as credit risk or market-liquidity risk — for example a **credit rating downgrade** of a listed company leads to a drop in its share price. Firms should be aware of the market risk affecting their investments and implement a **robust risk management strategy**, always considering:

- **i. macroeconomic, market and liquidity conditions** that can contribute to market risk;
- **ii.** the firm's **investment portfolio** and how it would be affected if market risk increased; and
- **iii.** whether a **framework is in place to identify, measure, evaluate, monitor, report and control** market risk.

**6.7.2.1 Correlation risk** **Correlation risk** refers to the **correlation between different derivatives instruments**, which may affect a representative's trades. For example, a representative speculating on **Gold Futures** must be aware of **other instruments that can affect the trade, such as the US Dollar**. To

manage correlation risk, the representative must **reduce positions that are correlated** with the derivatives product traded.

**6.7.2.2 Political and legal risk** **Political or legal risk** arises from **political or regulatory changes in a country**. Such risks exist everywhere and vary in magnitude. They may arise from **changes in government policies** — controls on exchange and interest rates, or government intervention on prices, outputs and activities. Events outside government control, such as **revolts or terrorism**, may contribute to political risk and affect prices of financial instruments associated with that country.

**6.7.2.3 Gap risk** **Gap risk** is the risk that **prices change from one level to another with no trading in between**. Gaps usually occur **after an event**, such as adverse news announcements, which can cause the price to plummet, because representatives buy or sell at **extreme prices** after reacting to new information. Representatives should note that **gaps can fall below stop-loss levels**, so positions must be liquidated **possibly well below the stop-loss**.

### 6.7.3 Capital risk

**Capital risk** is the potential risk that a client's account can **lose part or all of his principal invested**. It is **inherent to all types of investments and trades**; there is a possibility of losing the **entire principal** due to unforeseen circumstances if positions have **full exposure**. In trading accounts dealing with **margins**, the loss **may even exceed the principal invested**, because the representative relies on **borrowed capital** to make the trades.

### 6.7.4 Technology risk

With rapid growth in information technology, firms have expanded service offerings to clients through system operations and mobile technology. But increasing reliance on **complex IT systems** makes them **more susceptible to cyber-attacks and system shutdowns**. Firms should **continually improve cyber security and technology risk management capabilities**.

MAS has issued **technology risk management guidelines**, under which firms must ensure the **maximum unscheduled downtime for critical IT systems does not exceed a total of 4 hours within any 12-month period**. Firms must also:

- **liaise closely with MAS** on their framework and processes for monitoring critical IT systems and **system recovery testing**;
- **notify MAS as soon as possible, and not later than 1 hour**, upon discovering a relevant incident relating to a **system malfunction or IT security incident** that has a **severe and widespread impact** on operations or **materially impacts service to customers**.

In addition, firms must comply with **cyber security requirements** on:

- **i. securing administrative accounts**;
- **ii. applying security patching**;
- **iii. establishing baseline security standards**;
- **iv. deploying network security devices**; and
- **v. implementing anti-malware measures and strengthening user authentication**.

### 6.7.5 Credit risk

**Credit risk** is the risk of loss that an **obligor (for example a client) will fail to meet financial obligations** in accordance with agreed terms. It can arise from **both on- and off-balance-sheet transactions**. A firm can be exposed to credit risk from **FX, futures, swaps, bonds, options and other derivatives or trade finance products**.

The goal of credit risk management is to **maximise the risk-adjusted rate of return by maintaining credit risk exposure within acceptable parameters**. Firms need to manage credit risk inherent in the **entire portfolio** as well as in **individual credits or transactions**. Effective credit risk management is a **critical component of a comprehensive risk management approach** and essential to long-term success.

**Credit or counterparty risk** arises when one party to a derivatives contract, buyer or seller, **defaults**. Derivatives may be traded **OTC, which is less regulated than exchanges**. The most direct way to

reduce counterparty risk is to **reduce credit exposure**; the aim is to **minimise potential losses**, and representatives should always **take risk limits into account** when trading derivatives.

### 6.7.6 Liquidity risk

**Liquidity risk** is the risk of a firm being **unable to meet short-term financial obligations** — arising from the **inability to convert financial assets into cash without incurring unacceptable losses of capital**. Liquidity risk often arises **from other risks such as credit risk** — for example, huge credit losses from loan defaults could cause major liquidity problems and affect creditworthiness.

To manage liquidity risk, firms should **establish, constantly review and monitor funding policies and strategy**. The policy should also highlight how **other risks such as credit or operational risk** can affect the funding strategy.

For **representatives**, liquidity risk may occur when they have entered a trade and plan to **close out a position**. During periods of **low trading volume**, **bid-ask spreads may be higher**, because the representative needs higher compensation for handling the transaction. If the product is **less frequently traded or less liquid**, there may be **significant cost**. To reduce liquidity risk, the representative can trade in **derivatives that are less volatile and more liquid**.

Firms can also incorporate these measures:

- **i. analysis of funding requirements** over different scenarios;
- **ii. maintenance of unencumbered, highly liquid assets** usable as a funding source in uncertain situations;
- **iii. diversification of funding sources** and regular efforts to establish and maintain those relationships; and
- **iv. regular review of the ability to liquefy assets**.

### 6.7.7 Regulatory risk

**Regulatory risk** is the risk that a **change in laws and regulations** in a country or region can impact a company, industry sector or market. Changes can **increase operating costs or reduce the attractiveness of investment**. An example is **increased stress-test requirements** imposed on firms, requiring more stringent **capital preservation** and sufficient **capital and liquidity**.

> **Example — the Dodd-Frank Act.** The **Dodd-Frank Wall Street Reform and Consumer Protection Act** was passed by the US Government in **2010** in response to the **Global Financial Crisis of 2008**. It aims to **protect consumers from predatory mortgage lending** and ensure **financial stability of major firms** with considerable market influence. While such reforms can ensure more stability, they may also **restrict financial institutions from conducting certain types of business** — for example the **Volcker Rule** banned **proprietary trading** and restricted investment in **hedge funds and private equity firms**, which may limit investment flows from both buy-side and sell-side firms.

Firms must comply with the regulations in place, and can **minimise regulatory risk by anticipating the outcomes of regulatory impact** and **diversifying the business** to other areas of the market.

### 6.7.8 Interconnected risk

**Interconnected risk** arises from **how institutions and systems are connected** such that if one entity fails, the rest fail along with it. On a larger scale it is referred to as **systemic risk**, where one entity or event could **trigger instability or collapse of an entire industry or economy**.

For example, during the **2008 Global Financial Crisis**, several **bulge-bracket banks** had **excess exposure to mortgage-backed securities and housing-related assets**. When America's housing market tanked, these multinational banks **suffered severe losses and triggered a worldwide financial crisis**. Representatives must therefore be **familiar with the interconnected risks** they are exposed to when trading an asset class.

### 6.7.9 Provision of support to resolve complex risks

While financial institutions must have their **own risk management systems** to resolve complex risks, **regulatory authorities such as MAS also provide regulatory oversight**. MAS is the **overall integrated**

**supervisor** of the financial services sector; one of its main roles is to **keep track of the different types of risk** associated with financial institutions and **provide ample support to resolve them**.

To achieve this, MAS has created the **Comprehensive Risk Assessment Framework and Techniques (CRAFT)**. This **risk-based supervision** seeks to **reduce the impact of systemic risks** that can greatly affect the capital markets. Through an **Impact and Risk Model**, MAS evaluates the **potential risk a financial institution can bring**, prioritising supervisory resources to firms that can potentially have a **huge impact on the financial markets**. The risks assessed are those in Section 6.7 but are **not exhaustive**.

After deriving the **overall risk rating**, MAS develops a **supervisory plan** setting out **particular areas of coverage** and the **selection of tools** to address risks and take corrective action. Areas of coverage include identifying areas for supervisory attention — significant activities, risk management processes and governance issues.

MAS also has:

- **diagnostic tools** to identify problems at financial institutions **at an early stage**; and
- **remedial tools**, involving **collaborating with the financial institution** to achieve a specific outcome.

Both types of tool **must complement each other**: diagnostic work confirms whether a particular risk is **relevant and material**, while remedial work sets **clear plans to mitigate risks**, best achieved **within a specific timeframe**.

#### 6.7.10 Management of anti-money laundering and countering the financing of terrorism

The AML/CFT regime in Singapore, and the principles of due diligence and client onboarding, are discussed in Chapter 7.

**6.7.10.1 Comprehension and assessment of AML/CFT risks** Sound AML/CFT risk management requires **identifying, measuring and evaluating** the AML/CFT risks present within the firm and **implementing policies commensurate with the identified risks**. A firm should develop a **thorough understanding of the AML/CFT risks present within its client base, products and services, delivery channels, and the areas in which clients conduct their businesses**.

**6.7.10.2 Proper governance** For AML/CFT risk management to be effective there must be **proper governance**. **Responsibility lies with the board of directors** to oversee risk management policies and compliance, ensuring all AML/CFT risks are accounted for. The board should have a **comprehensive understanding of AML/CFT risks**, and any information an employee receives should be **communicated to the board in a timely, accurate and complete manner** so it can make **informed decisions**.

**6.7.10.3 Transaction monitoring system** A firm should have a **monitoring system to track incoming and outgoing transactions**, **commensurate with its size, activities and the potential risks** associated with it. At any point in time the system should give the firm access to a **centralised information library**, enabling it to **risk-rate clients and monitor their transactions** with the relevant information at its disposal.

**6.7.10.4 Customer acceptance and risk profiling** Firms usually implement **client acceptance and risk profiling policies and procedures** to **identify clients or prospective clients likely to pose a higher risk** of ML and TF threats. In assessing AML/CFT risk, the firm should thoroughly check the client's **personal details — background, occupation, source of funding and country of origin**.

Such policies require **basic due diligence from the personnel conducting the checks**. However, the firm must ensure the policies are **not so restrictive that they hinder access to its services by the general public**.

## Exam cues

- **The two exceptions to the reasonable-basis requirement**: merely executing client instructions without recommendation, and recommending a **listed excluded investment product** under FAR Regulation 33A conditions (rationale provided, notice that advice ignores objectives and needs, client assesses suitability).

- **Fundamental analysis fits long-horizon equity investing; technical analysis fits short-horizon strategies.** The exam tests the matching.
- **Five-step risk management framework**: identification, assessment, evaluation, response, reporting. Note the fourth expressly requires **considering relationships between individual risks**.
- **Rebalancing that shifts weightages to exploit mispricing or strong sectors is tactical asset allocation** — an active strategy, not strategic allocation.
- **Three dealing risk tools**: **stop loss** (most basic and most important), **daily loss limit** (liquidate or no new positions), **VaR** (statistical, time-frame specific, applicable to positions, portfolios or firm-wide).
- **Records for recommendations should be kept at least 5 years** as best practice; **risk warning acknowledgements must be kept not less than 5 years** by statute.
- **A conflict of interest need not be re-disclosed each time** if the prior disclosure remains current and the client can reasonably be expected to be aware of it — but **if in doubt, disclose**.
- **A disclaimer does not remove SFA or FAA liability.** That is the examinable point.
- **SIP listed versus unlisted examples** are a common question: ETFs and notes, structured warrants, futures and certificates on the listed side; structured notes, certain CIS, certain ILPs on the unlisted side.
- **Sufficient-knowledge routes**: a qualifying diploma or higher in a listed discipline; CFA or ACCA; **6 transactions in the preceding 3 years** (listed SIPs for CAR; unlisted CIS/ILPs **or** other unlisted SIPs for CKA); or **3 consecutive years of relevant work experience in the past 10 years**, including accountancy, actuarial science, treasury or financial risk management.
- **Alternative routes to deemed knowledge**: SGX Online Education Programme or CMFAS **CM-SIP, 8A or 9A** for listed; ABS-SAS learning module or CMFAS **CM-SIP, M8A or M9A** for unlisted. Note the different module numbers — 8A/9A versus M8A/M9A.
- **Senior management approval** for SIP account opening must come from someone **not involved in that account opening** and **not a connected person** of the customer.
- **CAR validity is 3 years**, extended only if the customer transacted **more than once in each 3-year period**. **CKA validity is 1 year**, with a fresh CKA required after that.
- **Failure to provide adequate information means the customer is deemed not to possess knowledge or experience** — the default runs against the customer.
- **"Transact" for overseas-listed products** excludes purchases connected with creating short positions and includes sales connected with creating short positions.
- **EIP classification outsourcing does not transfer responsibility**; without a classification system the product is a SIP and CAR applies.
- **Technology risk numbers**: maximum unscheduled downtime **4 hours in any 12-month period**; MAS notification **not later than 1 hour** after discovery.
- **Capital risk in margin accounts can exceed the principal**, because borrowed capital is used — a favourite trap.
- **Gap risk can blow through a stop-loss**, so liquidation may occur well below the stop level.
- **CRAFT is MAS's risk-based supervisory framework** with an Impact and Risk Model; **diagnostic and remedial tools complement each other**.
- **Trap:** operational risk is **independent of** financial, systematic or market-wide risk — the definition is narrower than "any loss from doing business".

## 2B appendices

- **Appendix A — CAR:** education/professional qualification, six listed-SIP transactions in three years, or three consecutive years' relevant work in ten years; independent learning may help.
- **Appendix B — CKA:** education/professional qualification, six relevant unlisted transactions in three years (with separate CIS/ILP treatment), or three consecutive years' relevant work; approved learning may help.
- **Appendix C — overseas-listed risk warning:** regulatory, legal, disclosure, repatriation, tax, currency, fee, counterparty and political/economic/social risks.
- **Appendix D — EIPs:** refers to the class listed in the Schedule to the Securities and Futures (Capital Markets Products) Regulations 2018.
- **Appendix E — suspicious transactions:** the same categories of economically irrational activity, cash, account, foreign-transfer, unidentified-party, tax and terrorism-related red flags explained in the shared Chapter 7.
- **Appendix F — Review Questions:** the 15 source questions cover licensing changes, cessation of regulated activity, five-year records, hunting for stops, forms of market misconduct, front-running, OTC

products, the ethical framework, back-tested performance, best execution, CKA exemptions, regulatory risk, the principal AML statute, sanctions-list action and the fact that terrorism financing may involve legitimate funds and need not involve large amounts.
- **Appendix G — Essential Readings:** SFA; SFR(LCB); SFR(FMR); PDPA; CDSA; MACMA; TSOFA; Income Tax Act; GST Act; MAS guidance on CMS licensing, competency, fit-and-proper criteria, sale of investment products, OTC derivatives and AML/CFT; and SGX, ICE Clear Singapore, APEX and APEX Clear rules and procedures.

## Final revision checklist

Before an examination, be able to explain the difference between:

- primary and secondary markets;
- exchange and OTC trading;
- MAS, SGX/SGX RegCo, trading venues, clearing houses and CDP;
- AI, II, EI and retail customers;
- CAR and CKA;
- EIP and SIP;
- customer money and customer assets;
- trust and custody accounts;
- false trading, manipulation, deceptive devices, bucketing, front-running, churning and pre-arranged trades;
- inside information and generally available information;
- agent and principal execution;
- price, cost, speed, likelihood, size and execution quality in best execution;
- placement, layering and integration;
- CDD, simplified CDD, EDD, PEP controls and ongoing monitoring;
- STR filing and tipping-off; and
- operational, market, credit, liquidity, technology, regulatory, interconnected and AML/CFT risks.